

XIAOMI Corp. (1810.HK)

"Innovation for Everyone"

BUY

@42.31 HKD

+37.28% upside

Peking University (PKU) Team:

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Business Overview

Building a smart ecosystem with affordable technology

To Appendix →

COMPANY PROFILE – 15-year journey from smartphone disruptor to Human–Car–Home platform

Founded in 2010, Xiaomi grew from a smartphone brand into a multi-scenario consumer technology ecosystem.

BASIC IDENTITY

Founded 2010	**Headquarters** Beijing, China
Listed HKEX: 1810	**Total employees** 60,438
Market cap* HK$806.7bn	**Share price*** HK$31.12

Core businesses
Smartphones / AIoT / Internet Services / Smart EV & AI

Positioning
Human–Car–Home ecosystem platform

** Market cap and share price as of 8 May 2026.*

ECOSYSTEM EXPANSION PATH

Key milestones in Xiaomi's evolution from phones to a full-scenario consumer technology platform



2010
Founded in Beijing
Started with MIUI and the mission of "Innovation for Everyone".



2011
Entered smartphones
Launched Xiaomi Phone and established the traffic gateway.



2014
Built AIoT ecosystem
Expanded into wearables, TVs, routers and connected devices.



2018
Listed on HKEX
Listing accelerated global expansion, premiumization and brand scale.



2024
Entered smart EV
Launched Xiaomi SU7 and extended the ecosystem into mobility.



2025
Human-Car-Home
Now spanning phone, home and car as an integrated ecosystem.

Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis

COMPANY OVERVIEW – From smartphone brand to Human–Car–Home ecosystem platform

Xiaomi is evolving from value-for-money hardware into a multi-scenario consumer technology platform.

WHAT XIAOMI IS TODAY



Smartphone



AIoT + HyperOS



Smart EV & AI



RMB 457.3bn
Group revenue

754.1m
Global MAU

TOP 3
Smartphone shipment

411,082
EV deliveries

1,079.2m
Connected IoT devices

22.3 %
Group GM

Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis

BUSINESS MODEL & STRATEGY – Platform LTV model turns hardware scale into ecosystem value

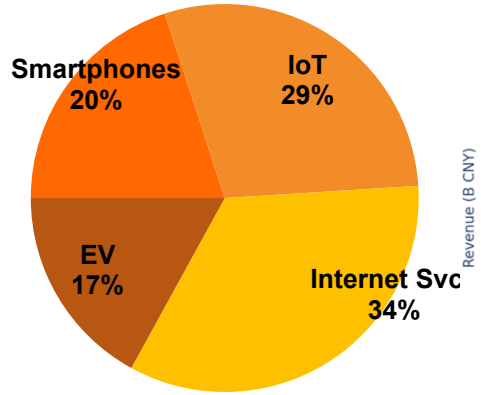
Hardware is customer acquisition; AIoT / HyperOS increases retention; services and EV scenarios lift lifetime value.

KEY OPERATING SEGMENTS (FY2025 SNAPSHOT)

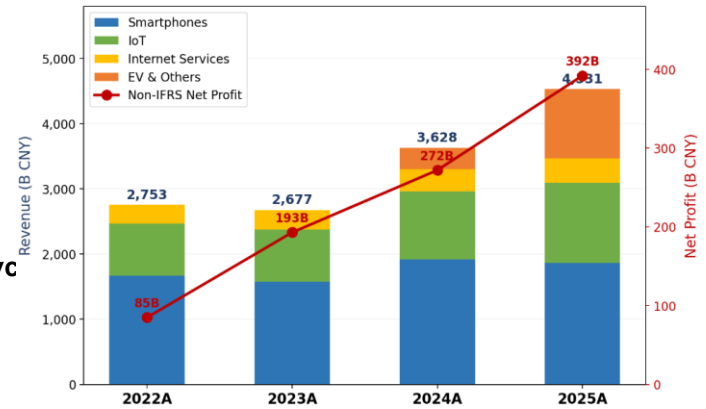
Segment	Strategic role	Revenue	GM
Smartphones	User-acquisition gateway	RMB 186.4bn	10.9%
IoT & Lifestyle	Home node; raises device density	RMB 123.2bn	23.1%
Internet Services	High-margin profit pool	RMB 37.4bn	76.5%
Smart EV & AI	Scenario expansion engine	RMB 106.1bn	24.3%

Note: Other revenue of RMB 4.1bn / 0.9% not shown in table.

Gross Profit Contribution Mix (2025FY)



Revenue by Segments & Non-IFRS Net Profit (2022 - 2025)



PLATFORM LTV MODEL

1 Acquire → 2 Attach → 3 Engage → 4 Monetize → 5 Reinvest





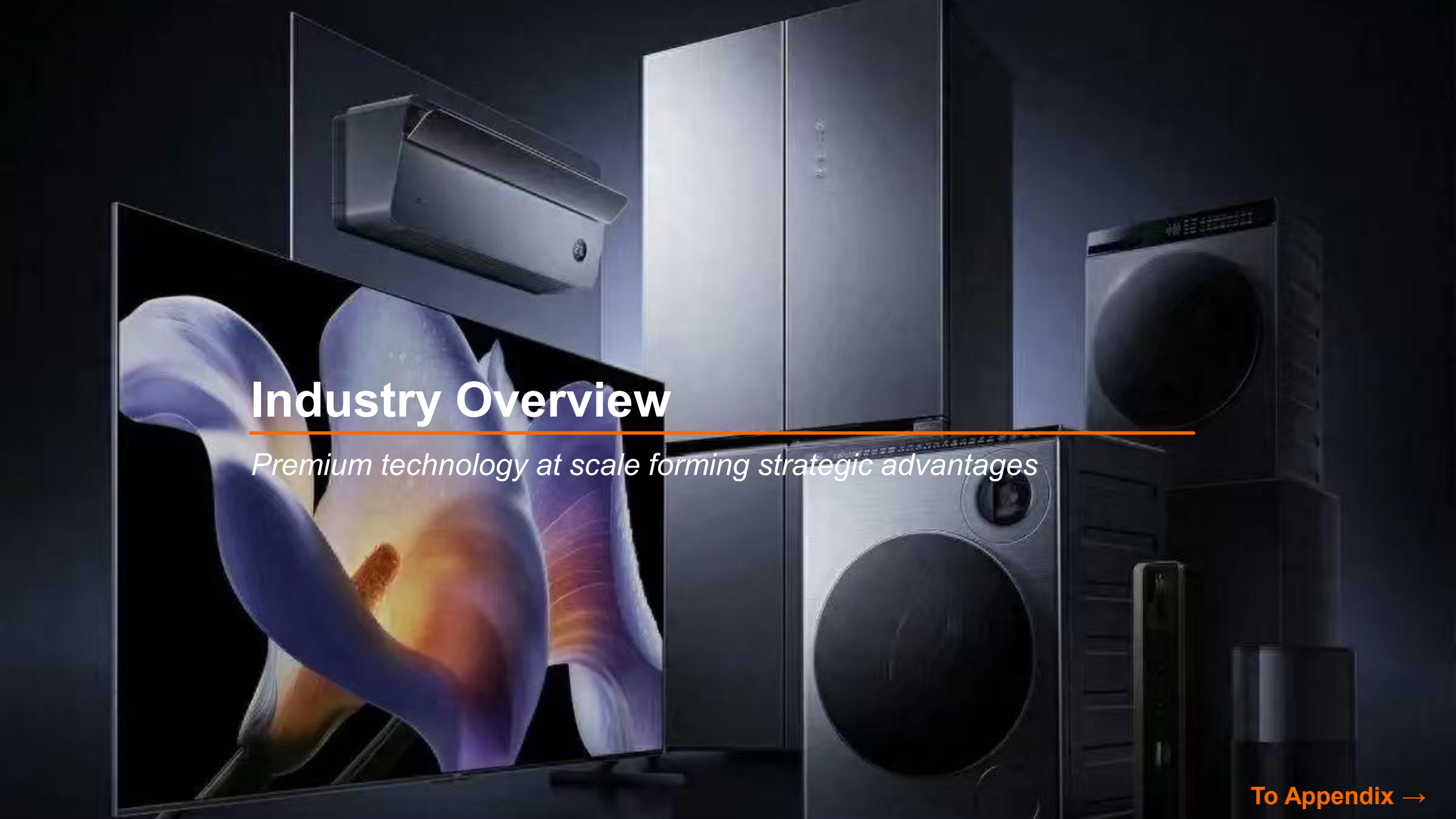


Operating logic: More users → More devices → More touchpoints → Higher ARPU → Higher GM mix → More R&D

LTV uplift = larger installed base × higher device density × higher engagement × service monetization − hardware CAC

Hardware = CAC	Phones + entry AIoT acquire users at scale
Ecosystem = retention	HyperOS links devices and raises switching costs
Services = monetization	Ads, gaming, cloud and in-car touchpoints harvest profit
Reinvestment = flywheel	R&D and premium products improve next-cycle CAC efficiency

Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis



Industry Overview

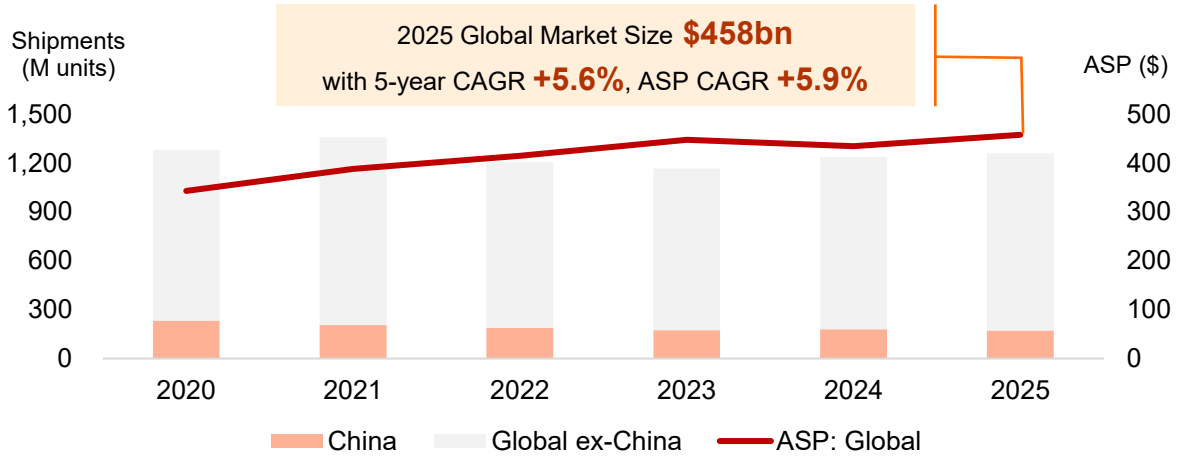
Premium technology at scale forming strategic advantages

To Appendix →

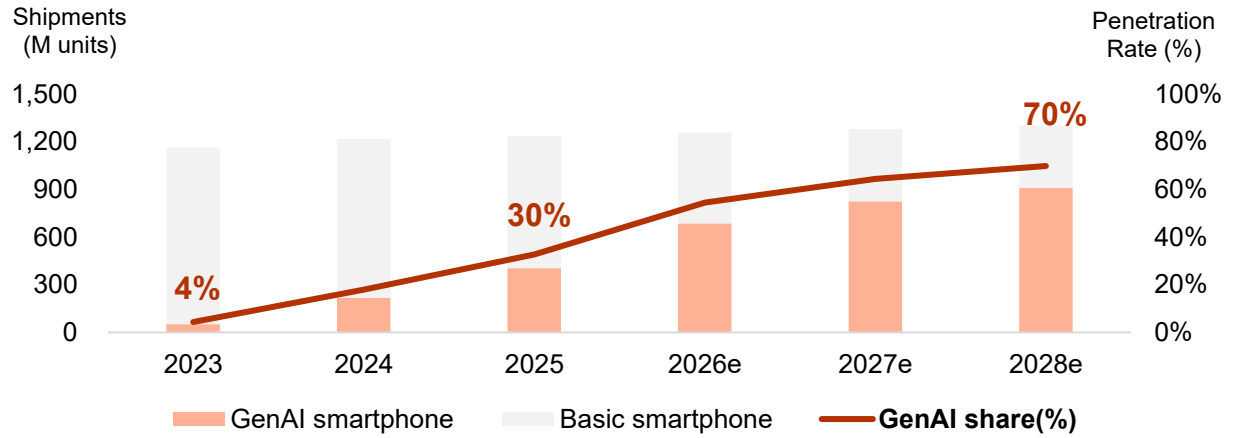
INDUSTRY OVERVIEW: Smartphone

Xiaomi navigates a maturing global smartphone market amid the GenAI shift and intensifying competition

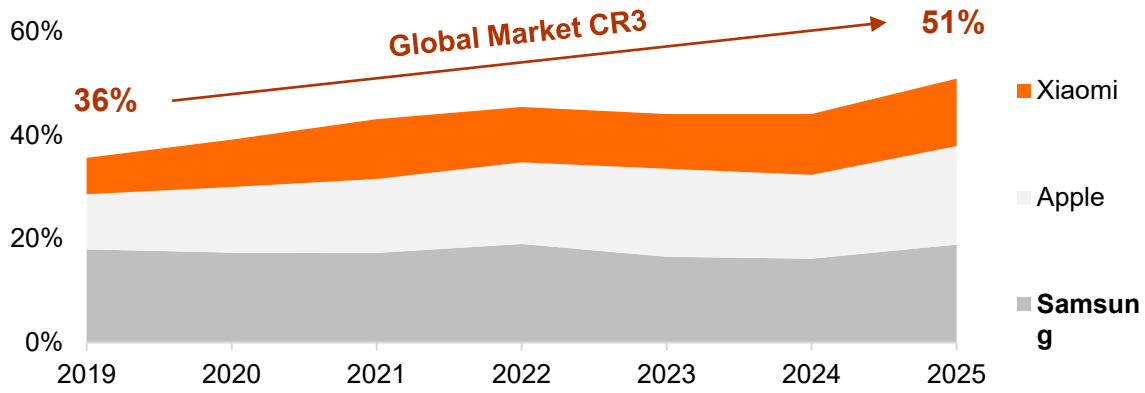
Global smartphone market is slightly recovering with higher ASP



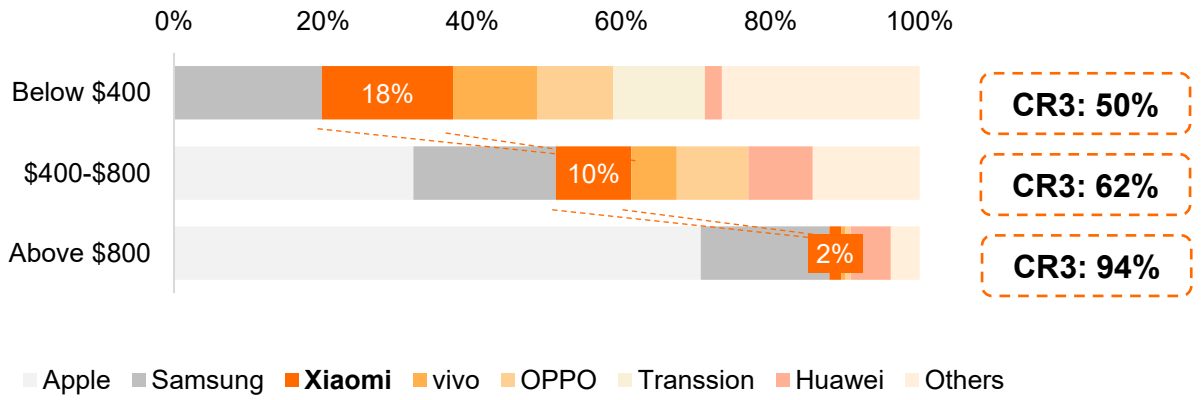
GenAI is the core driver of growth and premiumisation trend



Global market sees competitive consolidation



Xiaomi holds No.3 via value-for-money appeal in the mid-to-low-end segment



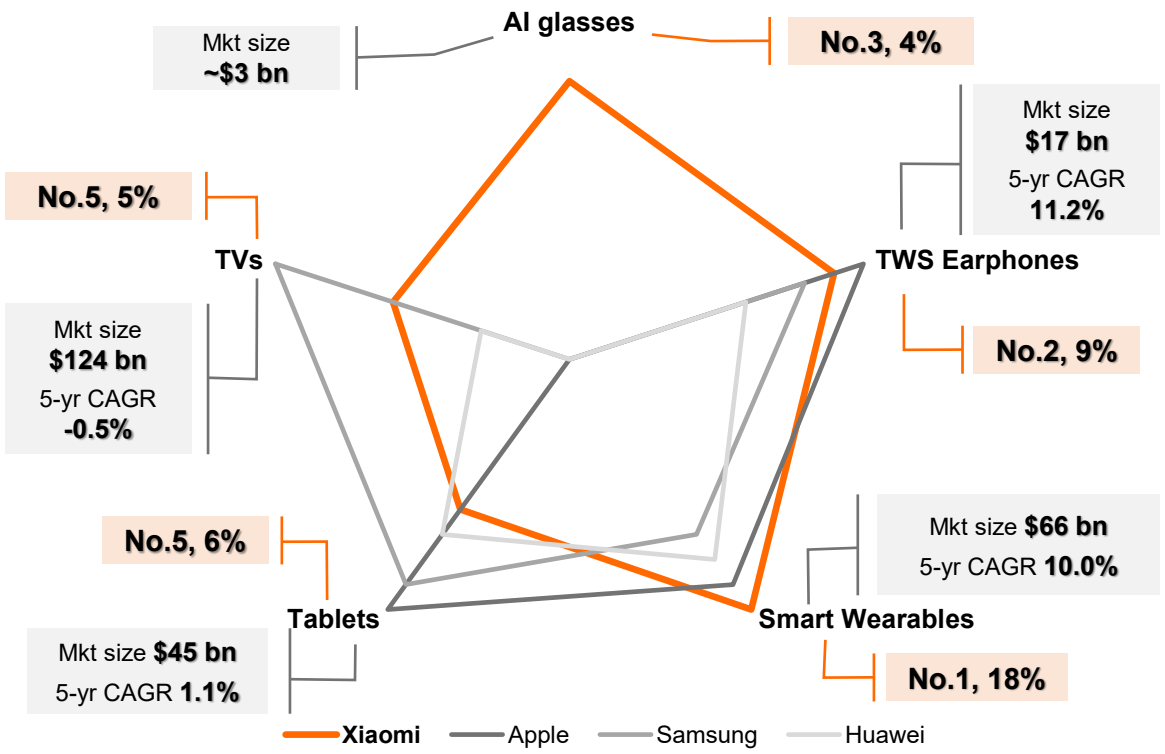
Source: Annual Report, Omdia, IDC.

INDUSTRY OVERVIEW: IoT & Lifestyle Products

A shifting IoT landscape pivoting towards smart home appliances

Xiaomi: A world-leading AIoT platform with a largest user base

2025 Global Multi-Category Smart Device Landscape (Rank, market share of shipments)



754.1 Million
2025 Xiaomi's Global MAU

22.7 Million
2025 Xiaomi AIoT≥5 User Base

+18.3%
2025 Xiaomi IoT Revenue YoY

The IoT growth engine pivots to high-value smart home appliances

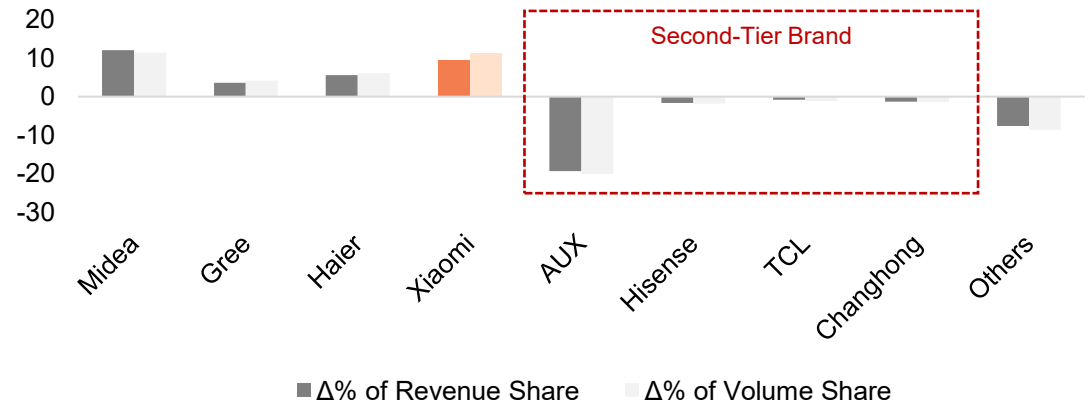
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Market Size	Representative Categories	Strategic Positioning
100B - 1T+	**ACs**, TVs	Equal to Smartphones/EVs
5B-10B	**Fridges**, **Washing Machines**	Core Categories
<5B	Small Lifestyle Items/Sundries	Ecosystem Supplement

+23.1%
2025 Xiaomi Smart White Goods Rev. YoY

- **24%+** YoY in **air conditioner** shipments in 2025
- **4%+** YoY in **fridge** shipments in 2025
- **18%+** YoY in **washing machine** shipments in 2025

China White Goods Market Share Change (2019-2025)

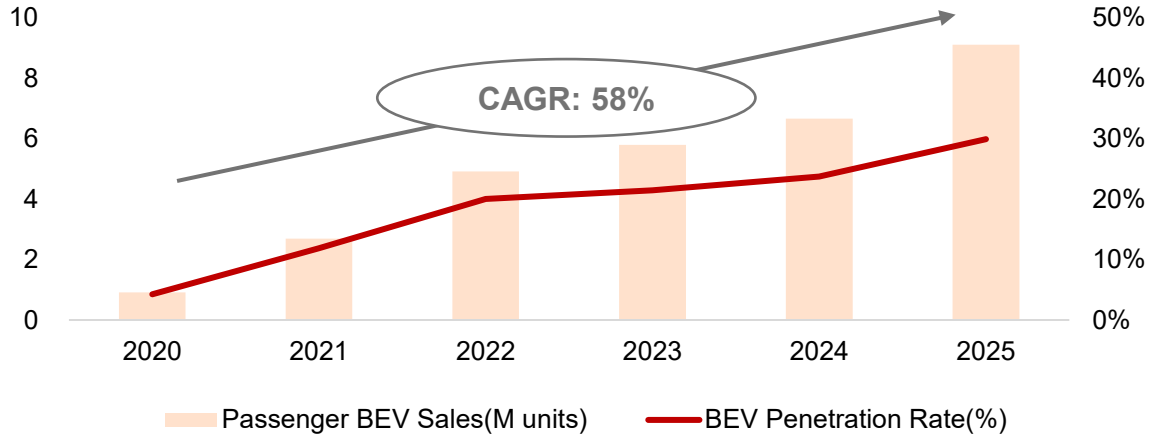


Source: Annual Report, Omdia, IDC, Counter.

INDUSTRY OVERVIEW: Electric Vehicle

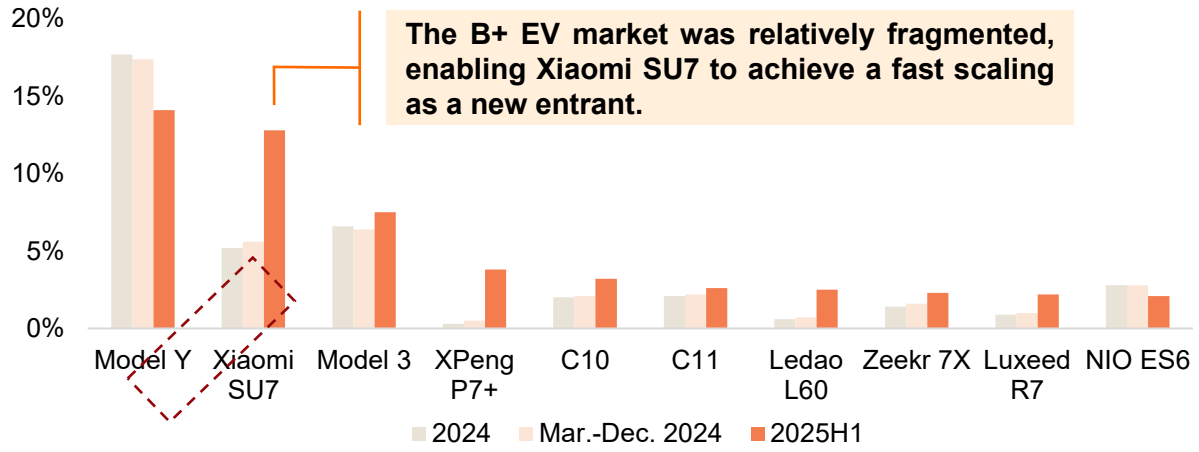
Xiaomi competes in a booming EV market in China backed by dispersed B+ market

China EV penetration surpassed 30%, driven by 58% sales 5-yr CAGR



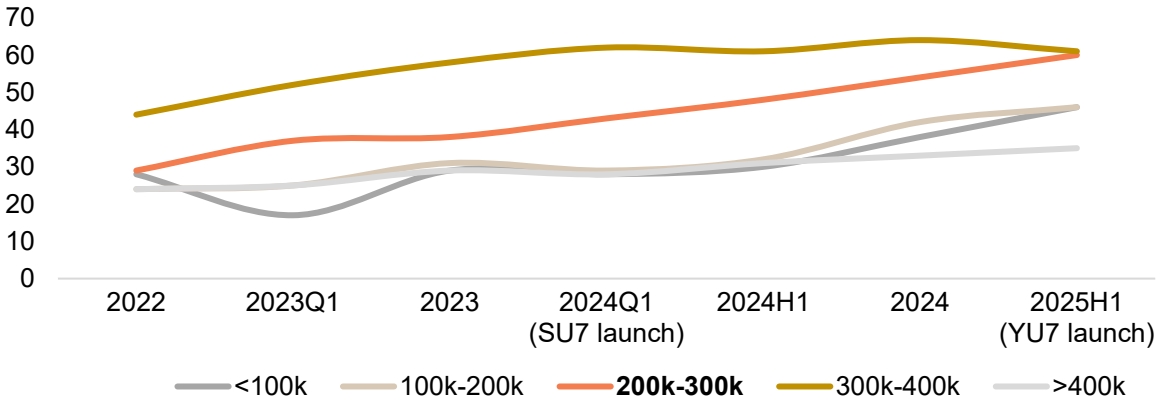
Xiaomi's EV emerged as a top model in its price segment

China B+ Segment EV Market Share by Model

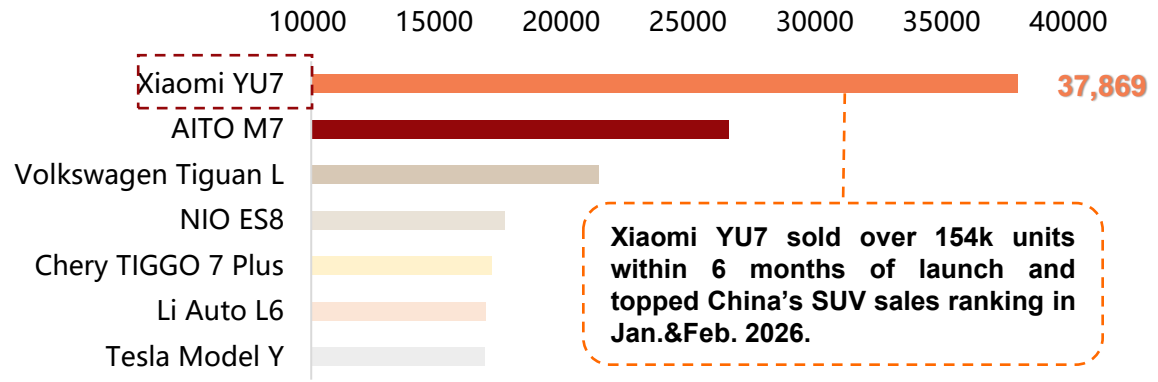


Xiaomi EV's target price segments maintain robust growth

China NEV Penetration Rate (%)



China NEV SUV Sales Ranking (Jan 2026, units)



Source: Annual Report, CAAM.

COMPETITION OVERVIEW: Xiaomi's Human×Car×Home Ecosystem

Xiaomi creates a closed-loop of user scenarios that synergize its three core businesses: smart phones, IoT devices and smart EVs.

Porters 5 Forces for Smartphone and AIoT

Threat of new entrants

★

- Economies of scale
- High capital required
- Patent barriers

Supplier power

★★★★

- Chip reliance
- Concentrated display
- Low substitutability

Rivalry Intensity

HIGH

Buyer power

★★★★★

- Frequent price wars
- Hard to differentiate

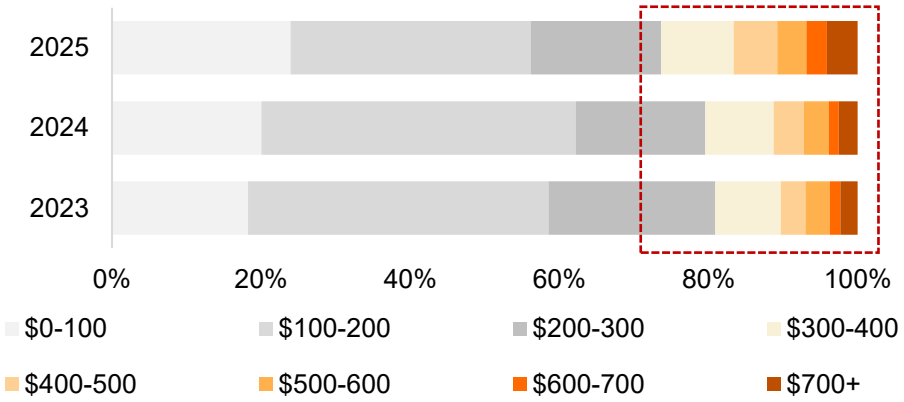
Threat of substitutes

★★

- Smartwatch rise
- Portability irreplaceable
- AIoT boosts stickiness

Xiaomi Group's Brand Elevation via Xiaomi Auto Success

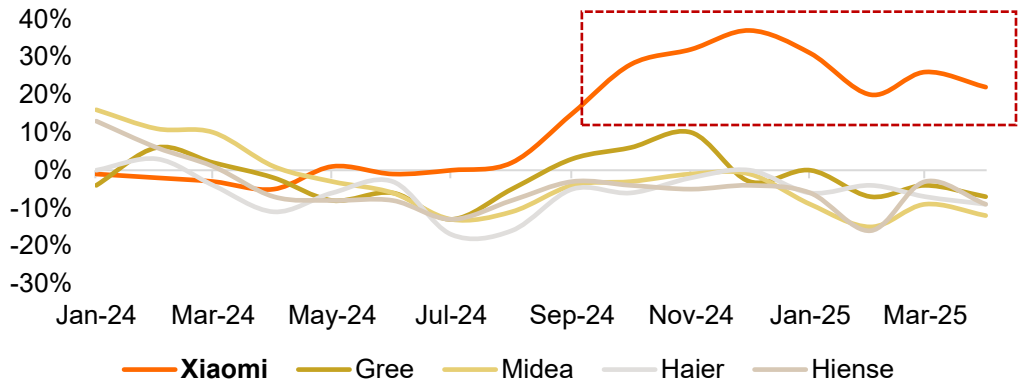
Xiaomi Smartphones Sales Structure



Xiaomi's smartphone sales share in the $300+ segment is projected to rise **from 27% to 40%** over the next 5 years.

China Air-Conditioner Brands Monthly ASP Change (Online sales, yoy)

Xiaomi's white goods business has seen strong momentum since H2 2024, with **ASP rising 20%-40%** and consistent momentum in retail volume share gains.



Source: Annual Report, Omdia, IDC.

COMPETITION OVERVIEW: Xiaomi's Human×Car×Home Ecosystem

Xiaomi creates a closed-loop of user scenarios that synergize its three core businesses: smart phones, IoT devices and smart EVs.

Porters 5 Forces for Smart EV

Threat of new entrants

★ ★ ★

- License requirements
- Huge R&D investment
- Cross-industry entrants
- Tech giants entering

Supplier power

★ ★

- Mature local supply
- Investment for control

Rivalry Intensity

HIGH

Buyer power

★ ★ ★ ★ ★

- Tesla pricing pressure
- BYD price wars
- NIO/Xpeng/Li tech race

Threat of substitutes

★ ★

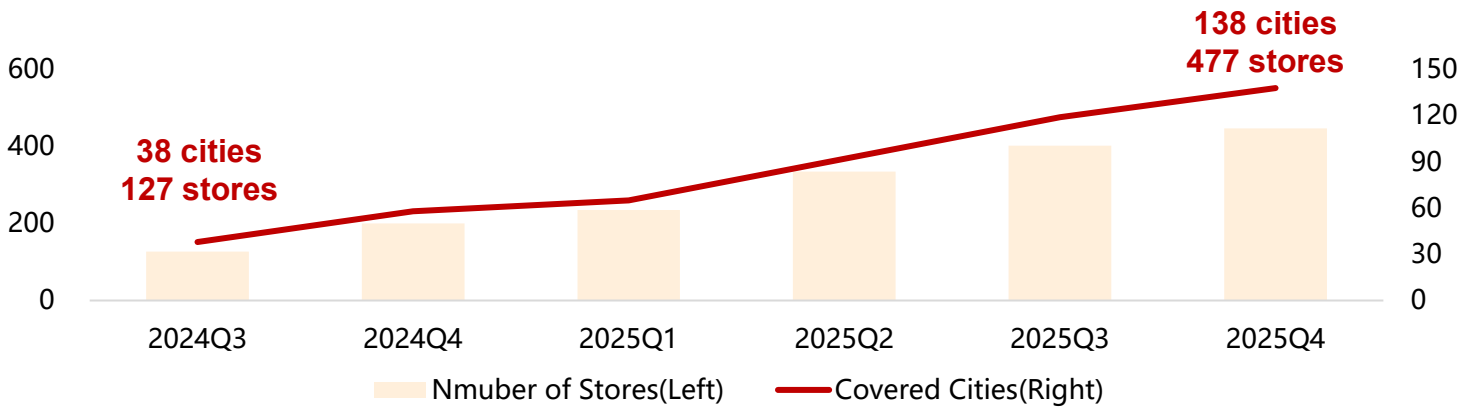
- ICE still competitive
- Charging constraints
- Policy support for EVs

Xiaomi Group's Asset-light Expansion Fueled by "1+N" Channel Network Synergy

Hybrid Operation Model of Direct-Sales Stores(1) + Dealers(N)



Xiaomi achieve the rapid establishment of Smart EV sales channels through channel reuse



Source: Annual Report, Omdia, IDC.



Investment Thesis

Multi-engines & strong ecosystem unlocking long-term value

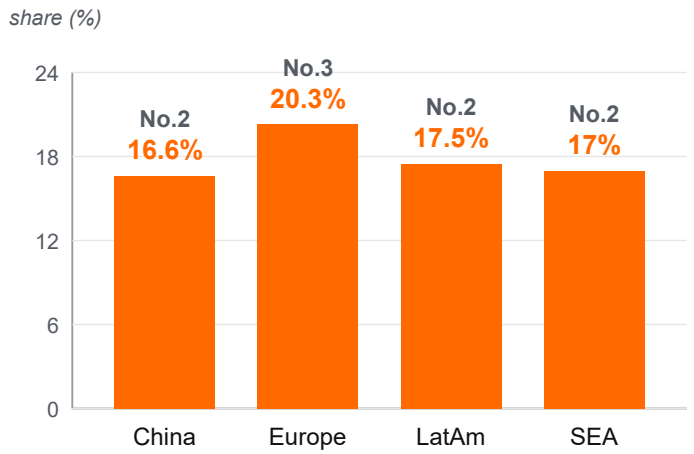
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THESIS 1 – Smartphone competitiveness drives premiumization and globalization

High value for money + wide channel coverage + increasing brand equity sustains strong market position

Premium path	**Top-3 global smartphone shipments with improving premium mix in China and overseas**
Global Channel	**Top-3 in 58 markets and Top-5 in 70 markets; No.2 in LatAm / SEA and No.3 in Europe**
Product Moat	**Leica imaging, flagship specs and strong value-for-money positioning support brand upgrade**

Selected 2025 smartphone market share



Scale and momentum

165.2m
FY2025 smartphone shipments

13.3%
Global shipment share

20 qtrs
Consecutive Top-3 global ranking

16.6%
Mainland China market share

Why Xiaomi phones win



Flagship halo

Xiaomi MIX / flagship models elevate brand perception while keeping honest pricing.

Dual-brand coverage

Xiaomi targets the premium tier while Redmi defends the mass market, supporting both scale and mix.

Technology + camera

Leica co-engineering, AI features and strong specifications reinforce product competitiveness.



1st step: Smartphones provide low-cost user acquisition at global scale, while premium mix and overseas expansion improve profitability and continuously rise brand perception.

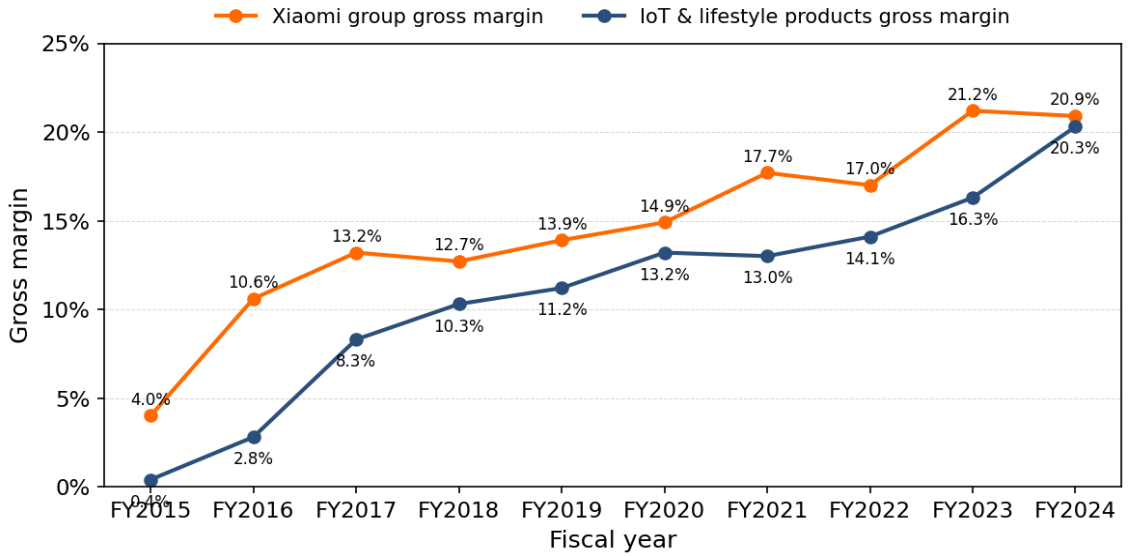
Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis

THESIS 2 – The ecosystem flywheel retains users and monetizes the installed base

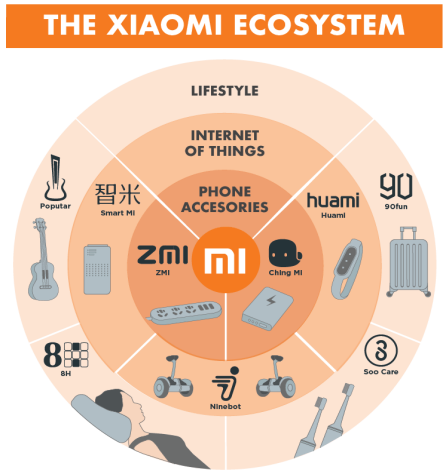
HyperOS system + AIoT platform deepens engagement while internet services harvest high-margin profit, realizing monetization

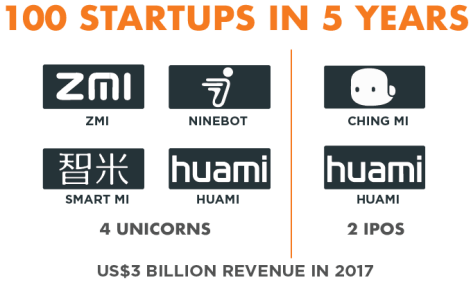
Installed base	**754.1m** global MAU and **1,079.2m** connected IoT devices provide a sticky user base
Monetization quality	Internet services contributed **34%** of gross profit and segment GM reached **76.5%**
Scenario depth	Large home appliances, tablets and wearables broaden scenarios and improve **cross-sell rates**

Xiaomi Group and IoT & Lifestyle Products Gross Margin



HyperOS supports Human-Car-Home integration





Xiaomi HyperOS

823M	200+	95%+
Connectable smart device	Product categories	Covered user life scenarios

2nd touchpoint: The key of AIoT is not product diversification itself, but higher user lifetime value through more devices and scenarios, creating user stickiness and loyalty while gradually improving margins.

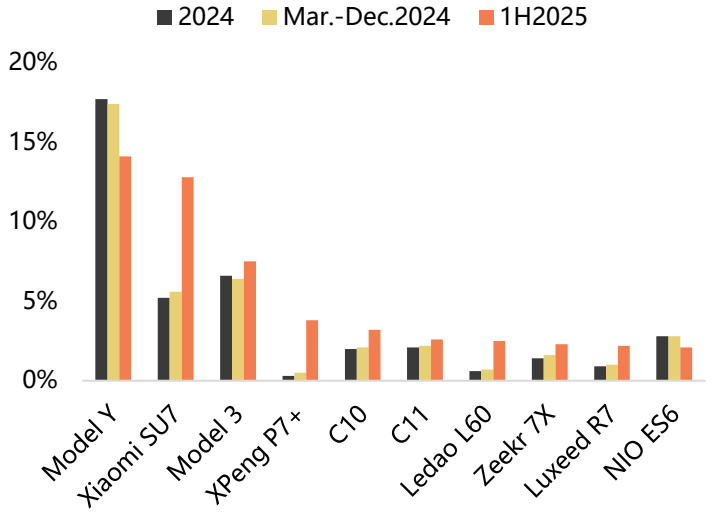
Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis

THESIS 3 – EV validates Xiaomi's third growth curve and raises the platform ceiling

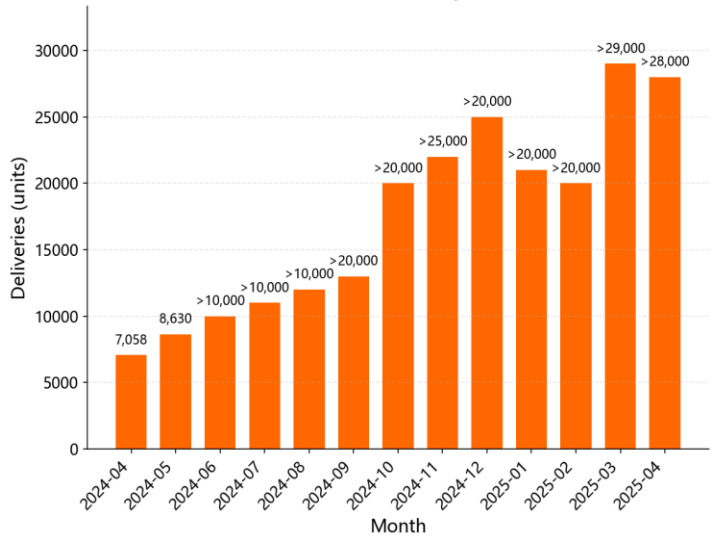
Ecosystem synergy, brand perception and industry-leading smart cockpit supports EV's unique edge and long term growth

Execution proof	FY2025 Smart EV & AI revenue reached RMB106.1bn, with segment gross margin of 24.3%
Scale-up visible	EV deliveries increased from 136,854 in 2024 to 411,082 in 2025 (+200.4% YoY)
Platform synergy	AI cockpit, HyperOS and Xiaomi's brand halo turn EV into a new ecosystem entry point

China's EV Market Share (Major Models)



Xiaomi EVs Monthly Deliveries



Why Xiaomi EV win



Brand pull — Strong consumer electronics brand equity lowers customer acquisition friction for EV.

Ecosystem fit — Phone-home-car integration gives Xiaomi a differentiated user experience rather than a stand-alone car story.

Execution credibility — The 2025 ramp demonstrates speed of execution — the key proof point investors needed.

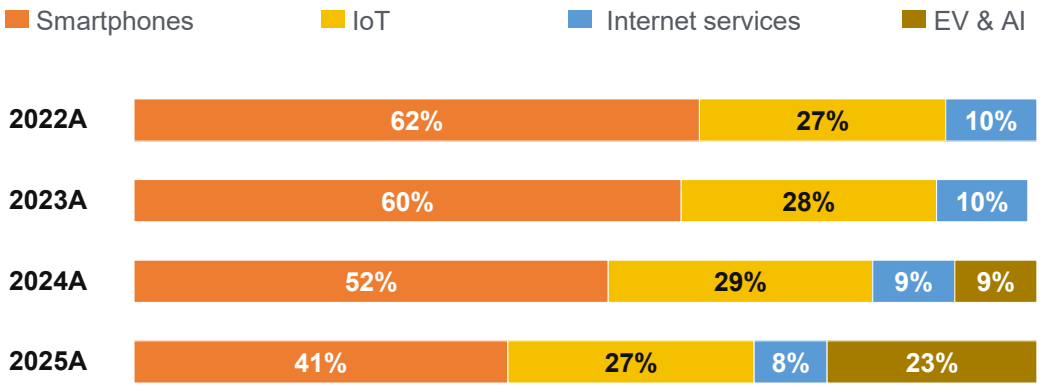
3rd growth curve: EV raises Xiaomi's revenue ceiling and brand perception, while further enhancing and expanding use cases of the unique Xiaomi ecosystem, proving upside optionality for future growth.

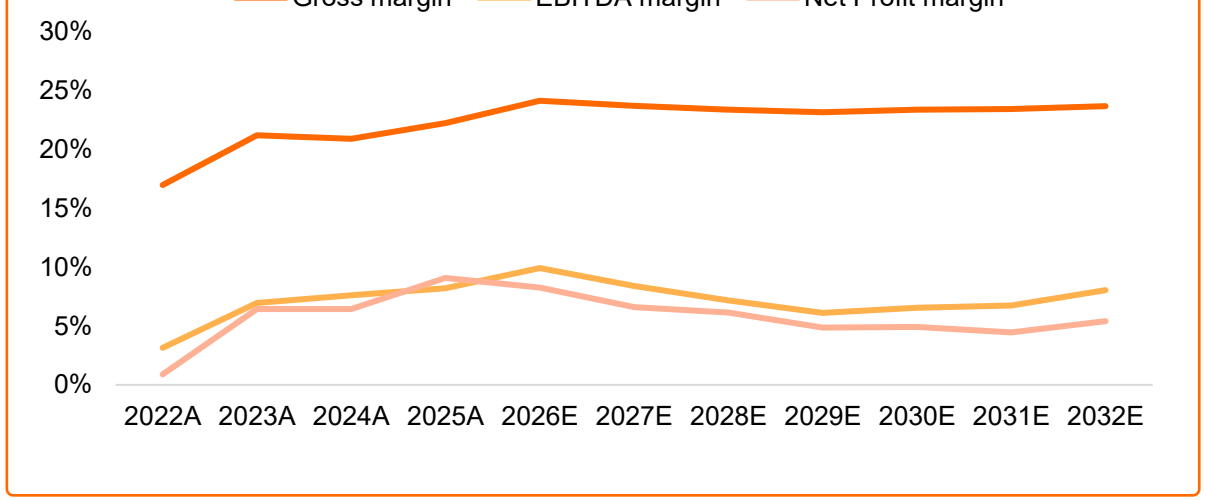
Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis

THESIS 4 – Multi-engine structure improves earnings quality and supports re-rating

Xiaomi is no longer a single-engine handset story but a diversified platform with rising optionality

Revenue diversification	By FY2025 revenue mix, smartphones were 41%, IoT 27%, internet services 8% and EV & AI 23%
Profit cushion	IoT and internet services remain the quality profit pool while EV scales and broadens the platform
Re-rating path	Hardware acquires users, services monetize lifetime value, and EV adds a new growth engine





Ultimate goal: Xiaomi should not be valued as a low-margin hardware company; it is becoming a multi-scenario consumer technology platform with improving brand equity, LTV, resilience and monetization strengths.

Source: Xiaomi 2025 Annual Report; Company Website; Team Analysis



Financial Analysis

Healthy financials well positioned for sustainable growth

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DUPONT ANALYSIS OVERVIEW: An upward and resilient trajectory towards diversification

Xiaomi outstands in 3 aspects of long-term profitability, operational control and financial return during comprehensive Dupont analysis

Highlight 1: upside profitability

22.3% ↑ 23.3% — 2025-2035 GPM

8.2% ↑ 10.2% — 2025-2035 EBITDA margin

Highlight 2: operational resilience

1.00x ↓ 0.88x — Asset turnover

2.00x ↓ 1.38x — Financial leverage

Highlight 3: promising return

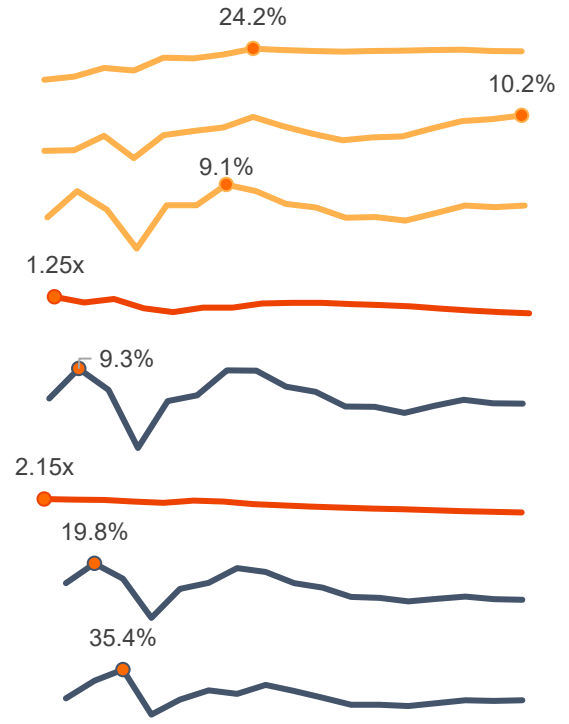
~5.6% — Long-term ROA

~7.7% — Long-term ROE

~14.7% — Long-term ROIC

Dupont Analysis	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Gross margin	13.9%	14.9%	17.7%	17.0%	21.2%	20.9%	22.3%	24.2%	23.7%	23.4%	23.2%	23.4%	23.5%	23.7%	23.9%	23.4%	23.3%
EBITDA margin	4.4%	4.4%	6.8%	3.1%	7.0%	7.6%	8.2%	9.9%	8.4%	7.2%	6.1%	6.6%	6.7%	8.0%	9.3%	9.6%	10.2%
Net Profit margin	4.9%	8.3%	5.9%	0.9%	6.4%	6.4%	9.1%	8.3%	6.6%	6.1%	4.9%	4.9%	4.5%	5.4%	6.4%	6.2%	6.4%
Asset turnover	1.25x	1.12x	1.20x	0.99x	0.91x	1.01x	1.00x	1.10x	1.12x	1.11x	1.09x	1.06x	1.03x	0.98x	0.94x	0.91x	0.88x
ROA	6.1%	9.3%	7.1%	0.9%	5.8%	6.5%	9.1%	9.1%	7.4%	6.8%	5.3%	5.2%	4.6%	5.3%	6.0%	5.6%	5.6%
Financial leverage	2.15x	2.13x	2.09x	2.01x	1.94x	2.06x	2.00x	1.87x	1.79x	1.72x	1.65x	1.60x	1.56x	1.52x	1.47x	1.42x	1.38x
ROE	13.2%	19.8%	14.8%	1.8%	11.3%	13.3%	18.2%	17.0%	13.2%	11.8%	8.8%	8.4%	7.2%	8.1%	8.8%	8.0%	7.7%
ROIC	16.0%	27.8%	35.4%	5.0%	15.1%	21.3%	18.9%	25.2%	21.1%	16.3%	11.5%	11.5%	10.8%	12.8%	14.7%	14.2%	14.7%

Trend and Peak

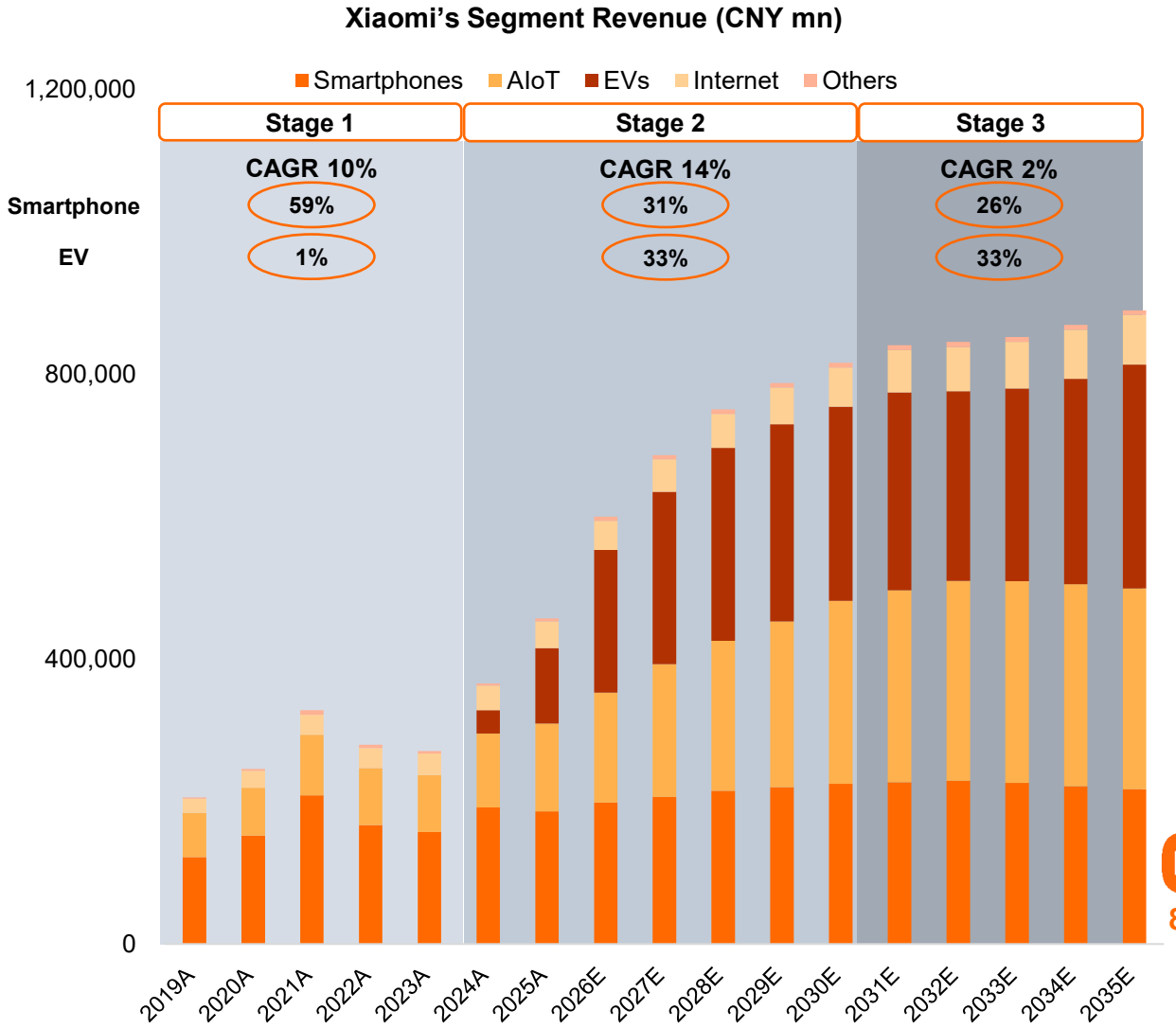


Source: Capital IQ, Team Analysis

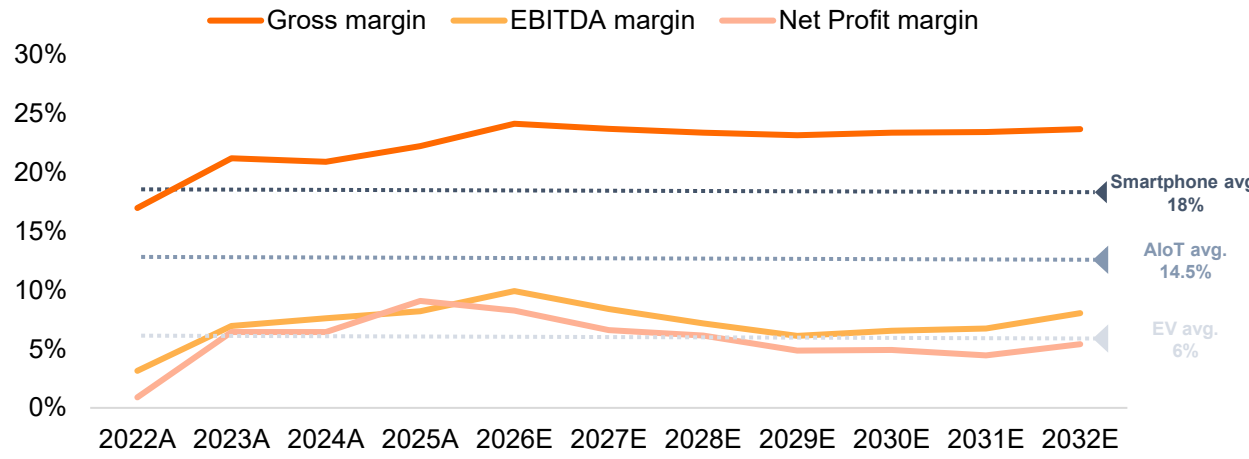
REVENUE & PROFITABILITY: Balanced income with competitive margin synergy

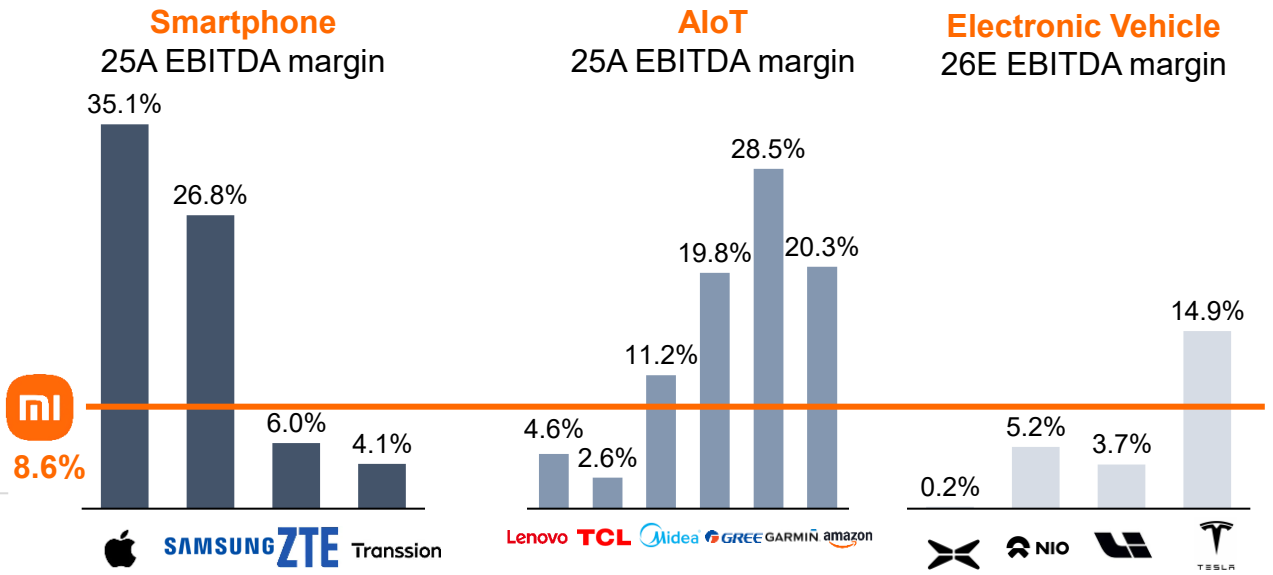
Xiaomi leverages EV in transition to new stage growth, while existing business shifts towards providing profitability support

Xiaomi diversified through three stage growth



Xiaomi's profitability endures transformation towards EV





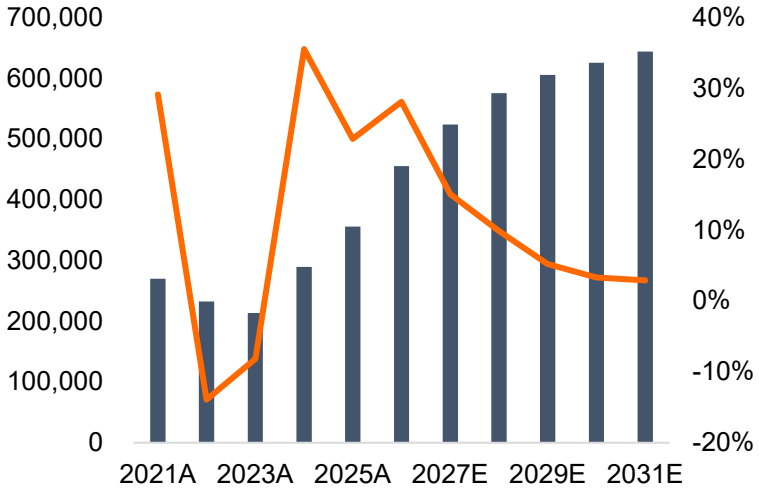
Source: Capital IQ, Company Info, Team Analysis

OPERATIONAL RESILIENCE: 3 buffer internal control mechanisms

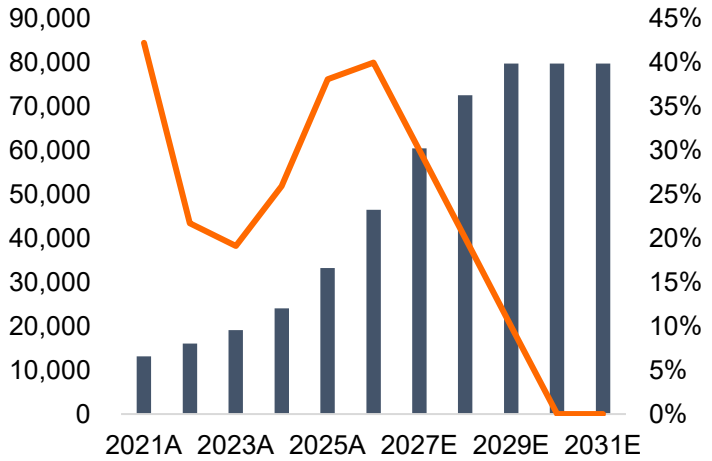
Xiaomi forms a long-term robust control buffer in cycle of "product – industry - company", laying the foundation for second growth

Buffer 1: Cost Control

Xiaomi's COGS (CNY mn) and YoY changes

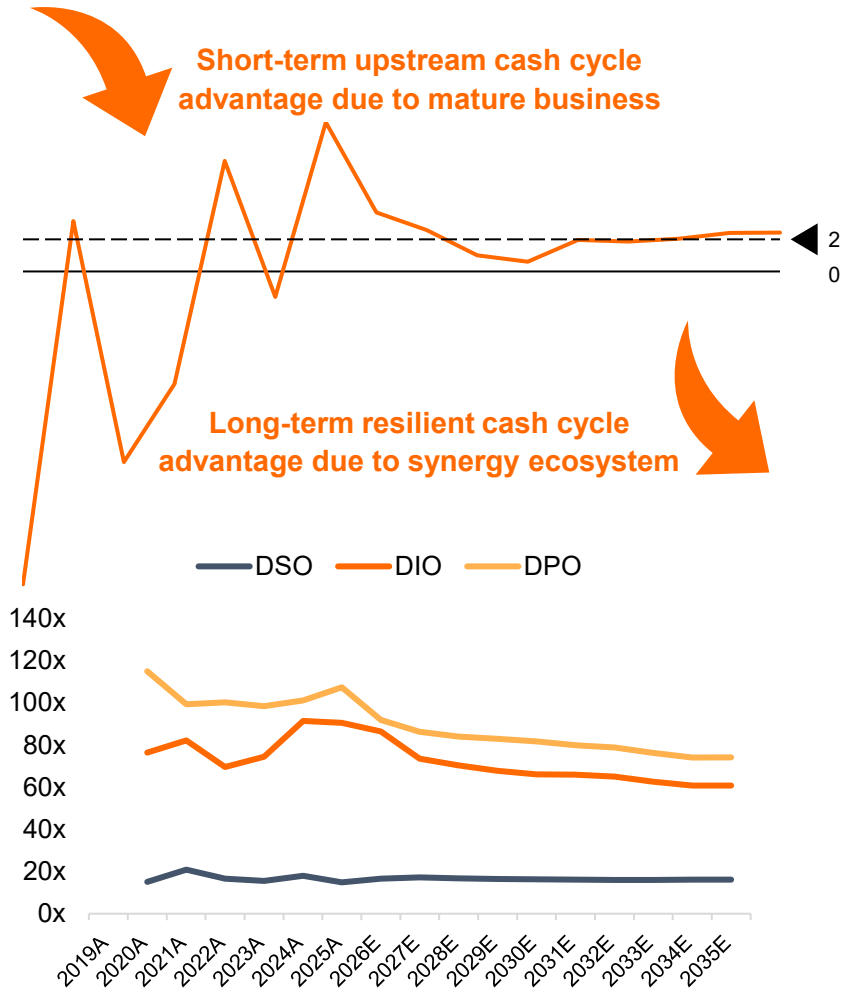


Xiaomi's R&D (CNY mn) and YoY changes



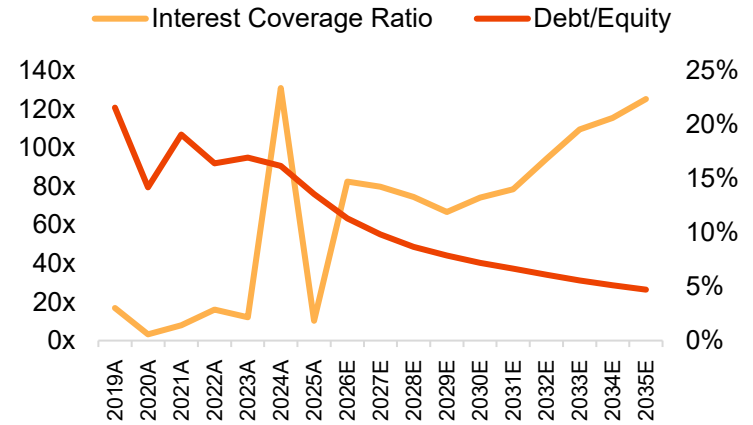
Buffer 2: Operation Control

Xiaomi's cash conversion cycles

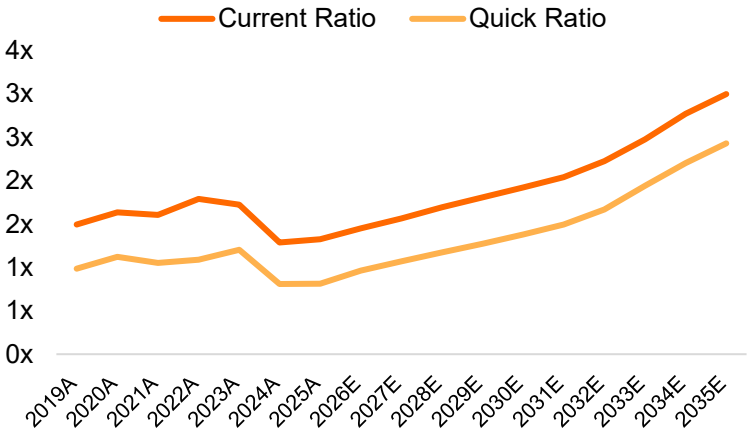


Buffer 3: Financial Control

Xiaomi's long term leverage structure



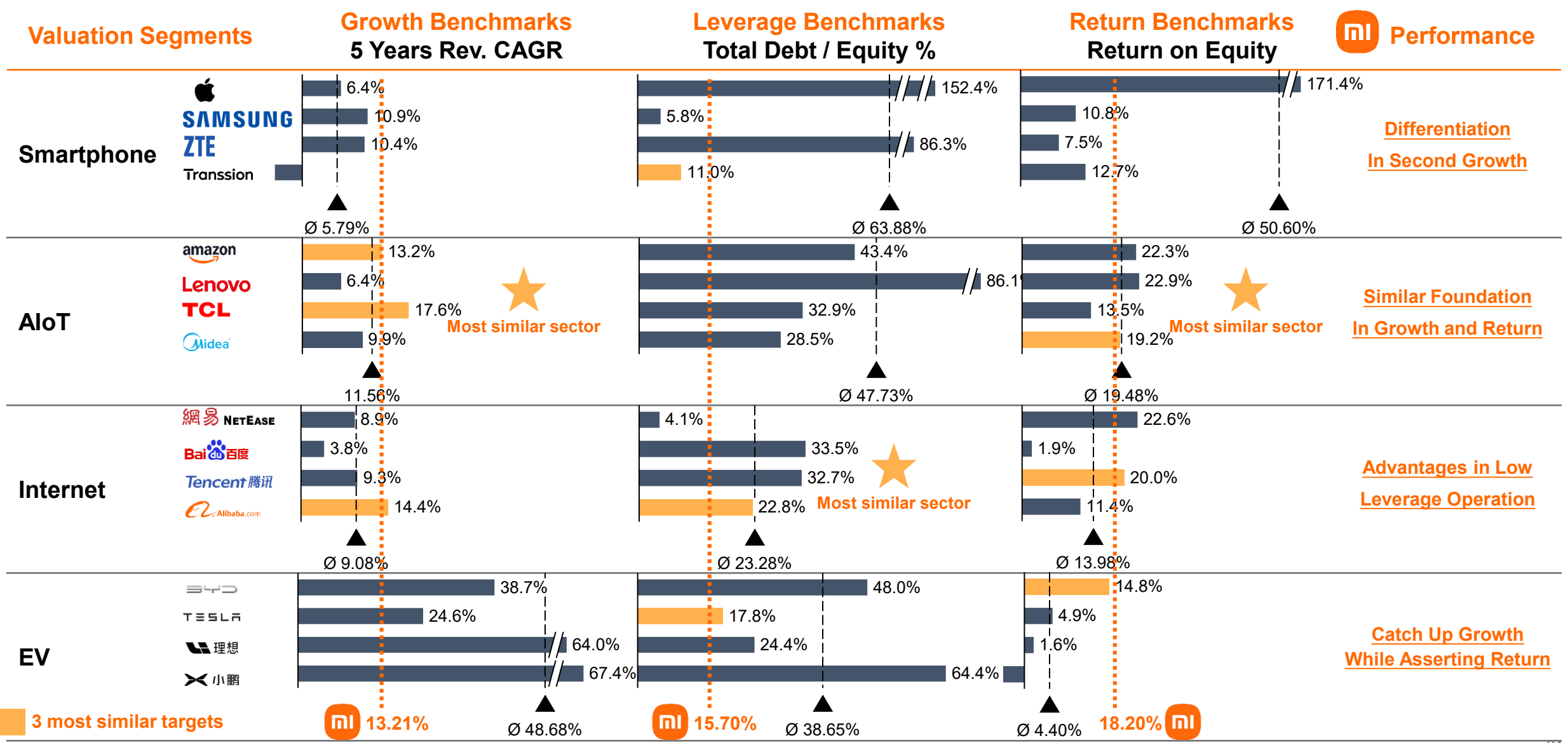
Xiaomi's long term quick ratio



Source: Capital IQ, Team Analysis

PROMISING RETURN: Differentialize smartphone, signalize AIoT, cultivate EV

Xiaomi's financial profile evolved from smartphone to AIoT and then to EV, emphasizing low leverage and high growth to ensure returns



Source: Capital IQ, Team Analysis



Valuation Model

Undervalued with huge upside potential

To Appendix →

VALUATION SUMMARY – SOTP arrives at a 42.31 HKD target implying 37.28% upside

Use SOTP as valuation method, with DCF serving as a sanity check, which is all in range against market reference

	Analysis Methods	Illustrative Price per Share (HKD)	Calculation	Comments
Illustrative Valuation	**Sum of the Parts**	$30.82 / $42.31 (37.28% Upside); 33.87 (25th quartile) – 66.56 (75th quartile)	(HKD mn): 406,113; 196,697; 138,517; 362,201; 37,141; 89; 1,140,757 — Phone, AIoT, Internet, EV, Net Debt, Minority, EqV. Target: 42.31 HKD. 37.28% Upside	• **SOTP is best fit** given Xiaomi's diverse business segments and difference in maturity • Arrive @ **42.31 HKD** 12-month-target implying a **37.28% upside**
Sanity Check	**DCF**	24.97 (Bear) – 50.00 (Bull)	DCF (Gordon Growth Model): EV (CNY mn) 911,998; Equity Value (CNY mn) 944,345; Equity Value (HKD mn) 1,086,847; **12-month target price (HKD) 40.31**; Closing Price (2026/5/6) 30.82; **Implied upside 30.8%**	• Consider **Group-level DCF** as a **sanity check** valuation method against SOTP • Bottom-up assumptions & revenue build imply intrinsic valuation
For Reference	**Market Consensus**	25.08 (Min) – 79.03 (Max)	Target price (HKD) / Upside: High 79.03 / 156.43%; Low 25.08 / (18.63%); Median 41.84 / 35.74%. *Based on 30 analysts' market consensus as of 2026/05/06*	• Analyst coverage show significant divergence among target price, **with median @ 41.84 HKD** • Majority of analysts indicate "buy", with few suggesting "sell"
	52-Week Price Range	29.02 (Low) – 60.15 (High)	65.0 / 55.0 / 45.0 / 35.0 / 25.0; 7-May-25, 7-Jul-25, 7-Sep-25, 7-Nov-25, 7-Jan-26, 7-Mar-26. Xiaomi Corp (1810.HK); Hang Seng Index (HSI.HI)	• Xiaomi saw huge fluctuation in stock price, recently **reaching 52-week low of 29.02 HKD** • Xiaomi has been underperforming the HSI over past 52-weeks

Closing price at 2026/05/06 | 12-month target price

Source: Capital IQ, Market Screener, Team Analysis

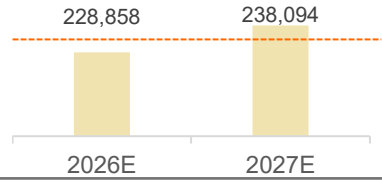
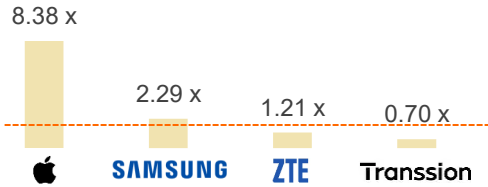
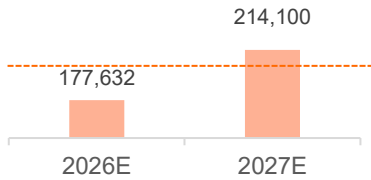
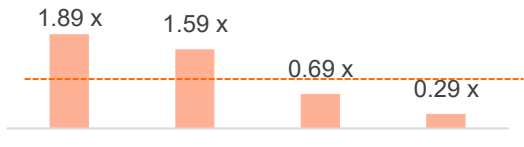
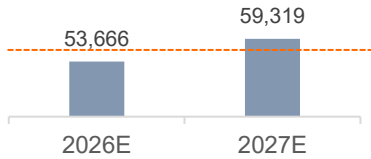
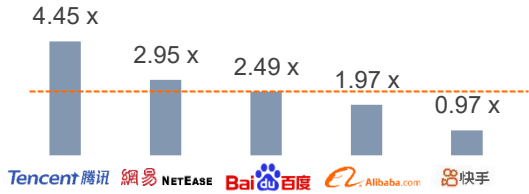
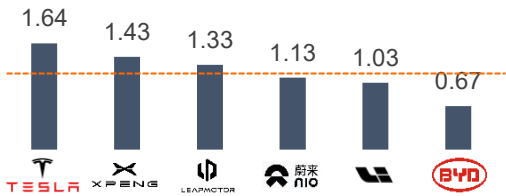
SUM OF THE PARTS (SOTP) – 12-month-target @42.31HKD, with 37.28% upside

Value Smartphone, AIoT and Internet business via NTM EV/revenue peers benchmarking; value EV business via standalone DCF

EV/Revenue Multiple

DCF

EV-EqV Bridge

Business Segments	Business fundamentals	Peers Benchmarking	Segment Valuation (mn HKD)
Smartphone	 *NTM Adj. Rev:* ***232,065***	 *NTM EV/Rev Median:* ***1.75x***	**Segment EV** Upper-quartile 884,747 **Median 406,113** Lower-quartile 251,210
AIoT	 *NTM Adj. Rev:* ***190,295***	 *NTM EV/Rev Median:* ***1.03x*** ** Multiples assigned based on % of revenue*	**Segment EV** Upper-quartile 283,265 **Median 196,697** Lower-quartile 161,746
Internet Service	 *NTM Adj. Rev:* ***55,629***	 *NTM EV/Rev Median:* ***2.49x***	**Segment EV** Upper-quartile 184,967 **Median 138,517** Lower-quartile 131,285
Electric Vehicle	**Standalone DCF** EV (CNY mn) 314,711 Equity Value (CNY mn) 326,074 Equity Value (HKD mn) 375,279	 *1-year Beta Median:* ***1.23***	**Segment EV** Upper-quartile 404,363 **Median 362,201** Lower-quartile 331,619
Equity Value	**TEV (HKD mn) 1,103,528** Smartphones 406,113 AIoT 196,697 Internet 138,517 Electric Vehicles 362,201	Less: Net Debt (37,140) Less: Minority Interest (89) EqV 1,140,757 **12-month-target (HKD) 42.31** **Implied upside 37.28%**	**Target: 42.31 HKD** *37.28% Upside* **[33.87 HKD……66.56HKD]**

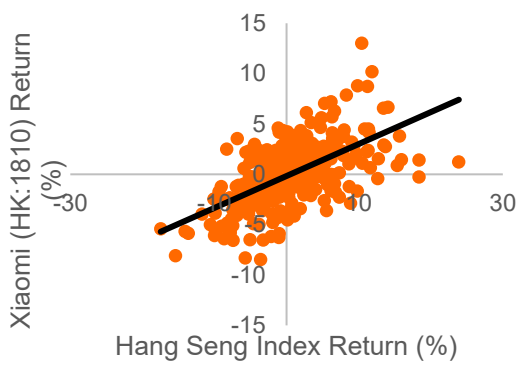
Source: Capital IQ, Market Screener, Team Analysis

Sanity Check: DCF – Intrinsic valuation arriving at 40.31 HKD implying a 30.79% upside

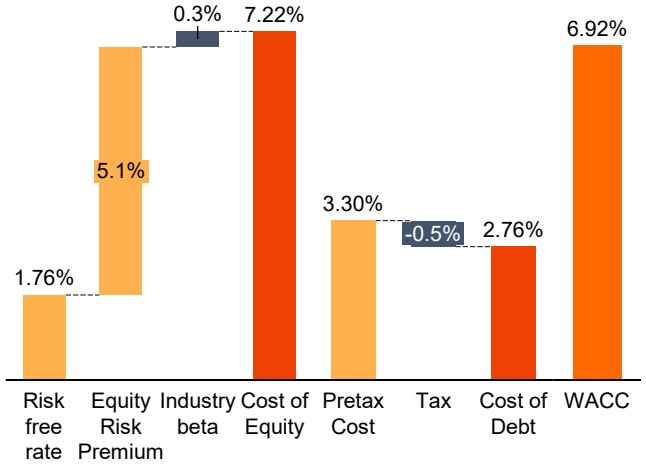
Leverage group-level DCF as sanity check against SOTP valuation, providing another angle to understand Xiaomi

DCF Calculation Process

Beta Calculation

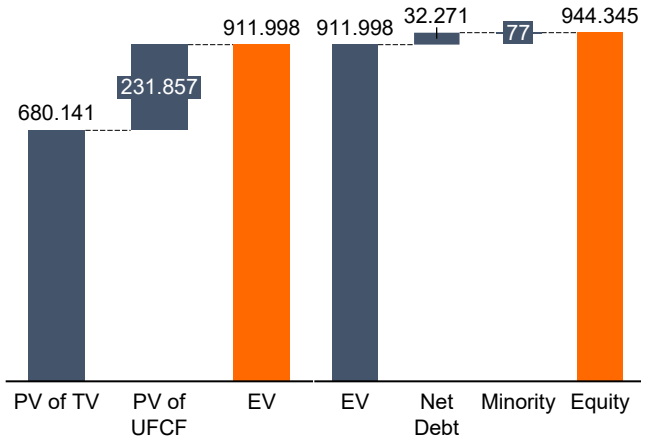


WACC Building



DCF (Gordon Growth)	
Assumptions	
WACC	**6.92%**
Perpetual growth rate	**2.80%**
CNY/HKD	**1.15**
EV (CNY)	**911,998**
Less: Net Debt	-32,271
Add: Minority Interest	-77
Equity Value (CNY)	944,345
Equity Value (HKD)	**1,086,847**
ADS outstanding (mn)	26,962
12-month target price (HKD)	**40.31**
Closing Price (2026/3/31)	30.82
Implied upside	**30.8%**
Implied 2026E P/E	**18.99x**

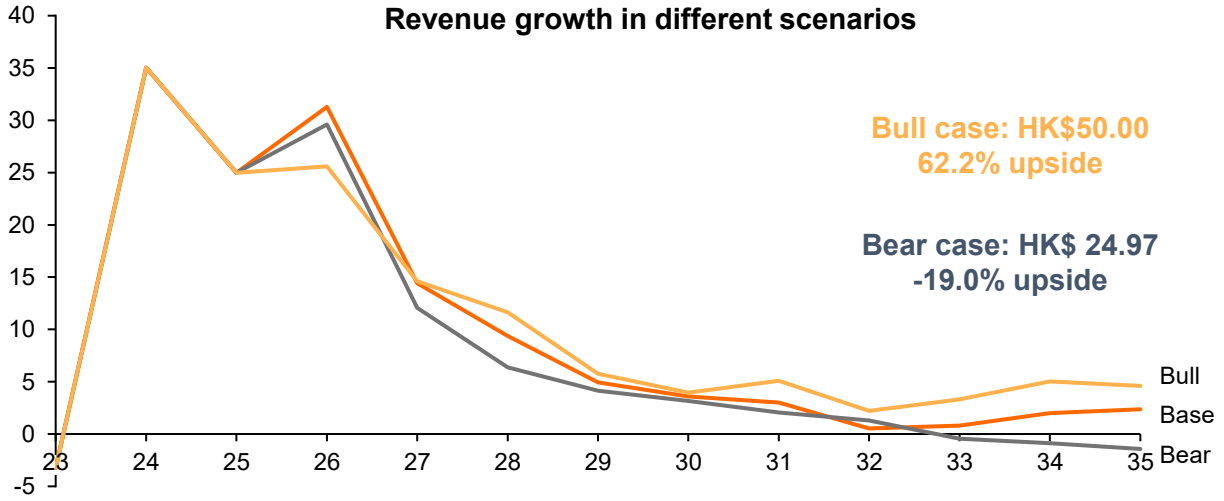
Equity value building



Source: Capital IQ, Market Screener, Team Analysis

Scenario Analysis and Assumptions

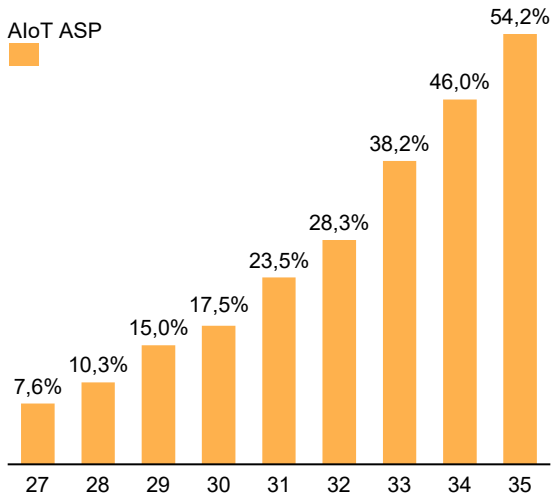
Revenue growth in different scenarios



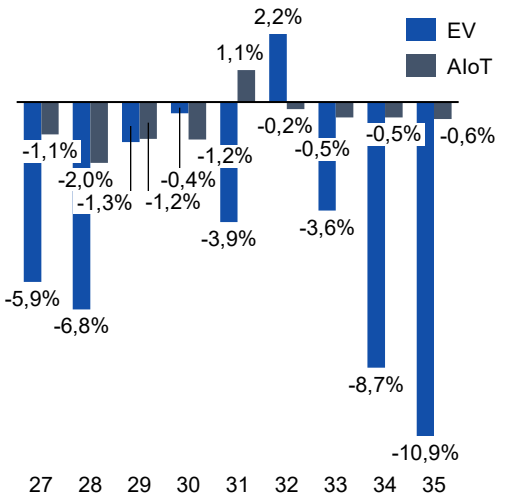
Bull case: HK$50.00
62.2% upside

Bear case: HK$ 24.97
-19.0% upside

Bull case driver: AIoT Shipments Rising Compared with Base case



Bear Case driver: EV sales slowdown Compared with Base case





Environmental, Social & Governance

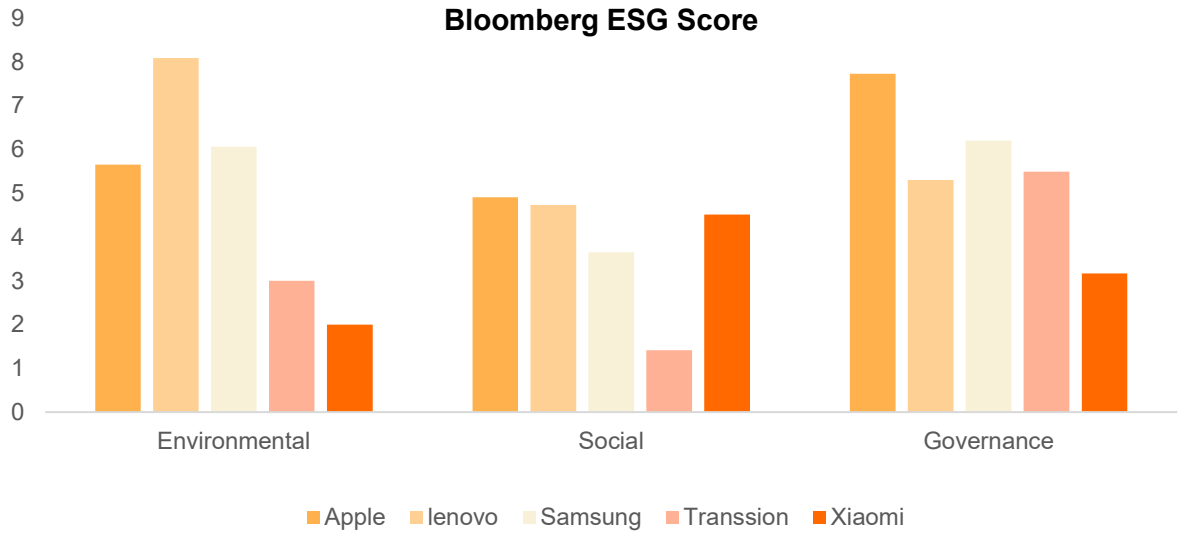
Rising responsibility alongside sustainable development

To Appendix →

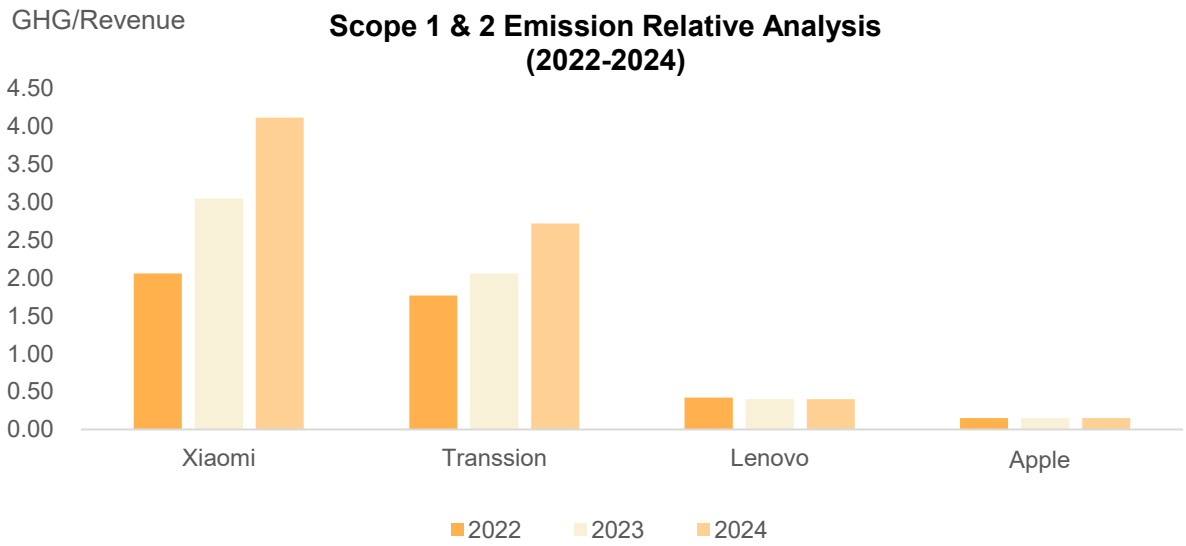
ENVIRONMENTAL & SOCIAL ANALYSIS

High GHG intensity highlights environmental shortcomings, requiring long-term goals executions

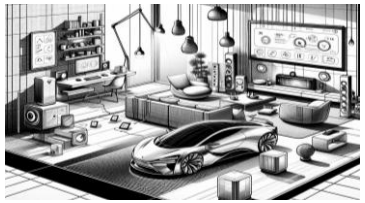
Xiaomi is Lagging in Environmental and Governance Performance



Xiaomi's GHG intensity remains higher than peers



Xiaomi's ESG is integrated into the business model



Xiaomi ESG Goal

- ✓ 2030 30% CO2 Reduction
- ✓ 2040 Carbon Neutrality[1]
- ✓ 2040 100% Renewable Electricity
- ✓ 2050 Supplier 100% Green Power usage

Xiaomi's social initiatives bridge the digital divide[2]

"OWN MY VOICE"
Voice Matching Donation

512 Employees with disabilities
50+ XiaoAI Accessibility Annotators

DESIGN AWARD 2023

8 DECENT WORK AND ECONOMIC GROWTH

10 REDUCED INEQUALITIES

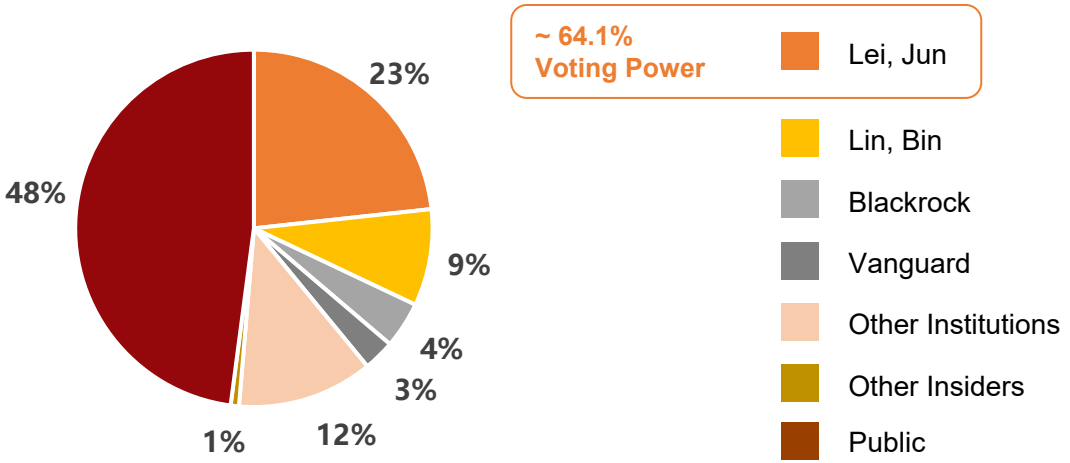
Note: 1. In existing operations 2. Refer to Figure 29 for the alignment of Xiaomi ESG practices with the SDGs

Source: MorningStar, MSCI, Team Analysis

GOVERNANCE ANALYSIS

Founder-controlled governance supports long-term strategy but carries dual-class risks

Dual-Class Risks Mitigated through Shareholder Alignment





Lei Jun's **personal reputation and vested interest** are tied to Xiaomi's long-term success.



Dual-class shares insulate Xiaomi from short-term pressure to pursue **a long-term EV strategy.**

HKEX 香港交易所

HKEX rules prevent inheritance of super-voting rights and require **one-share-one-vote on core governance**.

ESG scores and Team 4 proprietary ESG Rating System

Vendor	Overall	E	S	G
MORNINGSTAR | SUSTAINALYTICS	17.04/40+	-	-	-
Bloomberg	3.39	2.00	4.51	3.17
S&P Global	80/100			
MSCI	A	-	-	-
PKU Team	**3.77**	**2.15**	**4.51**	**3.30**

We considered multi-faceted ESG factors for our valuation

1. **ESG expert interviews**
2. **Sustainalytics BETA**
3. **ESG preferences of Chinese investors**
4. **Academic Research on the ESG Risk Premium**

Source: Xiaomi ESG Report, Team Analysis



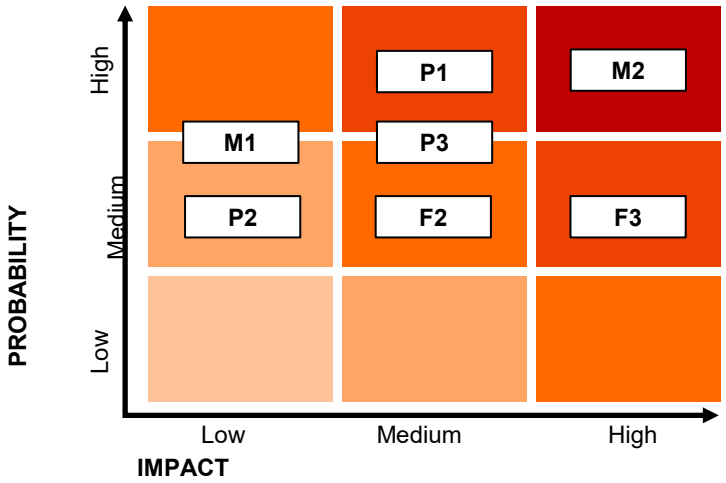
Investment Risks

To Appendix →

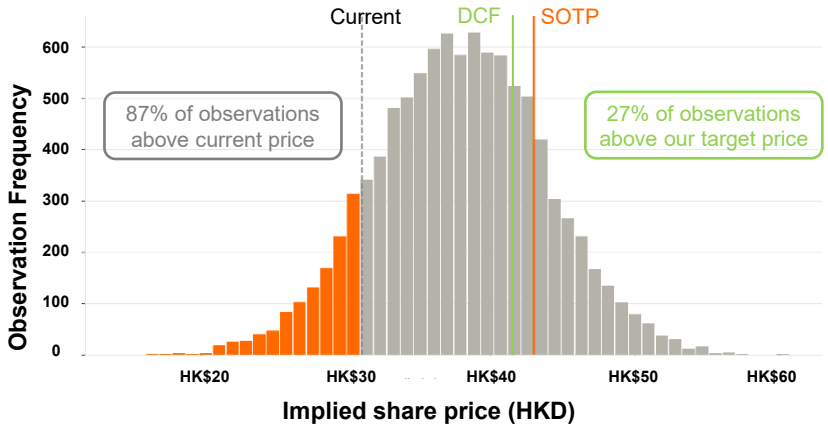
INVESTMENT RISKS

We recognize three key downside risks to our BUY recommendation

Risk Matrix



Monte-Carlo Analysis



M2 — Intensified Competitive Pressure

Δ+2.5% Cost, -5% Revenue
Impact: ~14.2% Value

- Aggressive Pricing Dynamics
- Rapid Innovation Cycles
- Market Saturation

F3 — EV Safety and Recall Risk

Impact: 8~15% Value

- Direct Financial Losses
- Reputational Damage
- Investor Confidence Drop

P1 — Geopolitical Tensions

Δ+5% Cost, -5% Revenue Overseas
Impact: ~8.5% Value

- Trade Restrictions & Sanctions
- Technology Access Barriers
- Supply Chain Fragmentation

M1 — Consumer Electronics Cyclicality

Δ -5% Smartphone Revenue
Impact: ~12% Value

P2 — Data Privacy Regulation

Δ+2.5% Cost
Impact: ~4.6% Value

30

Source: MorningStar, MSCI, Team Analysis

INVESTMENT RISKS

F3 EV Safety and Recall Risk : Valuation decline of ~8% to 15%

Financial & Operational Impact

Impact A: One-off costs arising from recalls and rectifications (cash expenses/charges) : **0.5 - 5 bn RMB**

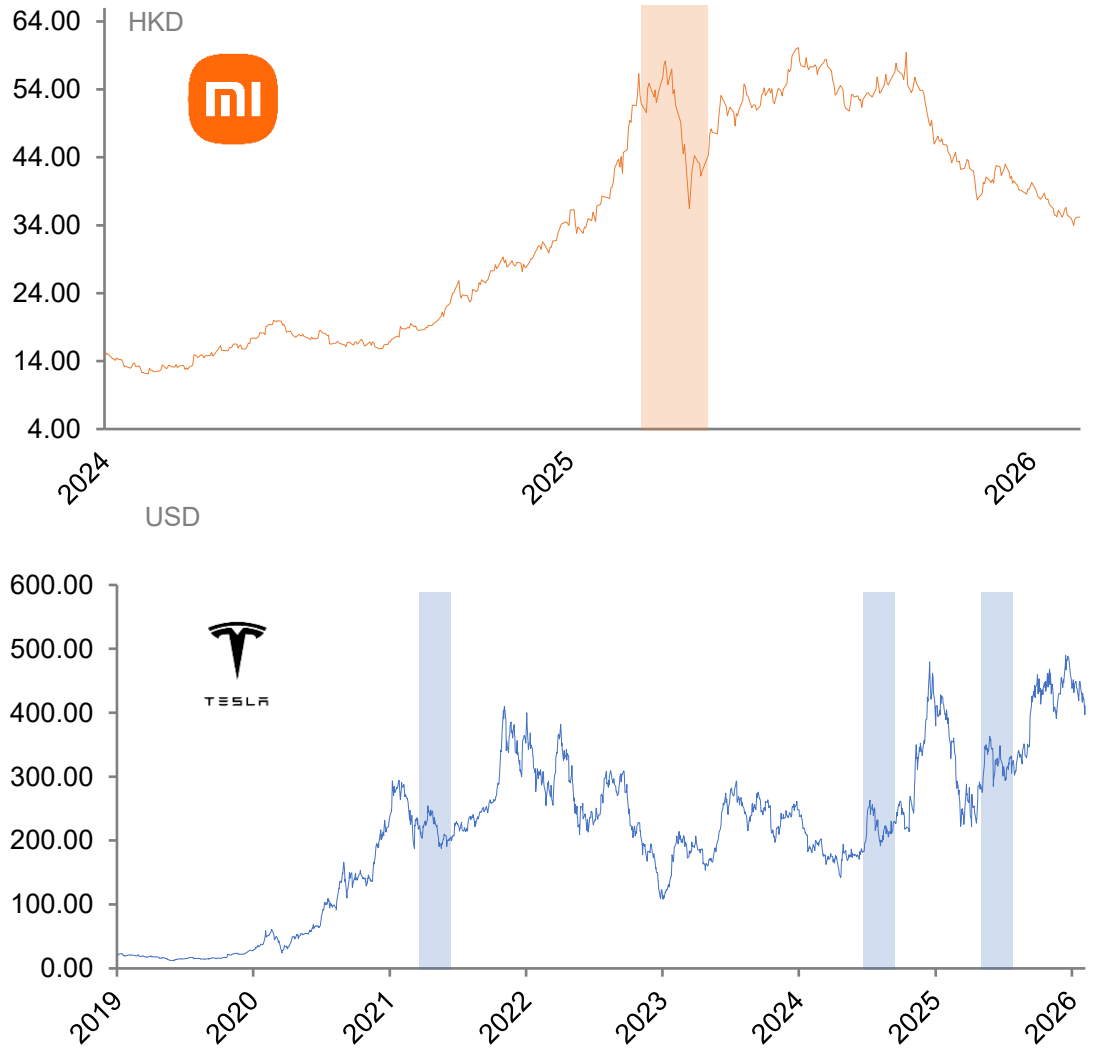
Impact B: Decline in sales volume (deliveries) over the next 1-2 quarters: **~5% to ~20%**

Impact C: Increase in operating expenses (compliance, testing, legal, PR, channel subsidies, insurance, etc.)) : **0.8 - 2 bn RMB**

Peer Benchmarking: Tesla vs. Xiaomi

	Tesla (TSLA)	Xiaomi (1810.HK)
Average Single-Incident Drop	**4%-8%**	**5.5%-8%** (intraday nearly 9%)
Cumulative Decline	**10%-15%** (2-3 weeks)	**25.91%** (2 weeks after Tongling accident)
Recovery Speed	Fast (4-8 weeks, 50% recovery)	Slow (3-4 months)
Investor Base	High institutional investors, mature trading	Mixed retail + institutional, high sentiment swings
Brand Moat	Strong premium, sales immune to single accident	New brand, impacts premium strategy
Core Business Dependency	**100% EV**	**~20% EV**, supported by mobile + AIoT

Historical Stock Price Reaction



Source: MorningStar, MSCI, Team Analysis

SUMMARY

Xiaomi is positioned for a platform re-rating driven by ecosystem scale, EV growth and expanding profitability.

- **Strategic evolution into "Human–Car–Home" ecosystem enhances market position and technology flywheel**
- **Diverse smartphone and AIoT portfolio strengthens revenue resilience and cash flow**
- **Successful pivot into smart EV boosts long-term sustainable growth**
- **Improving profitability and margin expansion unlock upside potential**

Recommendation

BUY

Target price: **HKD 42.31**

Current price: HKD 30.82

37.28% upside

vs. May 6th 2026 closing price



XIAOMI Corp. (1810.HK)

"Always Believe that something wonderful is about to happen"

BUY

@42.31 HKD

+37.28% upside

Peking University (PKU) Team:

Enze Zhang, Kexin Cui, Zheng Huang, Baoxiang Liu, Yifan Xiao

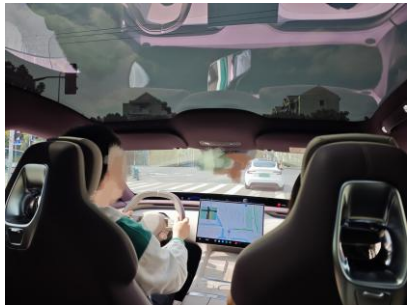
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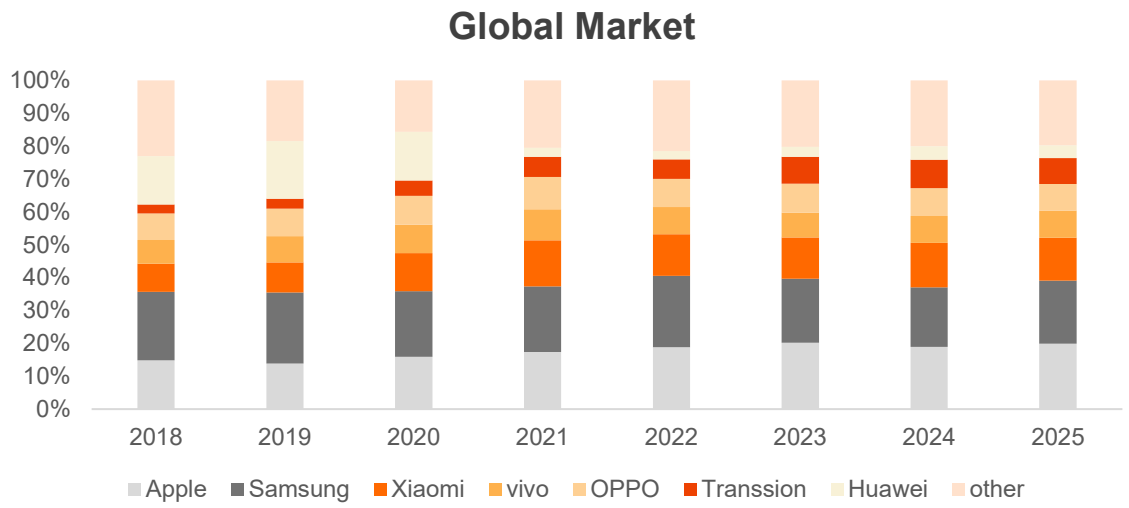


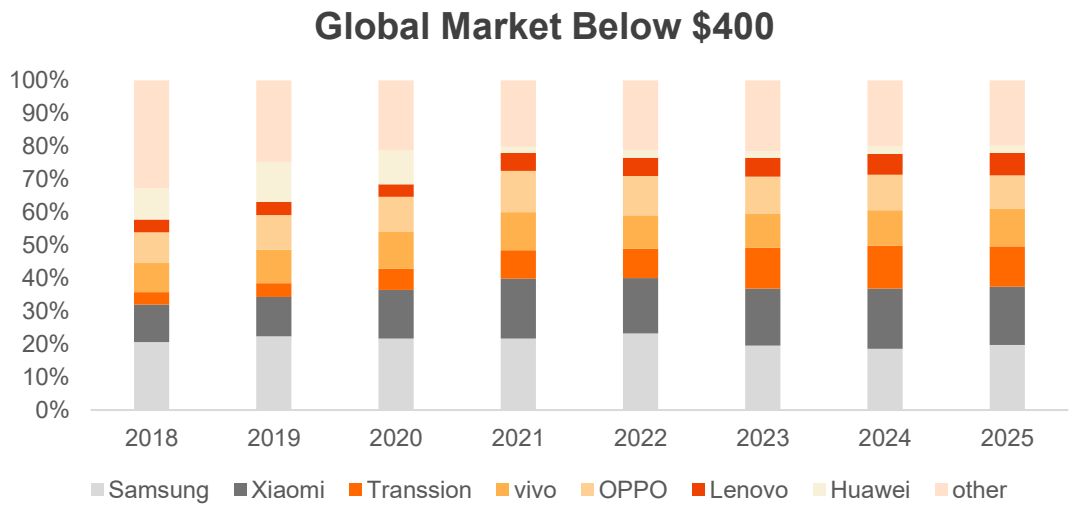


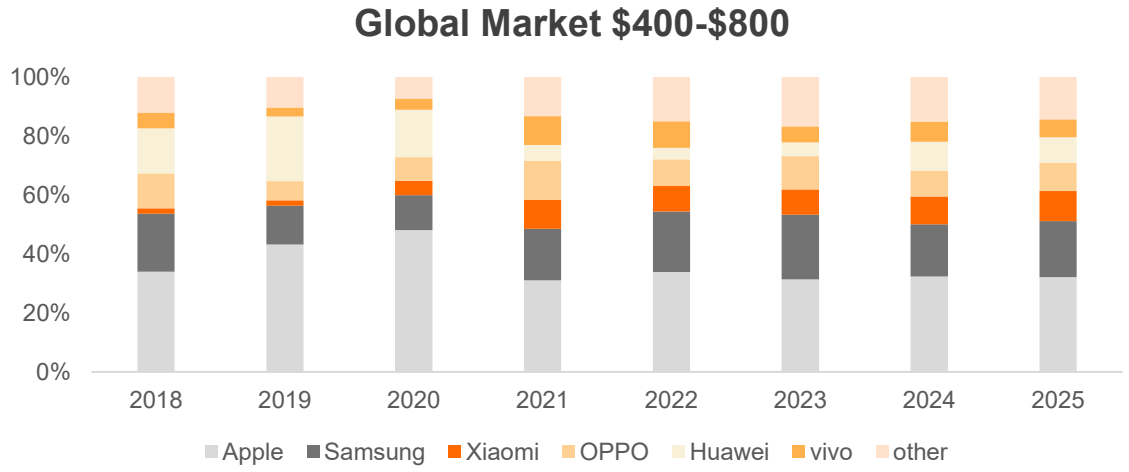


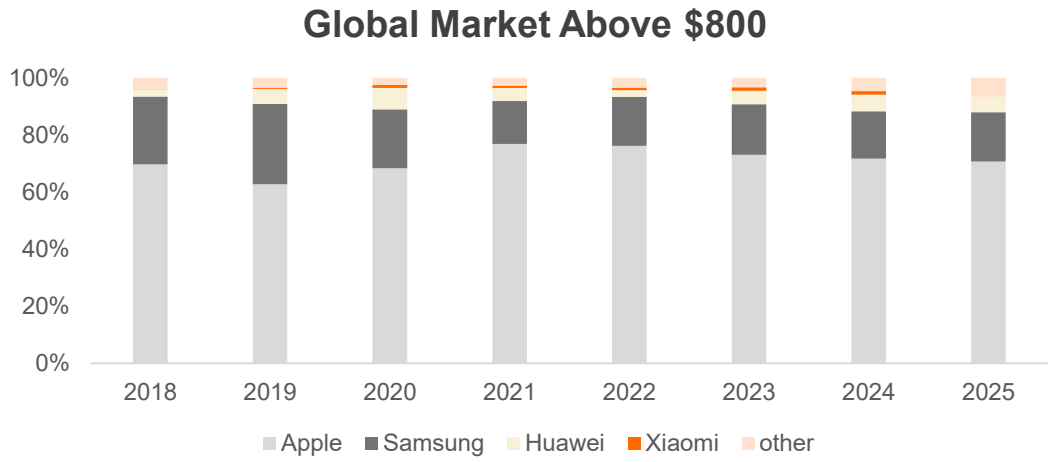
APPENDIX: Smartphone Industry & Competition

Figure 1: Global Smartphone Competitive Lnadscape









APPENDIX: Smartphone Industry & Competition

Figure 2: Global Smartphone Shipments by Region (3Q 2024 VS 3Q 2025)

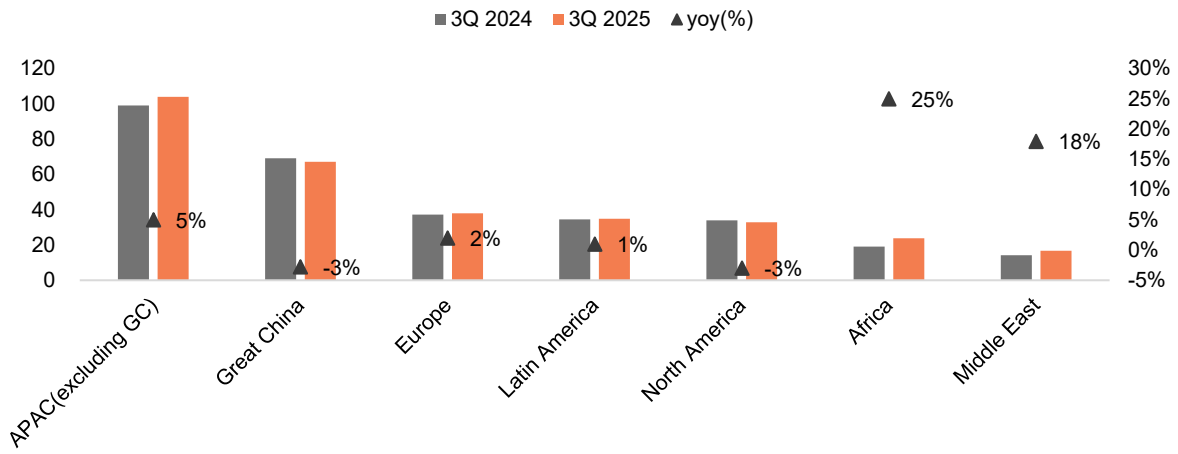


Figure 3: 2025 Top 5 Companies, Worldwide Smartphone Shipments

Company	Shipments	Market Share	YOY
Apple	240.6	19%	7%
Samsung	239.1	19%	7%
Xiaomi	165.4	13%	-2%
vivo	105.3	8%	4%
OPPO	100.7	8%	-3%
Others	394.3	33%	-2%
Total	1245.5	100.00%	2%

Figure 4: China Smartphone Market ASP ($)

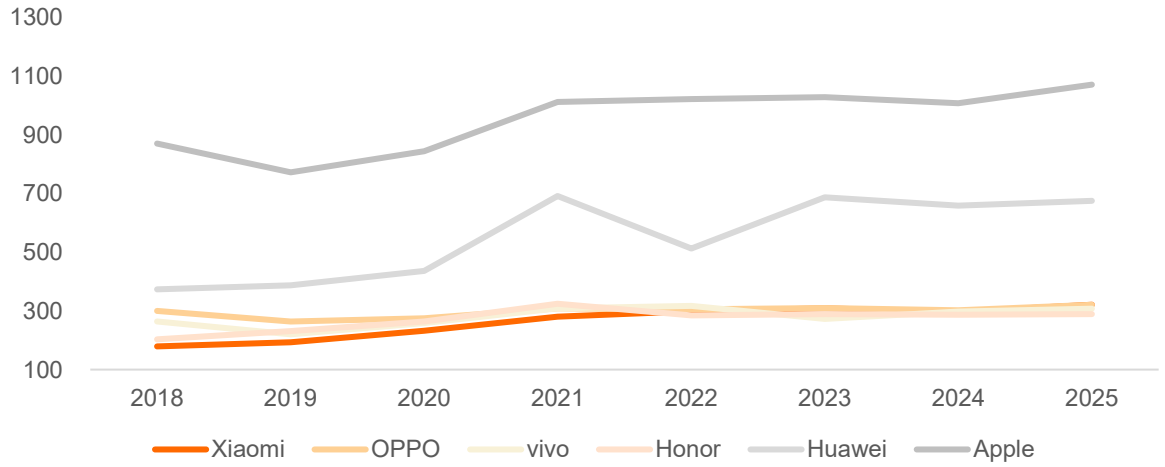


Figure 5: Xiaomi solidifies No.3 position via cost-effective AI smartphones

Top5	Core AI Model	Para Scale	Price	Performance
	ChatGPT	3B	>$850	
SAMSUNG	Self-developed & Gemini	3B/7B	>$800	
	Self-developed Ranked 3rd globally	**1B/3B/7B**	**>$350**	
vivo	Self-developed & Doubao	1B/3B/7B	>$400	
oppo	Self-developed & Deepseek	0.6B/1B/3B/4B	>$400	

APPENDIX: Smartphone Industry & Competition

Figure 6: Xiaomi Continued to Gain Smartphone Market Share in Chinese Mainland

Vendor	2025 Units Sold (Million Units)	2025 Market Share	YoY Units Sold Change
Peer v	46.5	16.8%	-2.6%
Xiaomi	45.9	16.6%	5.4%
Peer A	45.2	16.3%	11.0%
Peer H	43.6	15.8%	-1.4%
Peer O	40.4	14.6%	7.6%
Others	55.2	20.0%	-8.3%
Total	276.9	100.0%	1.0%



Source: Company Annual Report.

According to third-party data, by units sold in Chinese mainland. Premium smartphones in Chinese mainland are smartphones with retail prices at or above RMB3,000

APPENDIX: Smartphone Industry & Competition

Figure 7: Xiaomi' product strength - Renowned for high cost-effective with superior specs at equivalent price points

Business Model

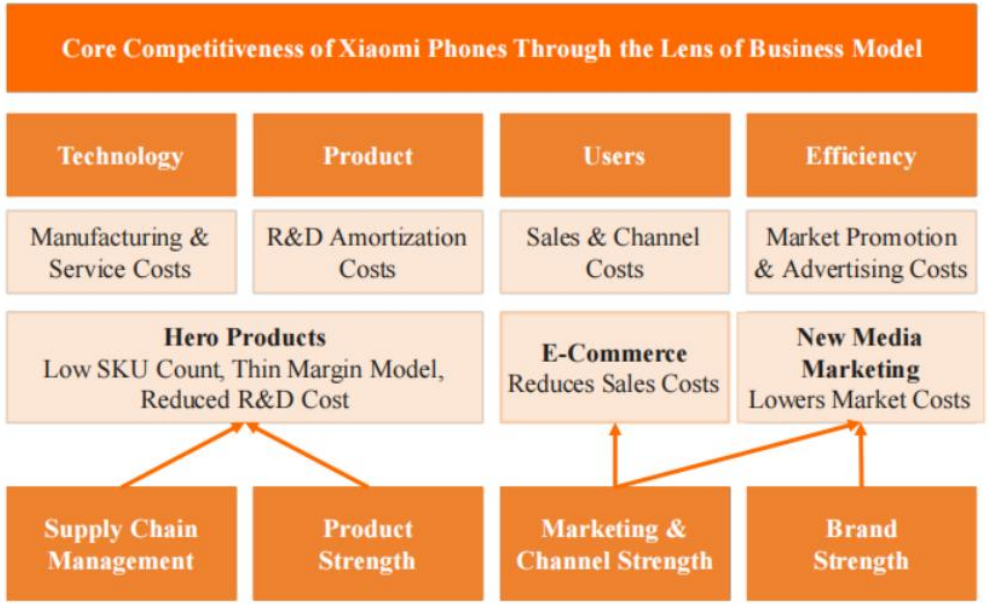
Closed-loop strategy: cost-effective hardware as user acquisition, Internet services for long-term monetization. **Keep net profit margin of hardware business within 5%**, which enables Xiaomi to scale up rapidly during the industry's expansion phase.

Product Strength

Renowned for high cost-effective with superior specs at equivalent price points, well suited for online users. Early over-emphasis on specifications led to experience flaws such as overheating. Since 2025, Xiaomi has prioritized user experience via Leica partnership and foldable devices, yet still lags behind Apple and Huawei in premium experience.

Supply Chain Management

Benefiting from its **large ecosystem and shipment volume**, Xiaomi has strong bargaining power over upstream suppliers. **It shares procurement, production and warehousing resources with ecosystem partners to achieve centralized purchasing** of core components, reducing costs and inventory risks.



Flagship Phones	Xiaomi	Apple	Samsung Galaxy	Huawei (Mate/Pura)	Honor
Model	Xiaomi 15	iPhone 16	Galaxy S25+	Mate 70 Pro / Pura 70 Pro	Magic7 Pro
Release Date	2024.10	2024.09	2025.02	2024.11 / 2024.04	2024.11
Starting Price (CNY)	4499	5999	5999	6199 / 6499	5699
Operating System	HyperOS (Android-based)	iOS	Android	HarmonyOS / HarmonyOS/EMUI	Android MagicOS
Main Camera (MP)	50	48	50	50 / 50	50
Display	LTPO AMOLED	Super Retina XDR OLED	Dynamic LTPO AMOLED 2X	LTPO OLED / OLED	LTPO OLED
SoC	Snapdragon 8 Elite (3 nm)	Apple A18 (3 nm)	Snapdragon 8 Elite (3 nm)	Kirin 9020 / Kirin 9010 (7 nm)	Snapdragon 8 Elite (3 nm)
GPU	Adreno 830	Apple A18 GPU	Adreno 830	Maleoon 920 / Maleoon 910	Adreno 830
RAM/Storage (GB)	Up to 1TB	Up to 512GB	Up to 512GB	Up to 1TB / Up to 1TB	Up to 1TB
Battery Capacity (mAh)	5240 (Global); 5400 (China)	3561	4900	5500 / 5050	5850

APPENDIX: Smartphone Industry & Competition

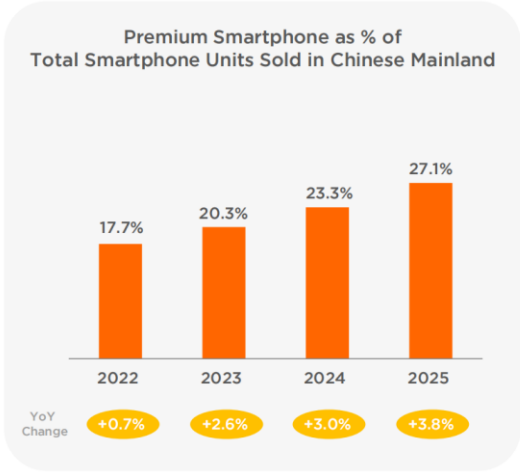
Figure 8: Xiaomi's High-End Transition and Global Market Strategy

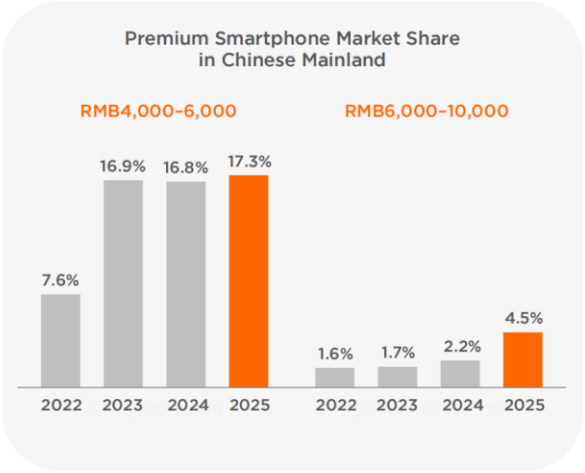
High-End Transition Challenges

- Xiaomi' high-end push stalled after 2021, with **global ASP around $200 and China ASP near $300**, far below Apple (~$1000) and Huawei (~$700).
- **About 60% of sales are below $200**. It is **solid in ¥4,000–6,000 segment but weak above ¥6,000**, held back by experience, quality consistency and brand image
- Overemphasized specs → Experience-first, value-upgrading and brand upgrading
- **It is still in validation stage**; sustainable success depends on ASP, sales share above ¥6,000 and high-end user retention

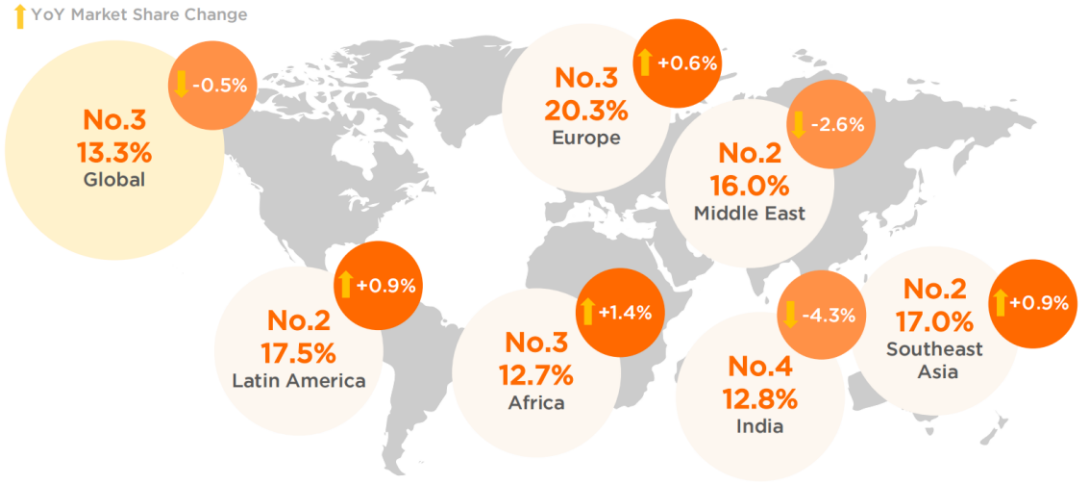
Global Market Strategy

- **Low-share markets: focus on volume; High-share markets: focus on ASP & high-end mix**
- **Europe:** ~20% share, high ASP, share stability and structure upgrade
- **India:** share stable under regulation, focus on steady operation
- **Southeast Asia:** No.2 player, optimize product structure
- **Latin America:** ~17.5% share, key growth market in 2–3 years
- **Africa:** expanding rapidly with low-end models against Transsion





By units sold in Chinese mainland. Premium smartphones in Chinese mainland are smartphones with retail prices at or above RMB3,000



Smartphone Market Share Ranked Top 3 in 58 Markets and Top 5 in 70 Markets

Source: Company Annual Report.

APPENDIX: Smartphone Industry & Competition

Figure 9: Xiaomi's Steadily Increasing Premium Smartphone Market Share--Xiaomi 17 Ultra



Source: Company Annual Report.

APPENDIX: AIoT Industry & Competition

Figure 10: Xiaomi is a Global Leader in Peripheral Products Sales (2025)

Category	#1	#2	#3	#4	#5
TWS Earphones	Apple	**Xiaomi**	Samsung	boAt	Huawei
Smart Bands	**Xiaomi**	Apple	Huawei	Samsung	BBK
Tablets	Apple	Samsung	Huawei	Lenovo	**Xiaomi**
TVs	Samsung	Hisense	TCL	LG	**Xiaomi**
AI Glasses	Meta	Rokid	**Xiaomi**	Alibaba	-

Figure 11: Xiaomi's Steady Growth of the Global User Base

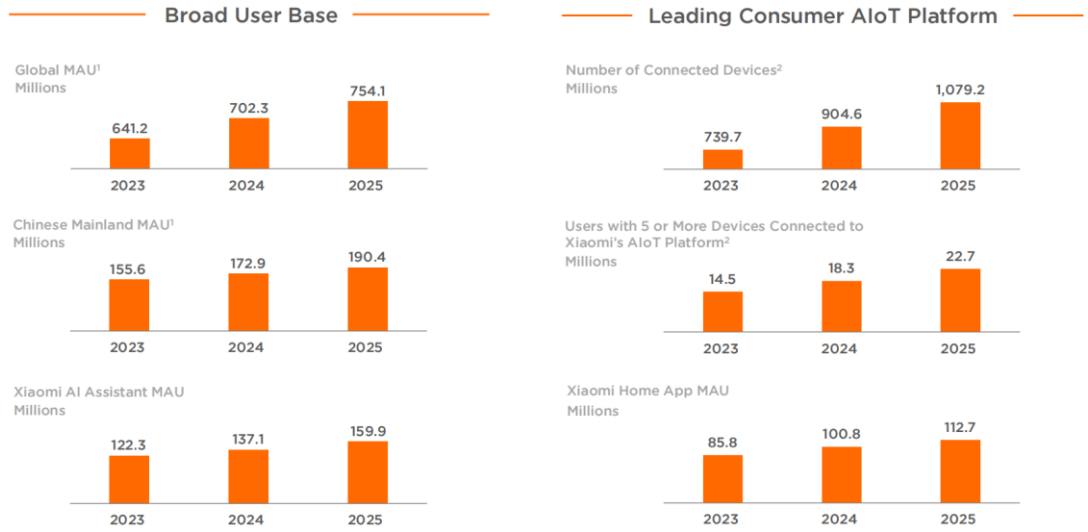


Figure 12: China White Goods Retail Volume

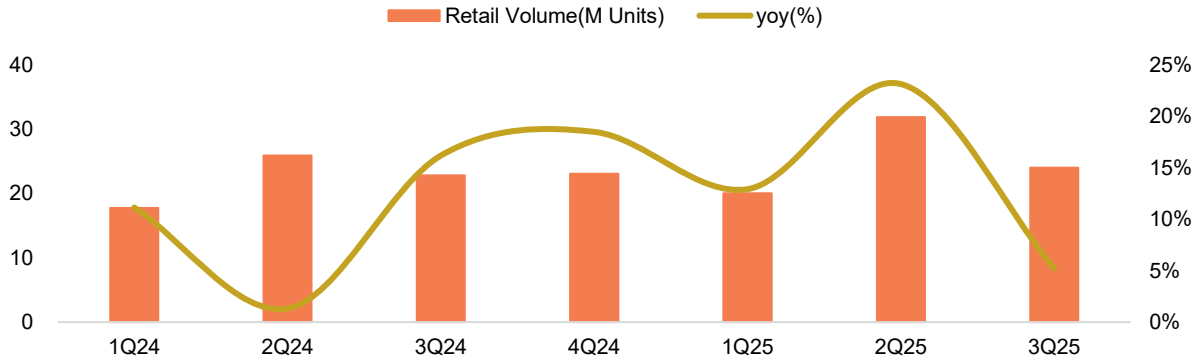


Figure 13: AC Price Trend and Online Share Trends



Source: Company Annual Report. 1 In December 2025, including smartphones and tablets 2 As of December 31, 2025, excluding smartphones, tablets and laptops

APPENDIX: EV Industry & Competition

Figure 14: Xiaomi Introduced New-Generation Xiaomi SU7 Series in March 2026



Source: Company Annual Report

APPENDIX: EV Industry & Competition

Figure 15: The user portrait of Xiaomi's EV

BBA Upgraders

29% of Xiaomi EV owners previously owned BMW, Benz, or Audi vehicles.

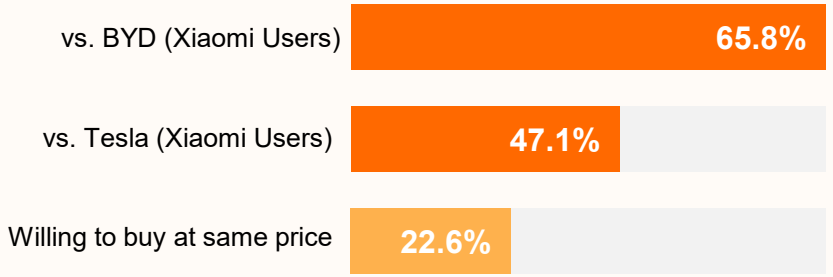
The iPhone Moat

52% of owners are iPhone users, proving a breakthrough beyond the "Mi Fan" circle.

Female Appeal

30% female user base, significantly higher than Li Auto or NIO (avg 20%).

Survey : Unwilling to accept competitor at any price



EV Owner Ecosystem

- Interconnection rate of Xiaomi auto & smart home accounts: 92%
- Average number of bound devices per user: 8.4
- Proportion of users with more than 8 bound devices: approx. 40%–48%

Xiaomi EV Owner Survey



68 questions and 117 EV owners

In terms of brand perception, as seen in the questionnaire sample:

- Strengths lie in power performance and safety/trustworthiness.
- The only score below 6.5 points is after-sales service.

Xiaomi EV has established some Brand Exclusivity among its core fans . The overlap between Xiaomi auto users and traditional Xiaomi users is low — **a sign that the brand has broken through its original user base on a large scale for the first time.**

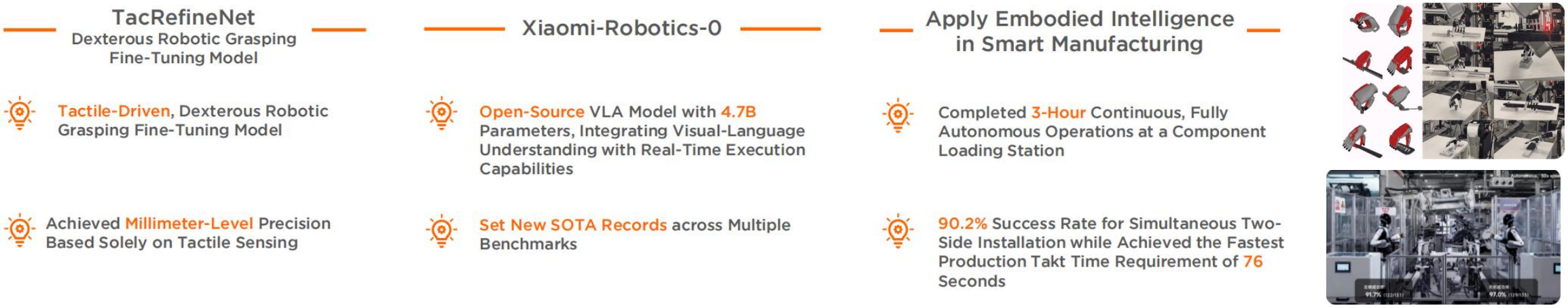
Source: 68 questions and 117 EV owners

APPENDIX: AI Empowers Xiaomi's "Human x Car x Home" Ecosystem

Figure 16: Xiaomi Launched Foundation Models in March 2026 Tailored for the Agent Era



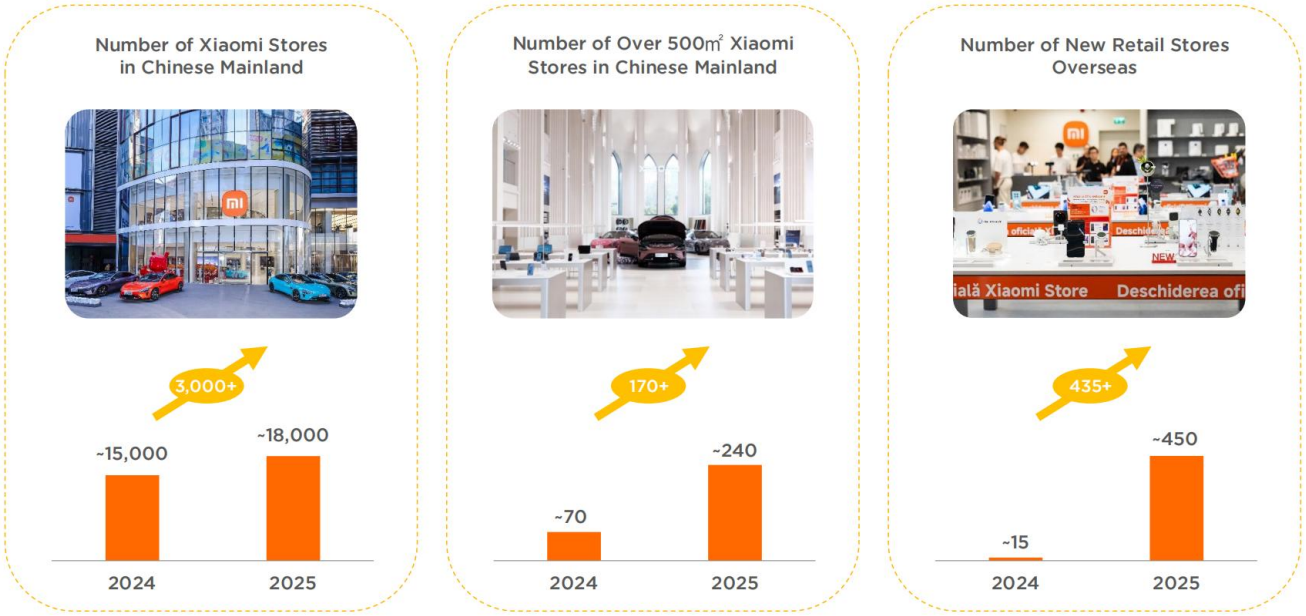
Figure 17: Xiaomi is Developing Frontier Embodied Intelligence



Source: Annual Report

APPENDIX: Xiaomi's Asset-light Expansion Fueled by "1+N" Channel Network Synergy

Figure 18: Xiaomi Continued to Expand New Retail Network Globally with Relatively High Store Efficiency



Indicator	Xiaomi	Huawei	OPPO	vivo
Store Revenue (ten thousand yuan)	1300	260	60	65
Gross Margin	10-12%	20%	20%	20%
Store Area (sqm)	146	60	20	20
Sales per Square Meter (ten thousand yuan)	9	4	3	3
Rent per Square Meter (yuan/sqm)	500	300	130	130
Rent (ten thousand yuan/month)	7.3	1.8	0.3	0.3
Sales per Employeer (ten thousand yuan)	260	37	30	33
Number of Staff	5	7	2	2
Labor Cost (ten thousand yuan/month)	2.5	2.1	0.6	0.6
Net Profit (ten thousand yuan)	25	5	2	3
Annual Investment (ten thousand yuan)	118	47	10	10
ROI	21.6%	11.1%	16.3%	26.0%

Figure 19: Xiaomi's "1+N" Channel Model



Store Type	Quantity	Description
Mi Home (Directly Operated Stores)	**200**	Located in major shopping malls; fully operated and managed by Xiaomi
Xiaomi Authorized Specialty Stores (Leased & Operated by Partners)	**~7,800**	Cooperate with qualified local service providers/retailers; supplies products and manages operations directly
Xiaomi Authorized Retail Stores (Built & Operated by Partners)	**~80,000**	Built and operated by local partners; Xiaomi provides brand guidelines and support

Source: Annual Report, Southern Asset Management

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Empirical Analysis Introduction

- **Background:** Xiaomi entered the EV market in 2024, which is widely interpreted by the market as an attempt to reposition the brand upwards. This raises a question: can Xiaomi successfully enhance its brand power through EVs? To figure it out, we conducted a survey experiment to measure the "EV effect" for users' minds.
- **Definition of the Issue:** At the level of consumer perception — does Xiaomi's entry into the automotive space actually elevate its brand power in the minds of users?
- **Methodology:** We employed a Randomized Controlled Trial (RCT) framework to isolate the "EV Effect"
  - Sample: 400 questionnaires, 386 valid responses
  - Experimental Design: Exposed to different posters
    - Group A: Smartphones, TVs, and the Xiaomi EV
    - Group B: Smartphones and TVs only.
  - Variables:
    - Independent: Exposure to EV marketing.
    - Dependent: Purchase intent across price tiers, Brand Trust, Brand Pride, and Premium Perception.
    - Moderators: Monthly income, existing brand loyalty, and EV knowledge.

Promotional Posters







Source: Annual Report

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Dependent Variables (Outcomes)	Mediating Variables (Mechanisms)	Moderating Variables (Contexts)
Smartphone Purchase Intent	**Technical Capability Perception**	**Age & Gender**
- Low-tier Intent (<3,000 RMB)	(M1: Manufacturing, R&D, Tech)	**Education Level**
- Mid-tier Intent (3,000-5,000 RMB)	**User Understanding**	**Monthly Personal Income**
- High-tier Intent (>5,000 RMB)	(M2: Feature-need alignment)	**City Tier**
TV Purchase Intent	**Design Aesthetics**	**Current Smartphone Brand**
- Low-tier Intent (<2,000 RMB)	(M3: Fashion & Styling)	**Current Device Purchase Price**
- Mid-tier Intent (2,000-5,000 RMB)	**Ecosystem Synergy**	**Next Device Budget**
- High-tier Intent (>5,000 RMB)	(M4: Cross-device connectivity)	**Current Household TV Brand**
Brand Advocacy & Loyalty	**Brand Values Alignment**	**Next TV Replacement Budget**
- Word-of-Mouth (WOM) Intent	(M5: Sincerity & Passion)	**Xiaomi Product Ownership (Count)**
- Premium Price Elasticity		**Current Household Car Price**
Brand Attitude (Premiumization)		**Pre-survey EV Knowledge**
- Brand Warmth & Care		**EV Purchase Intent (200k-350k RMB)**
- Brand Pride & Identity		
- Brand Quality Trust		
- Brand Reliability		
- Brand Premium Image		

Source: Annual Report

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Cross-Sectional: Income

	<3k/mo n=71	3-5k/mo n=68	5-8k/mo n=118	8-15k/mo n=97	15k+/mo n=32
PHONE					
Low-tier intent	-0.26	+0.14	-0.36 †	+0.09	+0.32
Mid-tier intent	-0.05	+0.12	-0.03	+0.20	+0.44
High-tier intent	-0.50 *	+0.01	+0.05	+0.21	+0.47
Pref. tier	+0.33	-0.07	+0.35 †	+0.13	-0.39
WOM	-0.12	+0.33	-0.15	+0.28	+0.81 *
Prem. willing	-0.19	-0.03	-0.08	+0.11	+0.42
TV					
TV low-tier	-0.21	+0.12	-0.32 †	+0.07	+0.45
TV mid-tier	-0.06	+0.20	-0.36 †	-0.23	+0.34
TV high-tier	-0.06	+0.23	-0.04	-0.14	+0.27
TV pref. tier	+0.10	-0.05	+0.10	+0.07	-0.38
TV WOM	-0.10	+0.28	+0.05	-0.03	+0.40
TV prem. willing	+0.10	+0.02	+0.03	-0.10	+0.26
BRAND ATTITUDE					
Brand warmth	+0.17	+0.01	-0.17	+0.19	+0.83 *
Brand pride	+0.21	-0.00	-0.12	+0.14	+0.88 *
Brand quality	+0.01	+0.13	+0.14	+0.06	+0.87 *
Brand reliability	-0.23	+0.15	-0.19	-0.26	+0.83 *
Brand premium	+0.25	+0.09	-0.09	+0.17	+0.76 *

negative ← d → positive * p<0.05 † p<0.10

Key Findings

The most compelling evidence for Xiaomi's premiumization lies in the 15k+/mo income bracket, where nearly all brand equity metrics reached peak statistical significance ($p<0.05$):

- *Brand Pride (+0.88**) and Brand Quality (+0.87**)*: These figures represent the strongest positive shifts in the entire study. It confirms that for affluent consumers, the EV is a "credibility multiplier" that fundamentally rebrands Xiaomi from a "gadget maker" to a "high-end engineering firm."
- *Premium Perception (+0.76**) and WOM (+0.81**)* : The high confidence level in these metrics suggests that the EV doesn't just make the brand look "expensive"—it makes it "recommendable" to other high-net-worth individuals, creating an organic growth engine for the premium segment.

Source: Annual Report

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Cross-Sectional: Phone Brand

	Xiaomi n=143	Apple n=101	OPPO/vivo n=74	Huawei n=48
PHONE				
Low-tier intent	-0.18	+0.05	+0.10	-0.23
Mid-tier intent	+0.01	+0.18	-0.15	+0.16
High-tier intent	-0.02	+0.09	-0.16	-0.18
Pref. tier	+0.09	+0.17	-0.31	+0.54 †
WOM	-0.24	+0.35 †	+0.17	+0.38
Prem. willing	-0.19	-0.01	+0.11	-0.05
TV				
TV low-tier	-0.22	+0.09	+0.12	-0.19
TV mid-tier	-0.40 *	+0.04	-0.16	+0.19
TV high-tier	-0.18	+0.03	+0.26	+0.01
TV pref. tier	-0.06	-0.07	-0.02	+0.18
TV WOM	-0.30 †	+0.28	+0.33	+0.05
TV prem. willing	-0.16	+0.09	+0.23	-0.04
BRAND ATTITUDE				
Brand warmth	-0.41 *	+0.52 *	+0.00	+0.26
Brand pride	-0.25	+0.25	+0.41 †	+0.21
Brand quality	-0.05	+0.38 †	+0.27	+0.12
Brand reliability	-0.50 *	+0.31	+0.08	-0.11
Brand premium	+0.12	+0.25	+0.11	-0.08

negative ← d → positive * p<0.05 † p<0.10

Key Findings

A striking anomaly in the data is the negative sentiment shift among existing Xiaomi phone users (n=143) upon seeing the EV posters, particularly in *Brand Reliability (-0.50**)* and **Brand Warmth (-0.41**)*. This "Negative Halo" can be attributed to several strategic factors:

- The "Price Gap" Alienation: Existing users, many of whom joined the ecosystem during the "1999 RMB" era, may perceive the high-tech, high-priced EV as a sign that Xiaomi is "abandoning its roots." The shift toward a 300,000 RMB vehicle creates a psychological distance, leading to a perceived drop in "Brand Warmth" (feeling less "cared for" as a budget-conscious user).
- Resource Allocation Concerns: The significant drop in *Brand Reliability (-0.50**)* suggests a "focus dilution" fear. Loyalists may worry that Xiaomi's massive R&D pivot toward automotive engineering will lead to a decline in the quality, software stability (HyperOS), or innovation pace of the smartphones they currently use.
- Expectation Mismatch: For the "Mi Fan" community, the bar for the EV was set impossibly high. If the marketing materials focus purely on "premium/luxury" rather than "community/value," it can trigger a defensive reaction among the base, who feel the brand is prioritizing new, affluent customers over its original supporters.

Source: Annual Report

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Cross-Sectional: Car Knowledge

	Heard of it n=25	Seen content n=165	Researched n=156	Enthusiast n=40
PHONE				
Low-tier intent	+0.23	-0.13	-0.05	+0.07
Mid-tier intent	+0.25	+0.08	-0.01	+0.64 *
High-tier intent	-0.11	-0.06	+0.05	+0.36
Pref. tier	+0.41	+0.21	+0.08	+0.10
WOM	-0.14	+0.20	+0.05	+0.61 †
Prem. willing	-0.34	-0.00	+0.01	+0.41
TV				
TV low-tier	-0.19	-0.03	-0.07	+0.24
TV mid-tier	-0.05	-0.09	-0.34 *	+0.90 *
TV high-tier	-0.07	-0.02	-0.04	+0.48
TV pref. tier	-0.15	-0.01	-0.02	+0.34
TV WOM	-0.23	+0.15	+0.01	+0.59 †
TV prem. willing	-0.29	+0.03	-0.01	+0.72 *
BRAND ATTITUDE				
Brand warmth	+0.03	+0.03	+0.19	+0.40
Brand pride	-0.02	+0.16	+0.02	+0.87 *
Brand quality	+0.56	+0.09	+0.09	+0.47
Brand reliability	-0.16	+0.07	-0.16	-0.07
Brand premium	+0.47	+0.19	-0.06	+0.56 †

negative ← d → positive * p<0.05 † p<0.10

Key Findings

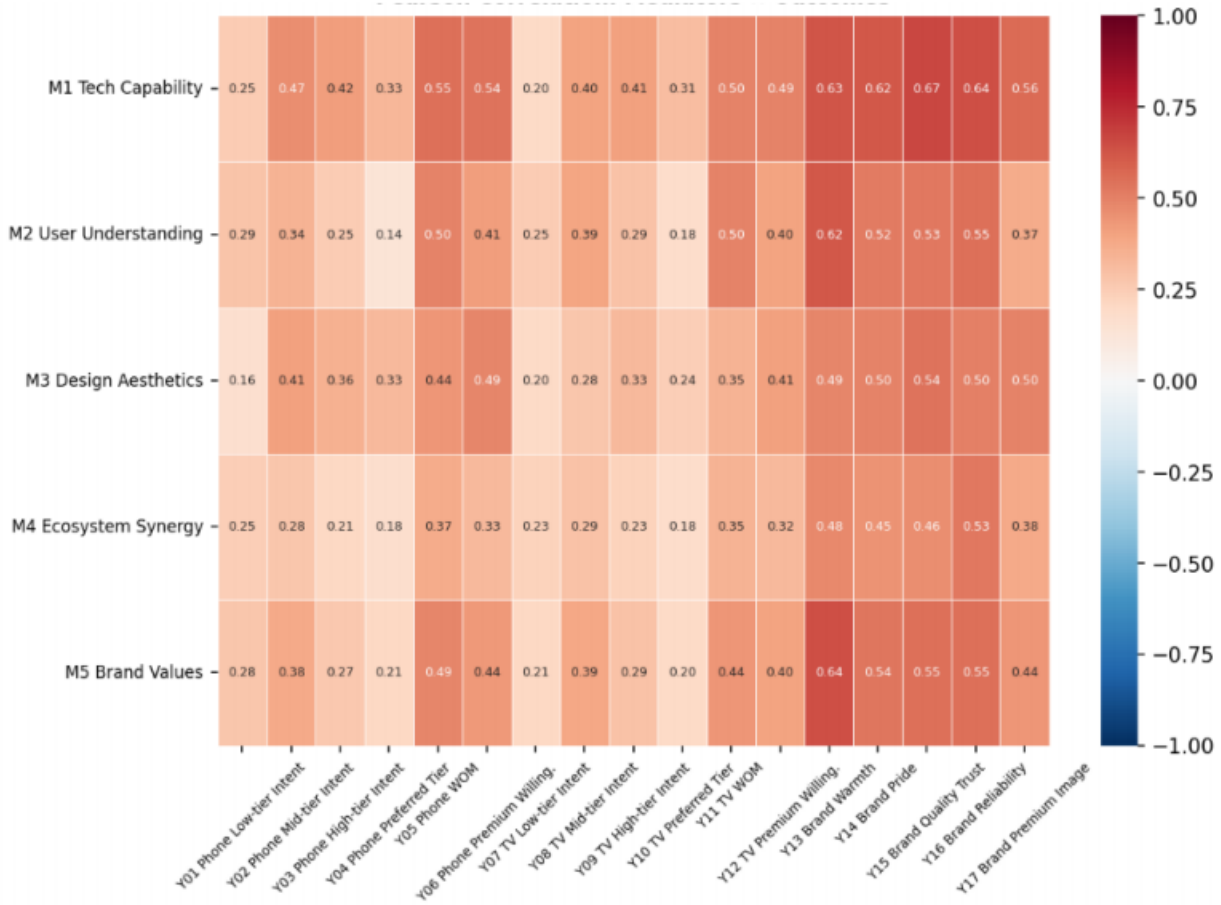
Among respondents with deep knowledge of the EV ("Enthusiasts"), we see a powerful cross-category pull-through:

- **TV Mid-tier Intent (+0.90**)*: It indicates that once a user is convinced of Xiaomi's automotive technical prowess, their trust in Xiaomi's large-screen hardware (TVs) as a premium centerpiece of the home is almost absolute.
- *Brand Pride (+0.87*) and Premium Willingness (+0.72**)*: The high significance here proves that technical engagement is the most effective path to overcoming price sensitivity.

Source: Annual Report

APPENDIX: Empirical Analysis of Xiaomi's entry to EV market and its "halo effects"

Pearson Correlation: Mediators x Outcomes



Key Findings

- Our Pearson Correlation analysis reveals that "Technical Capability" (M1), "User Understanding" (M2), and "Brand Values" (M5) are the primary drivers of brand premiumization.
- The EV serves as a "proof of concept" for Xiaomi's R&D, which then flows back to consumer confidence in their handheld devices.
- These findings also aligned with our initial perceptions of Xiaomi's brand image along the way how they have been as a "product and consumer orientated mindset " owner.

Source: Annual Report

APPENDIX

Figure 20: Financial Analysis Details

in Rmb mn

Financial Analysis	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Dupont Analysis																	
Gross margin	13.9%	14.9%	17.7%	17.0%	21.2%	20.9%	22.3%	24.2%	23.7%	23.4%	23.2%	23.4%	23.5%	23.7%	23.9%	23.4%	23.3%
EBITDA margin	4.4%	4.4%	6.8%	3.1%	7.0%	7.6%	8.2%	9.9%	8.4%	7.2%	6.1%	6.6%	6.7%	8.0%	9.3%	9.6%	10.2%
Net Profit margin	4.9%	8.3%	5.9%	0.9%	6.4%	6.4%	9.1%	8.3%	6.6%	6.1%	4.9%	4.9%	4.5%	5.4%	6.4%	6.2%	6.4%
Asset turnover	1.25x	1.12x	1.20x	0.99x	0.91x	1.01x	1.00x	1.10x	1.12x	1.11x	1.09x	1.06x	1.03x	0.98x	0.94x	0.91x	0.88x
ROA	6.1%	9.3%	7.1%	0.9%	5.8%	6.5%	9.1%	9.1%	7.4%	6.8%	5.3%	5.2%	4.6%	5.3%	6.0%	5.6%	5.6%
financial leverage	2.15x	2.13x	2.09x	2.01x	1.94x	2.06x	2.00x	1.87x	1.79x	1.72x	1.65x	1.60x	1.56x	1.52x	1.47x	1.42x	1.38x
ROE	**13.2%**	**19.8%**	**14.8%**	**1.8%**	**11.3%**	**13.3%**	**18.2%**	**17.0%**	**13.2%**	**11.8%**	**8.8%**	**8.4%**	**7.2%**	**8.1%**	**8.8%**	**8.0%**	**7.7%**
ROIC	16.0%	27.8%	35.4%	5.0%	15.1%	21.3%	18.9%	25.2%	21.1%	16.3%	11.5%	11.5%	10.8%	12.8%	14.7%	14.2%	14.7%
Dupont ROE	**13.2%**	**19.8%**	**14.8%**	**1.8%**	**11.3%**	**13.3%**	**18.2%**	**17.0%**	**13.2%**	**11.8%**	**8.8%**	**8.4%**	**7.2%**	**8.1%**	**8.8%**	**8.0%**	**7.7%**
Liquidity Analysis																	
Current Ratio	**1.49x**	**1.63x**	**1.61x**	**1.79x**	**1.72x**	**1.29x**	**1.32x**	**1.45x**	**1.56x**	**1.69x**	**1.81x**	**1.92x**	**2.04x**	**2.22x**	**2.47x**	**2.77x**	**3.00x**
Quick Ratio	**0.98x**	**1.12x**	**1.05x**	**1.09x**	**1.20x**	**0.81x**	**0.81x**	**0.96x**	**1.07x**	**1.17x**	**1.27x**	**1.38x**	**1.49x**	**1.67x**	**1.94x**	**2.20x**	**2.43x**
Average Cash Conversion Cycle		**(23.35)**	**3.75**	**(14.23)**	**(8.39)**	**8.26**	**(1.90)**	**11.13**	**4.41**	**3.08**	**1.21**	**0.72**	**2.35**	**2.23**	**2.45**	**2.88**	**2.90**
DSO		15.17	20.89	16.55	15.61	18.01	14.88	16.58	17.15	16.75	16.39	16.29	16.24	16.04	16.06	16.16	16.19
DIO		76.44	82.10	69.50	74.47	91.41	90.51	86.41	73.54	70.30	67.69	66.08	65.95	65.08	62.67	60.77	60.77
DPO		114.96	99.24	100.28	98.47	101.16	107.29	91.87	86.29	83.97	82.87	81.65	79.84	78.90	76.28	74.06	74.06
Debt Ratios Analysis																	
Interest Coverage Ratio	16.96x	3.24x	7.90x	16.14x	12.12x	131.03x	10.33x	82.51x	79.91x	74.55x	66.73x	74.18x	78.53x	94.21x	109.51x	115.47x	125.34x
(EBITDA-Capex)/Interest Expense	11.03x	2.62x	7.02x	10.24x	8.54x	100.64x	6.16x	58.99x	54.04x	46.09x	35.43x	39.74x	40.65x	52.54x	65.76x	69.53x	77.11x
EBIT/Interest Expense	2.42x	4.36x	7.77x	1.59x	2.51x	3.33x	1.90x	2.95x	2.43x	1.88x	1.31x	1.26x	1.12x	1.25x	1.39x	1.31x	1.31x
Debt/EBITDA	1.97x	1.61x	1.17x	2.68x	1.48x	1.10x	0.96x	0.61x	0.63x	0.67x	0.75x	0.67x	0.64x	0.53x	0.46x	0.43x	0.40x
Debt/Equity	21.6%	14.2%	19.1%	16.4%	17.0%	16.2%	13.6%	11.3%	9.8%	8.7%	7.9%	7.2%	6.7%	6.1%	5.6%	5.1%	4.7%
Total liabilities/Total Assets	55.5%	51.1%	53.1%	47.4%	49.3%	53.1%	47.6%	45.4%	43.2%	40.7%	38.5%	36.7%	35.1%	33.0%	30.6%	28.3%	27.0%

Source: Team analysis

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Figure 21: Valuation Assumption

Based on the business composition of Xiaomi Group, we have made a revenue forecast for Xiaomi Group covering the period 2025-2035 by **taking business clusters as the unit**. Meanwhile, we have made reasonable assumptions about the various costs of the business in light of the **matching relevant expenditures**. In terms of the model, we have adopted assumptions on Xiaomi's operating indicators in line with industry practices, and highlighted the advantages of Xiaomi's **debt-servicing capacity and profitability.**

Revenue

General Assumptions: The Period of Analysis is selected as 2025-2035, which is intended to reasonably forecast Xiaomi's transformation paths across different businesses. Xiaomi's core revenue streams are divided into the following **5 major segments: Smartphone, AIoT, Internet Service, EV, and Others.** Based on this, we conduct disaggregated analysis and forecast assumptions for each business segment. This enables us to have a better grasp of Xiaomi's business segmentation and evolutionary trends, as well as a clearer understanding of Xiaomi's valuation logic.

Smartphones: As the core business of Xiaomi Group, we expect the smartphone segment to maintain a relatively stable revenue level between 2025 and 2035, with no structural revenue growth. We believe the segment's revenue is primarily **driven by two factors: shipment volume and Average Selling Price (ASP)**, and we make assumptions **separately for the China market and the Rest of World (ROW) market**. **a) In the China market,** we anticipate Xiaomi's market share has peaked. Therefore, we assume both shipment volume and ASP will gradually see a deceleration in growth based on the current growth rate. **b) In the ROW market,** while Xiaomi's penetration rate has reached a plateau, we expect overseas ASP to grow rapidly. This growth will be supported by the gradual premiumization of its smartphone models and the replacement cycle of the first batch of users.

Source: Team analysis

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AIoT: As a fast-growing segment, Xiaomi's AIoT business is segmented into five categories for separate forecasting: **TVs, laptops, tablets, large home appliances, and others**. **a) For the three major electronic product categories**—TVs, laptops, and tablets—benefiting from the slowdown in the smartphone segment and economies of scale, we expect Xiaomi to deliver strong shipment volume. This is particularly true for tablets, which share similarities with the smartphone business. We project these three categories to achieve a 2025E-2030E shipment CAGR of 5.9%, 18.9%, and 33.6% respectively, **alongside a modest increase in ASP**. b) The large home appliances category is further subdivided into three core products: **air conditioners, washing machines, and refrigerators**. Amid intense market competition and other factors, we anticipate Xiaomi's shipment growth will moderate in the long term while ASP will rise—especially for air conditioners and refrigerators. Specifically, the 2025E-2030E shipment CAGR for air conditioners, washing machines, and refrigerators is forecast at 22.8%, 25.9%, and 22.8% respectively, with a 10-year ASP increase of RMB169, RMB200, and RMB200 per unit. **c) For the "others" category,** we expect relatively stable performance, with growth rates assumed to be consistent with those of the past three years.

Internet: Accounting for a relatively small share of Xiaomi Group's business, the internet segment primarily comprises advertising and gaming revenue. We adopt the same assumption framework—**first forecasting MAU followed by Average Revenue Per User (ARPU). a) In calculating MAU**, we have developed a replacement model, where user growth is primarily driven by three factors: **existing user account replacements, new user additions, and user churn.** We assume the **replacement rate will remain roughly consistent** with the current level, generally ranging between 10% and 20%. Based on this, we project Xiaomi's global MAU to achieve a 2025E-2035E CAGR of 3.0%. **B) For ARPU,** amid slowing user growth, we expect Xiaomi to increase unit prices to drive profitability. We forecast ARPU to gradually rise from RMB50 to RMB70 between 2025 and 2035.

Other Related Business Revenue: We anticipate that Other Related Business Revenue will **maintain a relatively stable proportional relationship** with the Group's smartphone revenue. With the gradual iteration of the smartphone business, this ratio is expected to slowly rise from 1.7% to 3.0% between 2025E and 2035E, demonstrating the robustness of Xiaomi Group's other business segments.

Smart EV and Other New Initiatives: As a new business of Xiaomi, given the limited number of models launched to date and insufficient historical data, we separate the **sales volume and price projections** into two categories: the three existing models and other future models. **a) For sales volume**, we expect the existing three models to achieve rapid growth between 2025 and 2026, with projected growth rates of 35%, 25%, and 35% respectively. They will then reach peak sales in 2027, followed by a gradual decline, and be phased out around 2030. b) For other future models, we adopt **a conservative forecast** with an annual growth rate of 10%. To align with real-world scenarios, we assume Xiaomi will **launch 2 blockbuster models** within the next decade, each achieving a 35% sales growth rate in their launch year. C) For pricing, we incorporate the industry-standard **11.5% automotive value-added tax (VAT)**. We project a 1%-2% **annual price depreciation** for the three existing models, while other future models are expected to maintain relatively stable prices with a 1%-2% annual growth rate to keep pace with inflation. The total revenue of the entire EV business is derived based on the above assumptions.

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Figure 22: Assumption Details

	in RMB mn	CNY/HKD	1.15		USD/CNY	6.81											
	Revenue Drivers	**2019A**	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**
1	**Smartphones**																	
A	**Shipments (mn)**	**124.7**	**146.4**	**190.3**	**150.5**	**145.8**	**168.6**	**165.2**	**171.8**	**175.6**	**179.6**	**181.9**	**184.2**	**186.1**	**187.9**	**186.0**	**184.2**	**182.3**
	YoY		*17%*	*30%*	*-21%*	*-3%*	*16%*	*-2%*	*4%*	*2%*	*2%*	*1%*	*1%*	*1%*	*1%*	*-1%*	*-1%*	*-1%*
	Market size (mn)	1,366.7	1,264.7	1,351.4	1,266.4	1,142.1	1,223.1	1,255.8										
	Market share	9%	12%	14%	12%	13%	14%	13%										
	% Digital device shipments	*89%*	*92%*	*93%*	*90%*	*88%*	*89%*	*88%*	*84%*	*82%*	*79%*	*77%*	*74%*	*74%*	*73%*	*73%*	*74%*	*74%*
a	**China, shipments (mn)**	**36.9**	**39.5**	**51.1**	**39.2**	**35.7**	**41.9**	**43.6**	**45.4**	**46.7**	**48.1**	**49.1**	**50.1**	**50.6**	**51.1**	**50.6**	**50.1**	**49.5**
	YoY		*7%*	*29%*	*-23%*	*-9%*	*17%*	*4%*	***4%***	***3%***	***3%***	***2%***	***2%***	***1%***	***1%***	***-1%***	***-1%***	***-1%***
	Market size (mn)	370.9	330.3	332.9	287.3	272.5	284.6	282.3										
	Market share	10%	12%	15%	14%	13%	15%											
	% Shipments	*30%*	*27%*	*27%*	*26%*	*24%*	*25%*	*26%*	*26%*	*27%*	*27%*	*27%*	*27%*	*27%*	*27%*	*27%*	*27%*	*27%*
	# Rank	4	4	3	5	5	6											
b	**Global, shipments, ex China (mn)**	**87.8**	**106.9**	**139.2**	**111.4**	**110.1**	**126.7**	**121.5**	**126.4**	**128.9**	**131.5**	**132.8**	**134.2**	**135.5**	**136.9**	**135.5**	**134.1**	**132.8**
	YoY		*22%*	*30%*	*-20%*	*-1%*	*15%*	*-4%*	***4%***	***2%***	***2%***	***1%***	***1%***	***1%***	***1%***	***-1%***	***-1%***	***-1%***
	Market size (mn)	995.8	934.4	1,018.5	979.1	869.6	938.5											
	Market share	9%	11%	14%	11%	13%	13%											
	% Shipments	*70%*	*73%*	*73%*	*74%*	*76%*	*75%*	*74%*	*74%*	*73%*	*73%*	*73%*	*73%*	*73%*	*73%*	*73%*	*73%*	*73%*
	# Rank	3	3	3	3	3	3											
	No. of Mi Home		3,200	10,000	11,500	13,000	15,000	20,000										
B	**Smartphone ASP**	**979**	**1,039**	**1,098**	**1,111**	**1,080**	**1,138**	**1,129**	**1,158**	**1,178**	**1,198**	**1,212**	**1,221**	**1,221**	**1,221**	**1,216**	**1,203**	**1,191**
	YoY		*6%*	*6%*	*1%*	*-3%*	*5%*	*-1%*	*3%*	*2%*	*2%*	*1%*	*1%*	*0%*	*0%*	*0%*	*-1%*	*-1%*
a	**China, ASP (Rmb)**	1,273	1,394	1,647	1,609	1,858	1,884	1,903	1,941	1,960	1,980	2,000	2,000	2,000	2,000	1,980	1,960	1,940
	YoY		*10%*	*18%*	*-2%*	*15%*	*1%*	*1%*	***2%***	***1%***	***1%***	***1%***	***0%***	***0%***	***0%***	***-1%***	***-1%***	***-1%***
b	**Global, ASP, ex China (Rmb)**	856	908	896	936	828	891	851	877	894	912	921	931	931	931	931	921	912
	YoY		*6%*	*-1%*	*4%*	*-12%*	*8%*	*-4%*	***3%***	***2%***	***2%***	***1%***	***1%***	***0%***	***0%***	***0%***	***-1%***	***-1%***
C	**Smartphone Revenue**	**122,095**	**152,191**	**208,869**	**167,217**	**157,461**	**191,759**	**186,440**	**198,851**	**206,876**	**215,225**	**220,513**	**224,935**	**227,185**	**229,457**	**226,151**	**221,651**	**217,240**
	YoY		*25%*	*37%*	*-20%*	*-6%*	*22%*	*-3%*	*7%*	*4%*	*4%*	*2%*	*2%*	*1%*	*1%*	*-1%*	*-2%*	*-2%*
	% Total Revenue	*59%*	*62%*	*64%*	*60%*	*58%*	*52%*	*41%*	*33%*	*30%*	*29%*	*28%*	*28%*	*27%*	*27%*	*27%*	*25%*	*24%*
a	**China**	**46,932**	**55,098**	**84,189**	**63,018**	**66,346**	**78,880**	**82,976**	**88,021**	**91,568**	**95,258**	**98,135**	**100,097**	**101,098**	**102,109**	**100,077**	**98,086**	**96,134**
	YoY		*17%*	*53%*	*-25%*	*5%*	*19%*	*5%*	*6%*	*4%*	*4%*	*3%*	*2%*	*1%*	*1%*	*-2%*	*-2%*	*-2%*
	% Revenue	*38%*	*36%*	*40%*	*38%*	*42%*	*41%*	*45%*	*44%*	*44%*	*44%*	*45%*	*45%*	*45%*	*45%*	*44%*	*44%*	*44%*
b	**Global, ex China**	**75,163**	**97,093**	**124,680**	**104,200**	**91,115**	**112,880**	**103,464**	**110,831**	**115,308**	**119,967**	**122,378**	**124,838**	**126,086**	**127,347**	**126,074**	**123,565**	**121,106**
	YoY		*29%*	*28%*	*-16%*	*-13%*	*24%*	*-8%*	*7%*	*4%*	*4%*	*2%*	*2%*	*1%*	*1%*	*-1%*	*-2%*	*-2%*
	% Revenue	*62%*	*64%*	*60%*	*62%*	*58%*	*59%*	*55%*	*56%*	*56%*	*56%*	*55%*	*55%*	*55%*	*55%*	*56%*	*56%*	*56%*

Source: Team analysis

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Figure 22: Assumption Details

2 AIoT																	
A TV																	
Shipments (mn)	12.8	12.0	12.3	12.4	13.0	11.7	10.0	11.0	11.6	12.2	12.5	12.9	13.0	13.2	13.3	13.4	13.6
YoY		*-6%*	*3%*	*1%*	*5%*	*-10%*	*-15%*	***10%***	***5%***	***5%***	***3%***	***3%***	***1%***	***1%***	***1%***	***1%***	***1%***
ASP (Rmb)	1,692	1,751	1,858	1,518	1,232	1,624	1,811	1,847	1,884	1,922	1,960	1,999	2,039	2,080	2,122	2,164	2,207
YoY		*3%*	*6%*	*-18%*	*-19%*	*32%*	*11%*	***2%***	***2%***	***2%***	***2%***	***2%***	***2%***	***2%***	***2%***	***2%***	***2%***
Revenue	**21,663**	**21,010**	**22,850**	**18,824**	**16,068**	**19,071**	**18,147**	**20,361**	**21,806**	**23,355**	**24,536**	**25,778**	**26,556**	**27,358**	**28,185**	**29,036**	**29,913**
YoY		*-3%*	*9%*	*-18%*	*-15%*	*19%*	*-5%*	*12%*	*7%*	*7%*	*5%*	*5%*	*3%*	*3%*	*3%*	*3%*	*3%*
% TV+Laptop	*89%*	*85%*	*83%*	*79%*	*82%*	*82%*	*83%*	*80%*	*78%*	*75%*	*73%*	*71%*	*69%*	*68%*	*67%*	*67%*	*66%*
% AIoT	*35%*	*31%*	*27%*	*24%*	*20%*	*18%*	*15%*	*13%*	*12%*	*11%*	*11%*	*10%*	*10%*	*10%*	*10%*	*10%*	*11%*
B Laptop																	
Shipments (mn)	0.6	0.8	0.9	1.1	0.8	0.9	0.8	1.0	1.3	1.5	1.7	2.0	2.2	2.4	2.5	2.7	2.8
YoY		*23%*	*15%*	*16%*	*-26%*	*19%*	*-10%*	***25%***	***20%***	***20%***	***15%***	***15%***	***10%***	***10%***	***5%***	***5%***	***5%***
% Digital device shipments	*0.46%*	*0.49%*	*0.44%*	*0.63%*	*0.47%*	*0.49%*	*0.45%*	*0.51%*	*0.59%*	*0.66%*	*0.73%*	*0.80%*	*0.87%*	*0.94%*	*1.00%*	*1.07%*	*1.14%*
ASP (Rmb)	4,000	4,800	5,000	4,600	4,400	4,400	4,532	4,759	4,997	5,096	5,198	5,302	5,355	5,409	5,409	5,409	5,409
YoY		*20%*	*4%*	*-8%*	*-4%*	*0%*	*3%*	***5%***	***5%***	***2%***	***2%***	***2%***	***1%***	***1%***	***0%***	***0%***	***0%***
Revenue	**2,560**	**3,792**	**4,550**	**4,876**	**3,432**	**4,092**	**3,798**	**4,985**	**6,282**	**7,689**	**9,019**	**10,579**	**11,753**	**13,058**	**13,711**	**14,396**	**15,116**
YoY		*48%*	*20%*	*7%*	*-30%*	*19%*	*-7%*	*31%*	*26%*	*22%*	*17%*	*17%*	*11%*	*11%*	*5%*	*5%*	*5%*
% TV+Laptop	*11%*	*15%*	*17%*	*21%*	*18%*	*18%*	*17%*	*20%*	*22%*	*25%*	*27%*	*29%*	*31%*	*32%*	*33%*	*33%*	*34%*
% AIoT	*4%*	*6%*	*5%*	*6%*	*4%*	*4%*	*3%*	*3%*	*3%*	*4%*	*4%*	*4%*	*4%*	*5%*	*5%*	*5%*	*5%*
A+B TV+Laptop																	
Revenue	**24,223**	**24,802**	**27,400**	**23,700**	**19,500**	**23,163**	**21,945**	**25,346**	**28,088**	**31,043**	**33,555**	**36,357**	**38,310**	**40,416**	**41,895**	**43,432**	**45,029**
YoY		*2%*	*10%*	*-14%*	*-18%*	*19%*	*-5%*	*15%*	*11%*	*11%*	*8%*	*8%*	*5%*	*5%*	*4%*	*4%*	*4%*
% AIoT	*39%*	*37%*	*32%*	*30%*	*24%*	*22%*	*18%*	*16%*	*15%*	*15%*	*14%*	*14%*	*14%*	*14%*	*15%*	*15%*	*16%*
ASP per TV shipments	1,892	2,067	2,228	1,911	1,495	1,973	2,190	2,299	2,427	2,554	2,681	2,820	2,942	3,073	3,154	3,237	3,323
C Tablet																	
Shipments (mn)	1.2	0.8	1.2	3.4	5.3	9.2	11.5	20.2	26.3	34.1	41.0	49.2	51.6	54.2	51.5	48.9	46.5
YoY		*-33%*	*50%*	*183%*	*56%*	*74%*	*25%*	***75%***	***30%***	***30%***	***20%***	***20%***	***5%***	***5%***	***-5%***	***-5%***	***-5%***
Market size (mn)	125.3	160.6	158.3	150.8	135.3	147.6											
Market share	1%	0%	1%	2%	4%	6%											
% Digital device shipments	*1%*	*0%*	*1%*	*2%*	*3%*	*5%*	*6%*	*10%*	*12%*	*15%*	*17%*	*20%*	*20%*	*21%*	*20%*	*20%*	*19%*
ASP (Rmb)	1,100	1,200	1,200	1,200	1,300	1,300	1,352	1,350	1,350	1,350	1,350	1,400	1,400	1,400	1,400	1,400	1,400
YoY		*9%*	*0%*	*0%*	*8%*	*0%*	*4%*	*0%*	*0%*	*0%*	*0%*	*4%*	*0%*	*0%*	*0%*	*0%*	*0%*
Revenue	**1,320**	**960**	**1,440**	**4,080**	**6,890**	**11,960**	**15,608**	**27,270**	**35,451**	**46,087**	**55,304**	**68,823**	**72,264**	**75,877**	**72,084**	**68,479**	**65,055**
YoY		*-27%*	*50%*	*183%*	*69%*	*74%*	*30%*	*75%*	*30%*	*30%*	*20%*	*24%*	*5%*	*5%*	*-5%*	*-5%*	*-5%*
% AIoT	*2%*	*1%*	*2%*	*5%*	*9%*	*11%*	*13%*	*18%*	*19%*	*22%*	*24%*	*27%*	*27%*	*27%*	*25%*	*24%*	*23%*

Source: Team analysis

APPENDIX

Figure 22: Assumption Details

D	**Large appliance**																
a	**Air Conditioner**																
	Shipments (mn)	1.0	1.0	2.0	3.0	4.4	6.8	8.5	12.8	17.9	20.5	22.6	23.7	24.9	26.1	26.4	26.7	26.9
	YoY		*0%*	*99%*	*51%*	*49%*	*53%*	*25%*	***50%***	***40%***	***15%***	***10%***	***5%***	***5%***	***5%***	***1%***	***1%***	***1%***
	Market Size	93.4	83.8	87.4	87.3	96.8	99.7											
	Market Share	1%	1%	2%	3%	5%	7%											
	ASP (Rmb)	1,985	2,082	1,818	1,777	1,583	1,731	1,783	1,750	1,800	1,800	1,800	1,850	1,850	1,850	1,900	1,900	1,900
	YoY		*5%*	*-13%*	*-2%*	*-11%*	*9%*	*3%*	*-2%*	*3%*	*0%*	*0%*	*3%*	*0%*	*0%*	*3%*	*0%*	*0%*
	Revenue	**1,965**	**2,061**	**3,581**	**5,279**	**7,015**	**11,774**	**15,159**	**22,313**	**32,130**	**36,950**	**40,644**	**43,862**	**46,055**	**48,358**	**50,162**	**50,663**	**51,170**
	YoY		*5%*	*74%*	*47%*	*33%*	*68%*	*29%*	*47%*	*44%*	*15%*	*10%*	*8%*	*5%*	*5%*	*4%*	*1%*	*1%*
	% Large appliance	*79%*	*59%*	*63%*	*65%*	*62%*	*66%*	*68%*	*70%*	*70%*	*70%*	*69%*	*68%*	*67%*	*66%*	*64%*	*63%*	*62%*
b	**Washing machine**																	
	Shipments (mn)	0.4	0.6	1.0	1.1	1.3	1.9	2.3	3.1	4.0	5.0	6.1	7.3	8.4	9.6	10.6	11.6	12.2
	YoY		*80%*	*54%*	*8%*	*24%*	*46%*	*21%*	***35%***	***30%***	***25%***	***20%***	***20%***	***15%***	***15%***	***10%***	***10%***	***5%***
	Market Size	43.2	41.8	43.1	40.3	40.6	41.0											
	Market Share	1%	2%	2%	3%	3%	5%											
	ASP (Rmb)	1,300	1,300	1,280	1,250	1,200	1,200	1,300	1,200	1,250	1,250	1,250	1,300	1,300	1,300	1,400	1,400	1,400
	YoY		*0%*	*-2%*	*-2%*	*-4%*	*0%*	*8%*	*-8%*	*4%*	*0%*	*0%*	*4%*	*0%*	*0%*	*8%*	*0%*	*0%*
	Revenue	**455**	**819**	**1,242**	**1,313**	**1,560**	**2,280**	**2,990**	**3,726**	**5,046**	**6,307**	**7,568**	**9,445**	**10,862**	**12,492**	**14,798**	**16,277**	**17,091**
	YoY		*80%*	*52%*	*6%*	*19%*	*46%*	*31%*	*25%*	*35%*	*25%*	*20%*	*25%*	*15%*	*15%*	*18%*	*10%*	*5%*
	% Large appliance	*18%*	*24%*	*22%*	*16%*	*14%*	*13%*	*13%*	*12%*	*11%*	*12%*	*13%*	*15%*	*16%*	*17%*	*19%*	*20%*	*21%*
c	**Refrigerator**																	
	Shipments (mn)	0.1	0.4	0.5	1.0	2.0	2.7	2.8	4.2	5.9	6.8	7.4	7.8	8.2	8.6	8.7	8.8	8.9
	YoY		*600%*	*46%*	*98%*	*100%*	*34%*	*4%*	***50%***	***40%***	***15%***	***10%***	***5%***	***5%***	***5%***	***1%***	***1%***	***1%***
	Market Size	45.6	45.9	44.5	44.2	44.8	45.5											
	Market Share	0%	1%	1%	2%	5%	6%											
	ASP (Rmb)	1,600	1,700	1,650	1,550	1,400	1,400	1,442	1,400	1,450	1,450	1,450	1,450	1,500	1,500	1,500	1,600	1,600
	YoY		*6%*	*-3%*	*-6%*	*-10%*	*0%*	*3%*	*-3%*	*4%*	*0%*	*0%*	*0%*	*3%*	*0%*	*0%*	*7%*	*0%*
	Revenue	**80**	**595**	**842**	**1,566**	**2,828**	**3,780**	**4,038**	**5,880**	**8,526**	**9,805**	**10,785**	**11,325**	**12,301**	**12,916**	**13,045**	**14,054**	**14,194**
	YoY		*644%*	*41%*	*86%*	*81%*	*34%*	*7%*	*46%*	*45%*	*15%*	*10%*	*5%*	*9%*	*5%*	*1%*	*8%*	*1%*
	% Large appliance	*3%*	*17%*	*15%*	*19%*	*25%*	*21%*	*18%*	*18%*	*19%*	*18%*	*18%*	*18%*	*18%*	*18%*	*17%*	*17%*	*17%*
d	**Total**																	
	Revenue	**2,500**	**3,475**	**5,664**	**8,157**	**11,403**	**17,834**	**22,186**	**31,919**	**45,702**	**53,061**	**58,998**	**64,632**	**69,218**	**73,766**	**78,004**	**80,995**	**82,456**
	YoY		*39%*	*63%*	*44%*	*40%*	*56%*	*24%*	*44%*	*43%*	*16%*	*11%*	*10%*	*7%*	*7%*	*6%*	*4%*	*2%*
	% AIoT	*4%*	*5%*	*7%*	*10%*	*14%*	*17%*	*18%*	*21%*	*25%*	*25%*	*25%*	*25%*	*26%*	*26%*	*28%*	*29%*	*29%*
	Shipments	1.39	1.97	3.45	5.03	7.75	11.40	13.60	20.06	27.77	32.34	36.07	38.79	41.45	44.36	45.67	47.08	48.01
	ASP	1,799	1,764	1,642	1,622	1,471	1,564	1,631	1,592	1,646	1,641	1,636	1,666	1,670	1,663	1,708	1,721	1,717
E	**Others**																	
	Revenue	**34,045**	**38,173**	**50,476**	**43,858**	**42,315**	**51,147**	**63,461**	**69,807**	**76,788**	**80,627**	**84,658**	**87,198**	**89,814**	**90,712**	**91,619**	**90,703**	**89,796**
	YoY		*12%*	*32%*	*-13%*	*-4%*	*21%*	*24%*	***10%***	***10%***	***5%***	***5%***	***3%***	***3%***	***1%***	***1%***	***-1%***	***-1%***
	% AIoT	*55%*	*57%*	*59%*	*55%*	*53%*	*49%*	*52%*	*45%*	*41%*	*38%*	*36%*	*34%*	*33%*	*32%*	*32%*	*32%*	*32%*
F	**AIoT Total Revenue**	**62,088**	**67,410**	**84,980**	**79,795**	**80,108**	**104,104**	**123,200**	**154,342**	**186,029**	**210,818**	**232,516**	**257,010**	**269,606**	**280,771**	**283,603**	**283,609**	**282,336**
	YoY		*9%*	*26%*	*-6%*	*0%*	*30%*	*18%*	*25%*	*21%*	*13%*	*10%*	*11%*	*5%*	*4%*	*1%*	*0%*	*0%*
	% Total Revenue	*30%*	*27%*	*26%*	*28%*	*30%*	*28%*	*27%*	*26%*	*27%*	*28%*	*30%*	*31%*	*32%*	*33%*	*33%*	*33%*	*32%*
	Digital device shipments (mn)	139	160	205	167	165	190	188	204	215	227	237	248	253	258	253	249	245
	IoT revenue per digital device shipment	446	421	415	477	486	547	657	756	866	927	981	1,035	1,066	1,090	1,119	1,138	1,152

Source: Team analysis

APPENDIX

Figure 22: Assumption Details

3 Internet																	
A	**MAU of MIUI**	**310**	**396**	**509**	**582**	**641**	**702**	**754**	**804**	**843**	**883**	**912**	**942**	**963**	**974**	**981**	**989**	**996**
	YoY		*39%*	*63%*	*44%*	*40%*	*56%*	*7%*	*7%*	*5%*	*5%*	*3%*	*3%*	*2%*	*1%*	*1%*	*1%*	*1%*
	MAU/smartphone	2.48x	2.71x	2.67x	3.87x	4.40x	4.17x	4.57x	4.68x	4.80x	4.91x	5.01x	5.11x	5.17x	5.18x	5.27x	5.37x	5.46x
	Replacement id from existing users		65.0	68.7	113.0	63.8	38.3	37.6	42.9	35.1	35.9	27.3	27.6	18.6	9.4	9.3	9.2	9.1
	% Replacement rate		*44%*	*36%*	*75%*	*44%*	*23%*	*23%*	***25%***	***20%***	***20%***	***15%***	***15%***	***10%***	***5%***	***5%***	***5%***	***5%***
a	**China**	**109**	**111**	**130**	**144**	**156**	**173**	**186**	**197**	**208**	**216**	**225**	**231**	**236**	**239**	**241**	**242**	**243**
	YoY		*2%*	*17%*	*11%*	*8%*	*11%*	*8%*	*6%*	*5%*	*4%*	*4%*	*3%*	*2%*	*1%*	*1%*	*0%*	*0%*
	% Global MAU	*35%*	*28%*	*26%*	*25%*	*24%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*24%*	*25%*	*25%*	*25%*	*25%*	*24%*
	MAU/smartphone	2.96x	2.81x	2.54x	3.67x	4.36x	4.13x	4.27x	4.34x	4.45x	4.50x	4.58x	4.61x	4.67x	4.69x	4.77x	4.84x	4.91x
	Replacement id from existing users		-0.7	7.2	25.9	15.4	11.1	11.6	9.1	9.3	7.2	7.4	5.0	5.1	2.6	2.5	1.5	1.5
	% Replacement rate		*-2%*	*14%*	*66%*	*43%*	*27%*	*27%*	***20%***	***20%***	***15%***	***15%***	***10%***	***10%***	***5%***	***5%***	***3%***	***3%***
b	**Global, ex China**	**201**	**285**	**379**	**438**	**486**	**529**	**568**	**611**	**652**	**687**	**722**	**750**	**778**	**800**	**819**	**831**	**843**
	YoY		*42%*	*33%*	*16%*	*11%*	*9%*	*7%*	*8%*	*7%*	*5%*	*5%*	*4%*	*4%*	*3%*	*2%*	*1%*	*1%*
	% Global MAU	*65%*	*72%*	*74%*	*75%*	*76%*	*75%*	*75%*	*76%*	*77%*	*78%*	*79%*	*80%*	*81%*	*82%*	*83%*	*84%*	*85%*
	MAU/smartphone	2.28x	2.67x	2.72x	3.94x	4.41x	4.18x	4.67x	4.83x	5.06x	5.23x	5.43x	5.59x	5.75x	5.85x	6.05x	6.20x	6.35x
	Replacement id from existing users		65.6	61.5	87.1	48.5	27.2	43.6	37.9	38.7	32.9	33.2	26.8	27.1	20.5	20.3	13.4	13.3
	% Replacement rate		*61%*	*44%*	*78%*	*44%*	*21%*	*36%*	***30%***	***30%***	***25%***	***25%***	***20%***	***20%***	***15%***	***15%***	***10%***	***10%***
B	**Advertising revenue**	**10,690**	**12,741**	**18,131**	**18,472**	**20,500**	**24,760**	**28,480**	**28,610**	**30,167**	**31,772**	**33,019**	**34,386**	**35,421**	**36,030**	**37,089**	**37,565**	**37,841**
	YoY		*19%*	*42%*	*2%*	*11%*	*21%*	*15%*	*0%*	*5%*	*5%*	*4%*	*4%*	*3%*	*2%*	*3%*	*1%*	*1%*
	% Internet Revenue	54%	54%	64%	65%	68%	73%	76%	70%	67%	67%	64%	62%	60%	58%	57%	54%	54%
	Per MAU	34.5	32.2	35.6	31.7	32.0	35.3	37.8	**35.6**	**35.8**	**36.0**	**36.2**	**36.5**	**36.8**	**37.0**	**37.8**	**38.0**	**38.0**
C	**Subscription and games revenue**	**9,152**	**11,014**	**10,081**	**9,850**	**9,607**	**9,355**	**8,960**	**12,055**	**15,168**	**15,886**	**18,243**	**20,726**	**24,063**	**26,292**	**28,455**	**31,634**	**31,866**
	YoY		*20%*	*-8%*	*-2%*	*-2%*	*-3%*	*-4%*	*35%*	*26%*	*5%*	*15%*	*14%*	*16%*	*9%*	*8%*	*11%*	*1%*
	% Internet Revenue	46%	46%	36%	35%	32%	27%	24%	30%	33%	33%	36%	38%	40%	42%	43%	46%	46%
	Per MAU	29.6	27.8	19.8	16.9	15.0	13.3	11.9	**15.0**	**18.0**	**18.0**	**20.0**	**22.0**	**25.0**	**27.0**	**29.0**	**32.0**	**32.0**
D	**Internet Total Revenue**	**19,842**	**23,755**	**28,212**	**28,322**	**30,107**	**34,115**	**37,440**	**40,664**	**45,335**	**47,659**	**51,262**	**55,111**	**59,484**	**62,322**	**65,544**	**69,198**	**69,708**
	YoY		*20%*	*19%*	*0%*	*6%*	*13%*	*10%*	*9%*	*11%*	*5%*	*8%*	*8%*	*8%*	*5%*	*5%*	*6%*	*1%*
	% Total Revenue	10%	10%	9%	10%	11%	9%	8%	7%	7%	6%	7%	7%	7%	7%	8%	8%	8%
	ARPU	64.1	59.9	55.4	48.7	47.0	48.6	49.6	50.6	53.8	54.0	56.2	58.5	61.8	64.0	66.8	70.0	70.0
	YoY		*-6%*	*-8%*	*-12%*	*-3%*	*3%*	*2%*	*2%*	*6%*	*0%*	*4%*	*4%*	*6%*	*4%*	*4%*	*5%*	*0%*
	Smartphone ASP/ARPU	15.28x	17.34x	19.80x	22.83x	23.00x	23.42x	22.74x	22.88x	21.89x	22.19x	21.57x	20.87x	19.76x	19.08x	18.20x	17.19x	17.02x

Source: Team analysis

APPENDIX

Figure 22: Assumption Details

5 Smart EV and other new initiatives												
A	**EV sales**											
a	**Sales Volumn (k)**											
	SU7, Pro & Max	137	244	329	345	356	320	240	120	60	30	15	8
	SU7, Ultra		16	20	24	26	26	27	28	27	26	23	21
	YU7		152	205	256	307	323	332	299	224	168	126	95
	Others			167	226	249	274	301	406	467	537	618	711
	Sales Growth												
	SU7, Pro & Max		*78%*	***35%***	***5%***	***3%***	***-10%***	***-25%***	***-50%***	***-50%***	***-50%***	***-50%***	***-50%***
	SU7, Ultra			***25%***	***20%***	***10%***	***2%***	***2%***	***2%***	***-2%***	***-5%***	***-10%***	***-10%***
	YU7			***35%***	***25%***	***20%***	***5%***	***3%***	***-10%***	***-25%***	***-25%***	***-25%***	***-25%***
	Others				***35%***	***10%***	***10%***	***10%***	***35%***	***15%***	***15%***	***15%***	***15%***
b	**ASP**												
	VAT	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*	*11.5%*
	Price(k)												
	SU7, Pro & Max	265	261	267	264	261	256	251	246	241	239	236	236
	SU7, Ultra		570	581	587	587	581	576	570	564	558	553	553
	YU7		290	299	305	308	311	311	311	308	305	302	302
	Others			382	390	398	406	414	418	420	422	424	426
	Price erosion												
	SU7, Pro & Max		*-1%*	***2%***	***-1%***	***-1%***	***-2%***	***-2%***	***-2%***	***-2%***	***-1%***	***-1%***	***0%***
	SU7, Ultra			***2%***	***1%***	***0%***	***-1%***	***-1%***	***-1%***	***-1%***	***-1%***	***-1%***	***0%***
	YU7			***3%***	***2%***	***1%***	***1%***	***0%***	***0%***	***-1%***	***-1%***	***-1%***	***0%***
	Others				***2%***	***2%***	***2%***	***2%***	***1%***	***1%***	***1%***	***1%***	***1%***
c	**Revenue**												
	SU7, Pro & Max	32,089	56,370	77,621	80,687	82,277	72,568	53,337	26,135	12,806	6,339	3,138	1,569
	SU7, Ultra		7,936	10,118	12,264	13,490	13,622	13,756	13,890	13,476	12,675	11,293	10,164
	YU7		38,938	54,143	69,032	83,667	88,729	91,391	82,252	61,072	45,346	33,669	25,252
	Others			56,655	78,014	87,531	98,210	110,192	150,247	173,647	200,693	231,951	268,077
	Total EV Revenue	**32,089**	**103,244**	**198,537**	**239,997**	**266,965**	**273,129**	**268,676**	**272,524**	**261,002**	**265,053**	**280,051**	**305,062**
	YoY		*222%*	*92%*	*21%*	*11%*	*2%*	*-2%*	*1%*	*-4%*	*2%*	*6%*	*9%*
B	**Other revenue**	**664**	**2,826**	**1,985**	**2,400**	**4,004**	**4,097**	**4,030**	**5,450**	**5,220**	**5,301**	**8,402**	**9,152**
	YoY		*325%*	*-30%*	*21%*	*67%*	*2%*	*-2%*	*35%*	*-4%*	*2%*	*58%*	*9%*
	% EV revenue	*2.1%*	*2.7%*	***1.0%***	***1.0%***	***1.5%***	***1.5%***	***1.5%***	***2.0%***	***2.0%***	***2.0%***	***3.0%***	***3.0%***
C	**Smart EV and other new initiatives revenue**	**32,754**	**106,070**	**200,523**	**242,397**	**270,970**	**277,226**	**272,706**	**277,975**	**266,222**	**270,354**	**288,453**	**314,214**
	YoY		*224%*	*89%*	*21%*	*12%*	*2%*	*-2%*	*2%*	*-4%*	*2%*	*7%*	*9%*
	% Total Revenue	*9%*	*23%*	*33%*	*35%*	*36%*	*35%*	*33%*	*33%*	*31%*	*32%*	*33%*	*35%*

Source: Team analysis

APPENDIX

Cost

Costs: Given the fluctuations in Xiaomi's net profit margin, we forecast costs based on the cost classifications disclosed in the financial statements, using the ratio of each cost item to the revenue of the relevant business segment—an approach that **ensures cost-revenue matching while avoiding excessive assumptions on the gross profit margins of different businesses**. Specifically, a) Cost of Inventories Sold and Royalty Fees, aligned with hardware revenue, will gradually decrease from 80% to 75% over the years as Xiaomi's brand advantage has been basically established; b) Provision for Inventory Impairment will maintain a relatively stable ratio of 2% to core business revenue; c) Content Fees to Game Developers and Video Providers, as well as Cloud Services, Bandwidth and Server Hosting Fees, both aligned with software revenue, will remain stable at 10% and 2% respectively; d) Warranty Expenses and Other Expenses will maintain a relatively stable ratio of 1.5% to total revenue; e) and for Smart EV Business Costs, based on the current cost ratio of 80% relative to Smart EV revenue, we expect the ratio to gradually increase to 90% in the initial phase (2025E-2028E) followed by a gradual control and decline back to the 80% range in subsequent periods.

Operating Expenses: Leveraging Xiaomi Group's excellent operational management capabilities and unwavering commitment to R&D investment, we forecast the following trends for operating expenses: a) R&D Expenses will grow at lower speed from 40% yoy in 2025E to 10% yoy in 2028E, with its ratio to total revenue maintaining relatively stable between 6%-7% over the years; b) Selling and Marketing Expenses will see a gradual slowdown in growth rate from 30% in 2025E to a stable 5% post 2032E, while its ratio to total revenue will increase from 7% to 10%; c) and Administrative Expenses will have a growth rate that gradually declines from 10% in 2025E, with its ratio to total revenue stabilizing around 1%.

Other Income and Expenses: We project that the Other Income and Expenses for each subsequent year will be **the average of the corresponding items** over the preceding five years, which will then be aggregated. This approach reflects our emphasis on Xiaomi's risk control capabilities.

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CAPEX and D&A

Capital Expenditures will maintain a steady growth rate consistent with the current level, as Xiaomi Group still requires corresponding investments in the process of expanding its Smart EV business; for D&A, we adopt industry-standard depreciation periods of 8 and 10 years to amortize intangible assets and depreciate Property, Plant and Equipment each year.

Working Capital

We anticipate that Days Inventory Outstanding will first rise from the current 67 days to 70 days due to the Smart EV business, then gradually decrease to 60 days; Days Sales Outstanding and Days Payable Outstanding will remain stable at their current levels, while other contingent matters will be consistent with the 2024 situation.

Shares and Share-Based Compensation

We anticipate that the number of Xiaomi Group's shares will remain relatively stable, consistent with historical trends, maintaining an annual growth rate of 0.5%. For share-based compensation, as the company continues to expand in scale and enters a fully mature stage, we expect its ratio to revenue will gradually decrease from 1% to 0.65% over the years; based on this assumption, we adjust IFRS revenue and calculate other relevant financial metrics.

Other Matters

line with the level observed during the 2022-2024 period.

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Figure 23: Scenario Assumption

Bear Case scenario: Xiaomi sees car sales growth slow down with few hit models, while its AIoT business profits contract due to competitive pressures. The key assumptions driving this scenario include: a) Smart EV business: Existing models' sales growth underperforms, and the iteration of subsequent models is slow. This leads to a significant decline in the Smart EV segment's revenue growth, especially after peaking in 2027, with sales gradually shrinking and a lack of blockbuster models to support long-term growth. This will result in Xiaomi's 2035E EV-related revenue lower than base case by more than 35%. b) AIoT business: Intensified industry competition causes lackluster revenue growth and margin pressure in this segment. Shipments and ASP growth of products like TVs, laptops, and tablets fall short of the base case, making it difficult to fully leverage economies of scale. This will result in Xiaomi's 2035E AIoT-related business revenue lower than base case by more than 24%. c) The dual weakness in the Smart EV and AIoT businesses results in core financial metrics such that total revenue is down by 19.40% compared to the base case. d) These combined factors lead to a valuation discount relative to the base case, reflecting a notable downside in Xiaomi's overall valuation, with a 12-month target price at HK$30.48, implying a 14.3% downside from the current price and 34.6% decline compared with base case.

Bull Case scenario: Xiaomi's AIoT business emerges as a key growth pillar, with shipment volume rising, driving effective growth in unit prices of related products. The key assumptions driving this scenario include: a) AIoT device segment: 2035E device shipments has a 39.6% increase versus the base case. The ARPU is also expected to exceed base case by 8.6% in 2035E. This dual growth pushes revenue in 2035 to see a 40.3% rise from the base case. b) The strong AIoT performance lifts Xiaomi's overall financial metrics, with 2035E EBIT and FCF exceeding base case expectations by 63.0% and 54.2% c) Valuation-wise, this translates to a significant upside, with a 12-month target price of HK$70.38, implying a 97.8% upside from the current price and a 51.1% premium compared to the base case.

Source: Team analysis

APPENDIX

Figure 24: WACC Calculation

WACC - Total DCF		**6.92%**									
Cost of Equity		**7.22%**	**<<CAPM**								
Risk-free rate		1.76%	<<Chinese 10-year gov. bond rate								
Beta		1.06	<<Adjusted 5-year regression on HSI								
Equity-risk premium		5.14%	<<Damodaran country & industry adjusted equity-risk premium								
Cost of Debt		**2.76%**									
weighted cost of debt		3.30%									
Tax rate		16.3%									
	Bond Ticker	Bond Name	Start Date	End Date	Years Left	Issuance (mn)	Current Balance (mn)	Currency	Credit Rating	Type of payment	Rate
1	40764.HK	Xiaomi 4.1% 20510714	2021-07-14	2051-07-14	25.67	**400**	**400**	USD	BBB-	Fixed rate	**4.1%**
2	S2645171.HK	Xiaomi 4.1% 20510714	2021-07-14	2051-07-14	25.67	**400**	**400**	USD	--	Fixed rate	**4.1%**
3	40763.HK	Xiaomi 2.875% 20310714	2021-07-14	2031-07-14	5.65	**800**	**800**	USD	BBB	Fixed rate	**2.875%**
4	S2645088.HK	Xiaomi 2.875% 20310714	2021-07-14	2031-07-14	5.65	**800**	**800**	USD	--	Fixed rate	**2.875%**
5	40209.HK	Xiaomi 3.375% 20300429	2020-04-29	2030-04-29	4.45	**600**	**600**	USD	BBB	Fixed rate	**3.375%**
Long-term Debt/Equity Ratio		**6.8%**	<<Average Debt/Equity Ratio of 2025-2035E								

Source: Team analysis

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Figure 25: DCF Details

DCF Process	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**280,044**	**270,970**	**365,906**	**457,287**	**600,346**	**686,843**	**751,128**	**788,132**	**816,511**	**841,065**	**845,656**	**852,436**	**869,561**	**890,015**
YoY		*-3%*	*35%*	*25%*	*31%*	*14%*	*9%*	*5%*	*4%*	*3%*	*1%*	*1%*	*2%*	*2%*
COGS	**232,467**	**213,494**	**289,346**	**355,481**	**455,342**	**523,882**	**575,448**	**605,405**	**625,525**	**643,740**	**645,411**	**649,036**	**665,792**	**682,865**
Gross Profit	**47,577**	**57,476**	**76,560**	**101,806**	**145,004**	**162,961**	**175,681**	**182,727**	**190,986**	**197,325**	**200,244**	**203,401**	**203,769**	**207,150**
% Margin Rate	*17%*	*21%*	*21%*	*22%*	*24%*	*24%*	*23%*	*23%*	*23%*	*23%*	*24%*	*24%*	*23%*	*23%*
Operating Expense	42,465	43,451	55,041	73,000	94,901	117,483	137,102	153,122	159,632	166,801	162,732	159,370	160,186	161,400
% Revenue	*15%*	*16%*	*15%*	*16%*	*16%*	*17%*	*18%*	*19%*	*20%*	*20%*	*19%*	*19%*	*18%*	*18%*
EBIT	**5,112**	**14,025**	**21,519**	**28,806**	**50,103**	**45,477**	**38,579**	**29,605**	**31,354**	**30,525**	**37,513**	**44,031**	**43,583**	**45,750**
% Revenue	*2%*	*5%*	*6%*	*6%*	*8%*	*7%*	*5%*	*4%*	*4%*	*4%*	*4%*	*5%*	*5%*	*5%*
Tax rate	*36%*	*21%*	*16%*	*16%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
NOPAT	**3,252**	**11,134**	**18,039**	**24,118**	**42,587**	**38,656**	**32,792**	**25,164**	**26,651**	**25,946**	**31,886**	**37,426**	**37,046**	**38,888**
D&A	3,707	4,836	6,318	8,757	9,505	12,254	15,278	18,604	22,237	26,208	30,548	35,088	39,838	44,806
Capex	3,224	5,581	6,456	15,171	16,991	18,690	20,559	22,615	24,877	27,364	30,101	31,606	33,186	34,845
Working Capital Changes	-21,252	18,356	478	-16,598	-2,791	-4,129	-10,347	-6,555	-2,987	-3,107	-3,468	1,809	-12,552	206
% Revenue	*-7.6%*	*6.8%*	*0.1%*	*-3.6%*	*-0.5%*	*-0.6%*	*-1.4%*	*-0.8%*	*-0.4%*	*-0.4%*	*-0.4%*	*0.2%*	*-1.4%*	*0.0%*
Free Cash Flow	**24,987**	**-7,966**	**17,424**	**34,302**	**37,893**	**36,349**	**37,857**	**27,708**	**26,998**	**27,896**	**35,801**	**39,099**	**56,249**	**48,643**
Date				>>Target Date	2027/5/6	2027/12/31	2028/12/31	2029/12/31	2030/12/31	2031/12/31	2032/12/31	2033/12/31	2034/12/31	2035/12/31
12-month target Free Cash Flow Adjusted to date				>>2027E stub	65.3%	**23,728**	**37,857**	**27,708**	**26,998**	**27,896**	**35,801**	**39,099**	**56,249**	**48,643**
WACC	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*	*6.92%*
Present Value of Adj.FCF						**22,711**	**33,884**	**23,195**	**21,138**	**20,428**	**24,515**	**25,041**	**33,693**	**27,252**

Source: Team analysis

APPENDIX

Figure 25: DCF Details

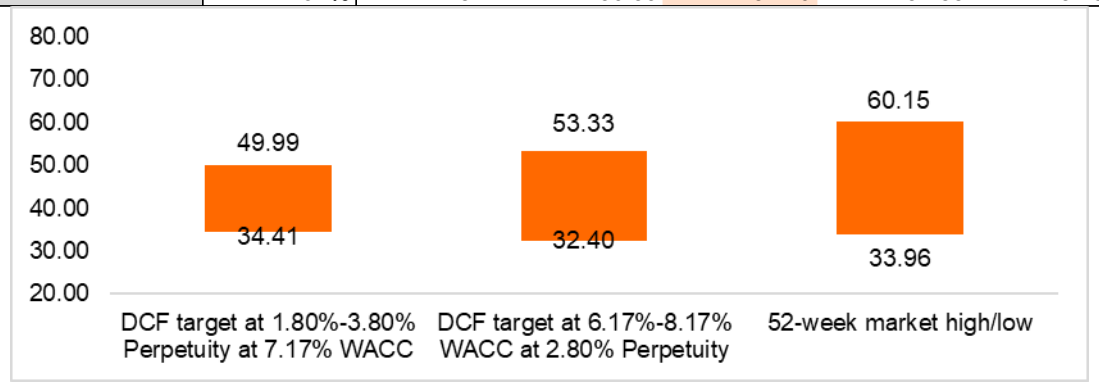
WACC calculation	
Equity component	
Equity market premium	5.14%
Risk free rate	1.76%
Original Beta	1.10
Adjusted Beta	1.06
Cost of equity	**7.22%**
Debt component	
Weighted Cost of Debt	3.30%
Tax rate	16.28%
After-tax cost of debt	**2.76%**
Long-run debt-to-capital ratio	**6.8%**
WACC	**6.92%**

Perpetual Growth Rate	
Projected China long-term GDP growth (20	2.8%
Perpetual growth rate	**2.8%**

DCF (Gordon Growth Model)	
Assumptions	
WACC	**6.92%**
Perpetual growth rate	**2.80%**
CNY/HKD	1.15
TV of UFCF	1,214,010
PV of TV	680,141
% of EV	*75%*
PV of UFCF	231,857
% of EV	*25%*
EV (CNY)	**911,998**
Less: Net Debt	-32,271
Less: Minority Interest	-77
Equity Value (CNY)	944,345
Equity Value (HKD)	**1,086,847**
ADS outstanding (mn)	26,962
12-month target price (HKD)	**40.31**
Closing Price (2026/5/6)	30.82
Implied upside	**30.8%**
Implied 2026E P/E	**18.99x**

Equity Value (HKD)		Perpetual Growth Rate				
	1,086,847	1.80%	2.30%	2.80%	3.30%	3.80%
WACC	5.92%	1,157,259	1,278,136	1,437,767	1,658,349	1,983,028
	6.42%	1,030,009	1,121,360	1,237,953	1,391,928	1,604,695
	6.92%	927,804	998,718	**1,086,847**	1,199,328	1,347,872
	7.42%	843,954	900,201	968,624	1,053,659	1,162,191
	7.92%	773,954	819,364	873,644	939,677	1,021,740

12-month Target (HKD)		Perpetual Growth Rate				
	40.31	1.80%	2.30%	2.80%	3.30%	3.80%
WACC	5.92%	42.92	47.40	53.33	61.51	73.55
	6.42%	38.20	41.59	45.91	51.63	59.52
	6.92%	34.41	37.04	**40.31**	44.48	49.99
	7.42%	31.30	33.39	35.93	39.08	43.10
	7.92%	28.71	30.39	32.40	34.85	37.90



Source: Team analysis

APPENDIX

Figure 25: DCF Scenario Analysis – Bear Case

Bear Case	#Car sales growth slowed, with few hit models. AIoT business profits contracted due to competitive pressures.													
DCF Process	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**
Sales growth of other EV						15.0%	5.0%	1.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%
Compare with base case						***-5.9%***	***-6.8%***	***-1.3%***	***-0.4%***	***-3.9%***	***2.2%***	***-3.6%***	***-8.7%***	***-10.9%***
Revenue growth of AIoT				18.1%	19.0%	19.5%	11.3%	9.1%	9.3%	6.0%	3.9%	0.5%	-0.5%	-1.0%
Compare with base case				***-0.2%***	***-6.3%***	***-1.1%***	***-2.0%***	***-1.2%***	***-1.2%***	***1.1%***	***-0.2%***	***-0.5%***	***-0.5%***	***-0.6%***
Implied EV revenue			**32,754**	**106,070**	**200,523**	**230,601**	**242,131**	**244,553**	**239,661**	**234,868**	**230,171**	**225,567**	**221,056**	**216,635**
Implied AIoT revenue	**79,795**	**80,108**	**104,104**	**123,200**	**146,599**	**175,148**	**194,999**	**212,726**	**232,528**	**246,369**	**255,995**	**257,275**	**255,989**	**253,429**
Total revenue	280,044	270,970	365,906	457,287	592,603	664,167	706,471	735,669	758,984	774,721	784,828	781,322	774,543	763,528
% Compare with base case	***0%***	***0%***	***0%***	***0.00%***	***-1.29%***	***-3.30%***	***-5.95%***	***-6.66%***	***-7.05%***	***-7.89%***	***-7.19%***	***-8.34%***	***-10.93%***	***-14.21%***
COGS	232,467	213,494	289,346	355,481	449,117	505,553	539,330	562,821	578,829	589,872	596,033	591,299	588,341	579,739
Gross Profit	47,577	57,476	76,560	101,806	143,486	158,614	167,140	172,847	180,155	184,849	188,795	190,023	186,203	183,790
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-1.0%***	***-2.7%***	***-4.9%***	***-5.4%***	***-5.7%***	***-6.3%***	***-5.7%***	***-6.6%***	***-8.6%***	***-11.3%***
% Margin Rate	*17%*	*21%*	*21%*	*22%*	*24%*	*24%*	*24%*	*23%*	*24%*	*24%*	*24%*	*24%*	*24%*	*24%*
Operating Expense	42,465	43,451	55,041	73,000	94,901	117,483	137,102	153,122	159,632	166,801	162,732	159,370	160,186	161,400
% Revenue	*15%*	*16%*	*15%*	*16%*	*16%*	*18%*	*19%*	*21%*	*21%*	*22%*	*21%*	*20%*	*21%*	*21%*
EBIT	5,112	14,025	21,519	28,806	48,585	41,131	30,039	19,725	20,523	18,048	26,063	30,653	26,017	22,390
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-3.0%***	***-9.6%***	***-22.1%***	***-33.4%***	***-34.5%***	***-40.9%***	***-30.5%***	***-30.4%***	***-40.3%***	***-51.1%***
% Revenue	*2%*	*5%*	*6%*	*6%*	*8%*	*6%*	*4%*	*3%*	*3%*	*2%*	*3%*	*4%*	*3%*	*3%*
Tax rate	*36%*	*21%*	*16%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
NOPAT	3,252	11,134	18,039	24,118	41,297	34,961	25,533	16,766	17,444	15,341	22,154	26,055	22,114	19,031
D&A	3,707	4,836	6,318	8,757	9,505	12,254	15,278	18,604	22,237	26,208	30,548	35,088	39,838	44,806
Capex	3,224	5,581	6,456	15,171	16,991	18,690	20,559	22,615	24,877	27,364	30,101	31,606	33,186	34,845
Working Capital Changes	-21,252	18,356	478	-16,598	-3,268	-4,737	-10,555	-6,323	-2,834	-2,952	-3,134	1,492	-11,284	379
% Revenue	*-7.6%*	*6.8%*	*0.1%*	*-3.6%*	*-0.6%*	*-0.7%*	*-1.5%*	*-0.9%*	*-0.4%*	*-0.4%*	*-0.4%*	*0.2%*	*-1.5%*	*0.0%*
Free Cash Flow	**24,987**	**-7,966**	**17,424**	**34,302**	**37,080**	**33,262**	**30,807**	**19,078**	**17,639**	**17,137**	**25,735**	**28,046**	**40,050**	**28,613**
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-2.1%***	***-8.5%***	***-18.6%***	***-31.1%***	***-34.7%***	***-38.6%***	***-28.1%***	***-28.3%***	***-28.8%***	***-41.2%***
Valuation date				>>Target date	2027/5/6	2027/12/31	2028/12/31	2029/12/31	2030/12/31	2031/12/31	2032/12/31	2033/12/31	2034/12/31	2035/12/31
12-month target Free Cash Flow Adjusted to date				>>2027E stub	65.3%	21,713	30,807	19,078	17,639	17,137	25,735	28,046	40,050	28,613
Present Value of Adj.FCF						**20,782**	**27,573**	**16,686**	**15,430**	**14,991**	**22,508**	**24,529**	**35,035**	**25,030**

Source: Team analysis

APPENDIX

Figure 25: DCF Scenario Analysis – Bull Case

Bull Case	#AIoT parts becomes a key pillar, driving effective growth in other unit prices.													
DCF Process	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**
IoT revenue per digital device ship	470.60	483.97	546.56	656.88	609.00	680.40	774.39	811.66	851.60	888.15	916.33	935.78	978.04	997.69
% Compare with base case	***-1.3%***	***-0.4%***	***0.0%***	***0.0%***	***-19.5%***	***-21.5%***	***-16.5%***	***-17.2%***	***-17.7%***	***-16.7%***	***-15.9%***	***-16.4%***	***-14.1%***	***-13.4%***
Digital device shipments (mn)	169.56	165.52	190.47	187.55	210.58	231.16	250.95	272.73	291.63	312.41	330.57	350.21	363.77	378.11
% Compare with base case	***1%***	***0%***	***0%***	***0.0%***	***3.2%***	***7.6%***	***10.3%***	***15.0%***	***17.5%***	***23.5%***	***28.3%***	***38.2%***	***46.0%***	***54.2%***
ARPU	49	47	49	50	54	56	59	62	65	68	71	73	75	76
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***6.7%***	***4.1%***	***9.3%***	***10.3%***	***11.1%***	***10.0%***	***10.9%***	***9.3%***	***7.1%***	***8.6%***
Total revenue	280,044	270,970	365,906	457,287	574,246	658,098	734,642	776,981	807,852	848,923	867,793	896,550	941,734	984,918
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-4.3%***	***-4.2%***	***-2.2%***	***-1.4%***	***-1.1%***	***0.9%***	***2.6%***	***5.2%***	***8.3%***	***10.7%***
COGS	232,467	213,494	289,346	355,481	434,358	500,699	562,152	596,378	618,512	650,105	663,342	684,768	724,469	760,021
Gross Profit	47,577	57,476	76,560	101,806	139,888	157,398	172,491	180,603	189,340	198,819	204,450	211,782	217,265	224,897
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-3.5%***	***-3.4%***	***-1.8%***	***-1.2%***	***-0.9%***	***0.8%***	***2.1%***	***4.1%***	***6.6%***	***8.6%***
% Margin Rate	*17%*	*21%*	*21%*	*22%*	*24%*	*24%*	*23%*	*23%*	*23%*	*23%*	*24%*	*24%*	*23%*	*23%*
Operating Expense	42,465	43,451	55,041	73,000	94,901	117,483	137,102	153,122	159,632	166,801	162,732	159,370	160,186	161,400
% Revenue	*15%*	*16%*	*15%*	*16%*	*17%*	*18%*	*19%*	*20%*	*20%*	*20%*	*19%*	*18%*	*17%*	*16%*
EBIT	5,112	14,025	21,519	28,806	44,987	39,915	35,389	27,481	29,708	32,018	41,719	52,412	57,079	63,497
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-10.2%***	***-12.2%***	***-8.3%***	***-7.2%***	***-5.2%***	***4.9%***	***11.2%***	***19.0%***	***31.0%***	***38.8%***
% Revenue	*2%*	*5%*	*6%*	*6%*	*8%*	*6%*	*5%*	*4%*	*4%*	*4%*	*5%*	*6%*	*6%*	*6%*
Tax rate	*36%*	*21%*	*16%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
NOPAT	3,252	11,134	18,039	24,118	38,239	33,928	30,081	23,359	25,252	27,215	35,461	44,550	48,518	53,973
D&A	3,707	4,836	6,318	8,757	9,505	12,254	15,278	18,604	22,237	26,208	30,548	35,088	39,838	44,806
Capex	3,224	5,581	6,456	15,171	16,991	18,690	20,559	22,615	24,877	27,364	30,101	31,606	33,186	34,845
Working Capital Changes	-21,252	18,356	478	-16,598	-4,400	-3,888	-9,452	-6,305	-2,899	-2,884	-3,407	2,108	-13,416	74
% Revenue	*-7.6%*	*6.8%*	*0.1%*	*-3.6%*	*-0.8%*	*-0.6%*	*-1.3%*	*-0.8%*	*-0.4%*	*-0.3%*	*-0.4%*	*0.2%*	*-1.4%*	*0.0%*
Free Cash Flow	**24,987**	**-7,966**	**17,424**	**34,302**	**35,153**	**31,380**	**34,251**	**25,652**	**25,512**	**28,943**	**39,315**	**45,925**	**68,585**	**63,859**
% Compare with base case	***0%***	***0%***	***0%***	***0.0%***	***-7.2%***	***-13.7%***	***-9.5%***	***-7.4%***	***-5.5%***	***3.8%***	***9.8%***	***17.5%***	***21.9%***	***31.3%***
Valuation date				>>Target date	2027/5/6	2027/12/31	2028/12/31	2029/12/31	2030/12/31	2031/12/31	2032/12/31	2033/12/31	2034/12/31	2035/12/31
12-month target Free Cash Flow Adjusted to date				>>2027E stub	65.3%	20,484	34,251	25,652	25,512	28,943	39,315	45,925	68,585	63,859
Present Value of Adj.FCF						**19,606**	**30,656**	**21,474**	**19,975**	**21,194**	**26,922**	**29,412**	**41,083**	**35,777**

Source: Team analysis

APPENDIX

Figure 26: SOTP Details

1 SOTP Summary		
TEV (CNY)		**958,839**
Smarphones		352,866
AIoT		170,907
Internet and other businesses		120,355
Smart EV and other new initiatives		314,711
Less: Net Debt		-32,271
Less: Minority Interest		-77
Equity Value (CNY)		**991,187**
Equity Value (HKD)		**1,140,757**
ADS outstanding (mn)		26,962
12-month target price (HKD)		**42.31**
Closing Price (2026/5/6)		30.82
Implied upside		**37.28%**

Source: Team analysis

APPENDIX

Figure 26: SOTP Details

2 Smartphones							
A	**Financial Performance**						
	Revenue	167,217	157,461	191,759	186,440	198,851	206,876
	% Total revenue	*60%*	*58%*	*52%*	*41%*	*33%*	*30%*
B	**Multiples**						
	Company			**Market Cap (USD mn)**			**NTM TEV/Revenue**
1	Apple Inc. (NASDAQGS:AAPL)			4,222,762			8.38 x
2	Samsung Electronics Co., Ltd. (KOSE:A005930)			1,194,067			2.29 x
3	ZTE Corporation (SZSE:000063)			25,262			1.21 x
4	Shenzhen Transsion Holdings Co., Ltd. (SHSE:688036)			9,821			0.70 x
	Median						**1.75 x**
C	**Valuation**						
	Date			**>>Today**	**2026/5/6**	**2026/12/31**	**2027/12/31**
	Revenue fraction					65.28%	34.72%
	Estimated revenue					198,851	206,876
	NTM Revenue						**201,638**
	NTM TEV/Revenue						**1.75 x**
	TEV						**352,866**

Source: Team analysis

APPENDIX

Figure 26: SOTP Details

3	**AIoT**						
A	**Financial Performance**						
	Revenue	79,795	80,108	104,104	123,200	154,342	186,029
	% Total revenue	*28%*	*30%*	*28%*	*27%*	*26%*	*27%*
B	**Multiples**						
	Company			**Market Cap (USD mn)**			**NTM TEV/Revenue**
	Black Goods					**>>Weight**	**34.09%**
1	Lenovo Group Limited (SEHK:992)			19,235			0.23 x
2	TCL Electronics Holdings Limited (SEHK:1070)			4,849			0.23 x
3	Hisense Visual Technology Co., Ltd. (SHSE:600060)			4,762			0.34 x
4	Skyworth Group Limited (SEHK:751)			1,501			0.34 x
	White Goods					**>>Weight**	**20.68%**
1	Midea Group Co., Ltd. (SZSE:000333)			88,602			1.17 x
2	Gree Electric Appliances, Inc. of Zhuhai (SZSE:000651)			32,758			0.81 x
3	Haier Smart Home Co., Ltd. (SHSE:600690)			27,978			0.56 x
4	Guangdong TCL Smart Home Appliances Co., Ltd. (SZSE:002668)			1,560			0.37 x
	Smart Appliances & Wearables					**>>Weight**	**20.00%**
1	Garmin Ltd. (NYSE:GRMN)			46,829			5.24 x
2	Logitech International S.A. (SWX:LOGN)			14,700			2.56 x
3	Anker Innovations Limited (SZSE:300866)			9,686			1.59 x
4	Ecovacs Robotics Co., Ltd. (SHSE:603486)			5,514			1.45 x
5	Ugreen Group Limited (SZSE:301606)			4,672			2.38 x
6	Ninebot Limited (SHSE:689009)			4,530			0.76 x
7	Beijing Roborock Technology Co., Ltd. (SHSE:688169)			4,437			0.98 x
	IoT Platform					**>>Weight**	**25.23%**
1	Amazon.com, Inc. (NASDAQGS:AMZN)			2,958,098			3.60 x
2	Tuya Inc. (NYSE:TUYA)			1,471			1.46 x
3	KORE Group Holdings, Inc. (NYSE:KORE)			161			1.89 x
	Median						**1.03 x**

Source: Team analysis

APPENDIX

Figure 26: SOTP Details

4	**Internet and other bussiness**						
A	**Financial Performance**						
	Revenue	33,032	33,401	37,290	41,577	46,630	51,542
	% Total revenue	*12%*	*12%*	*10%*	*9%*	*8%*	*8%*
B	**Multiples**						
	Company			**Market Cap (USD mn)**			**NTM TEV/Revenue**
1	Tencent Holdings Limited (SEHK:700)			533,011			4.45 x
2	Alibaba Group Holding Limited (NYSE:BABA)			317,827			1.97 x
3	NetEase, Inc. (SEHK:9999)			73,907			2.95 x
4	Baidu, Inc. (NASDAQGS:BIDU)			47,836			2.49 x
5	Kuaishou Technology (SEHK:1024)			26,807			0.97 x
	Median						**2.49 x**
C	**Valuation**						
	Date			**>>Today**	**2026/5/6**	**2026/12/31**	**2027/12/31**
	Revenue fraction					65.28%	34.72%
	Estimated revenue					46,630	51,542
	NTM Revenue						**48,335**
	NTM TEV/Revenue						**2.49 x**
	TEV						**120,355**

Source: Team analysis

APPENDIX

Figure 26: SOTP Details

5 Smart EV and other new initiatives												
A	**Financial Performance**											
	Revenue	32,754	106,070	200,523	242,397	270,970	277,226	272,706	277,975	266,222	270,354	288,453	314,214
	% Total revenue	*9%*	*23%*	*33%*	*35%*	*36%*	*35%*	*33%*	*33%*	*31%*	*32%*	*33%*	*35%*
B	**Valuation**												
	Revenue	32,754	106,070	200,523	242,397	270,970	277,226	272,706	277,975	266,222	270,354	288,453	314,214
	YoY		*224%*	*89%*	*21%*	*12%*	*2%*	*-2%*	*2%*	*-4%*	*2%*	*7%*	*9%*
	COGS	26,703	80,306	156,408	189,069	211,356	216,237	212,711	216,820	207,653	210,876	224,993	245,087
	Gross Profit	6,050	25,763	44,115	53,327	59,613	60,990	59,995	61,154	58,569	59,478	63,460	69,127
	% Margin Rate	*18%*	*24%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*
	Operating Expense	12,394	17,532	27,792	32,218	32,414	36,330	38,634	40,725	39,394	39,741	41,979	45,137
	% Revenue	*38%*	*17%*	*14%*	*13%*	*12%*	*13%*	*14%*	*15%*	*15%*	*15%*	*15%*	*14%*
	EBIT	-6,344	8,232	16,323	21,109	27,199	24,660	21,361	20,429	19,175	19,737	21,481	23,990
	% Revenue	*-19%*	*8%*	*8%*	*9%*	*10%*	*9%*	*8%*	*7%*	*7%*	*7%*	*7%*	*8%*
	Tax rate	*0%*	*16%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
	NOPAT	-6,344	6,892	13,875	17,943	23,119	20,961	18,157	17,365	16,299	16,776	18,258	20,391
	D&A	1,948	2,536	3,169	3,461	3,801	3,994	4,232	4,194	4,204	3,921	3,678	3,472
	Capex	2,582	3,793	4,248	2,804	3,084	3,392	3,731	2,736	3,010	1,580	1,659	1,742
	Working Capital Changes	43	-3,850	-932	-1,457	-3,733	-2,306	-998	-1,027	-1,092	574	-4,164	73
	% Revenue	*0%*	*-4%*	*0%*	*-1%*	*-1%*	*-1%*	*0%*	*0%*	*0%*	*0%*	*-1%*	*0%*
	Free Cash Flow	**-7,021**	**9,485**	**13,728**	**20,058**	**27,569**	**23,869**	**19,655**	**19,849**	**18,584**	**18,543**	**24,441**	**22,048**
	Valuation Date		>>Target date	2027/5/6	2027/12/31	2028/12/31	2029/12/31	2030/12/31	2031/12/31	2032/12/31	2033/12/31	2034/12/31	2035/12/31
	12-month target Free Cash Flow Adjusted to date		>>2027E stub	**65.28%**	**13,093**	**27,569**	**23,869**	**19,655**	**19,849**	**18,584**	**18,543**	**24,441**	**22,048**
	PV of Adj. FCF				**12,444**	**24,237**	**19,414**	**14,792**	**13,821**	**11,970**	**11,050**	**13,476**	**11,248**

DCF (Gordon Growth Model)		
Assumptions		
	WACC	**8.08%**
	Perpetual growth rate	**1.80%**
	CNY/HKD	**1.15**
TV of UFCF		357,284
PV of TV		182,261
	% of EV	*58%*
PV of UFCF		132,450
	% of EV	*42%*
EV (CNY)		**314,711**
	Less: Net Debt	-11,389
	Add: Minority Interest	-26
Equity Value (CNY)		326,074
Equity Value (HKD)		**375,279**

EV (CNY)		Perpetual Growth Rate				
	314,711	**0.80%**	**1.30%**	**1.80%**	**2.30%**	**2.80%**
WACC	**7.08%**	333,400	351,368	372,738	398,576	430,448
	7.58%	309,099	323,881	341,219	361,839	386,772
	8.08%	288,138	300,445	**314,711**	331,444	351,345
	8.58%	269,875	280,228	292,107	305,877	322,029
	9.08%	253,819	262,607	272,602	284,071	297,365

Source: Team analysis

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Figure 26: SOTP Details

6 Sensitivity Analysis			
A	**Smatphone**		
	NTM Revenue		201,638
	NTM TEV/Revenue	Upper-quartile	3.81 x
		Meidan	1.75 x
		Lower-quartile	1.08 x
	TEV	Upper-quartile	768,744
		Meidan	352,866
		Lower-quartile	218,273
B	**AIoT**		
	NTM Revenue		165,344
	NTM TEV/Revenue	Upper-quartile	1.49 x
		Meidan	1.03 x
		Lower-quartile	0.85 x
	TEV	Upper-quartile	246,125
		Meidan	170,907
		Lower-quartile	140,539
C	**Internet and other bussiness**		
	NTM Revenue		48,335
	NTM TEV/Revenue	Upper-quartile	3.33 x
		Meidan	2.49 x
		Lower-quartile	2.36 x
	TEV	Upper-quartile	160,715
		Meidan	120,355
		Lower-quartile	114,072
D	**Smart EV and other new initiatives**		
	TEV-high		351,345
	TEV-med		314,711
	TEV-low		288,138
F	**TEV (CNY)**		
		Upper-quartile	1,526,929
		Meidan	958,839
		Lower-quartile	761,022
	Less: Net Debt		-32,271
	Less: Minority Interest		-77
	Equity Value (HKD)		
		Upper-quartile	1,794,572
		Meidan	1,140,757
		Lower-quartile	913,089
	ADS outstanding (mn)		26,962
	12-month target price (HKD)		**Implied upsi**
		Upper-quartile	**66.56** **116%**
		Meidan	**42.31** **37%**
		Lower-quartile	**33.87** **10%**

Source: Team analysis

APPENDIX

Figure 27: Financial Statement

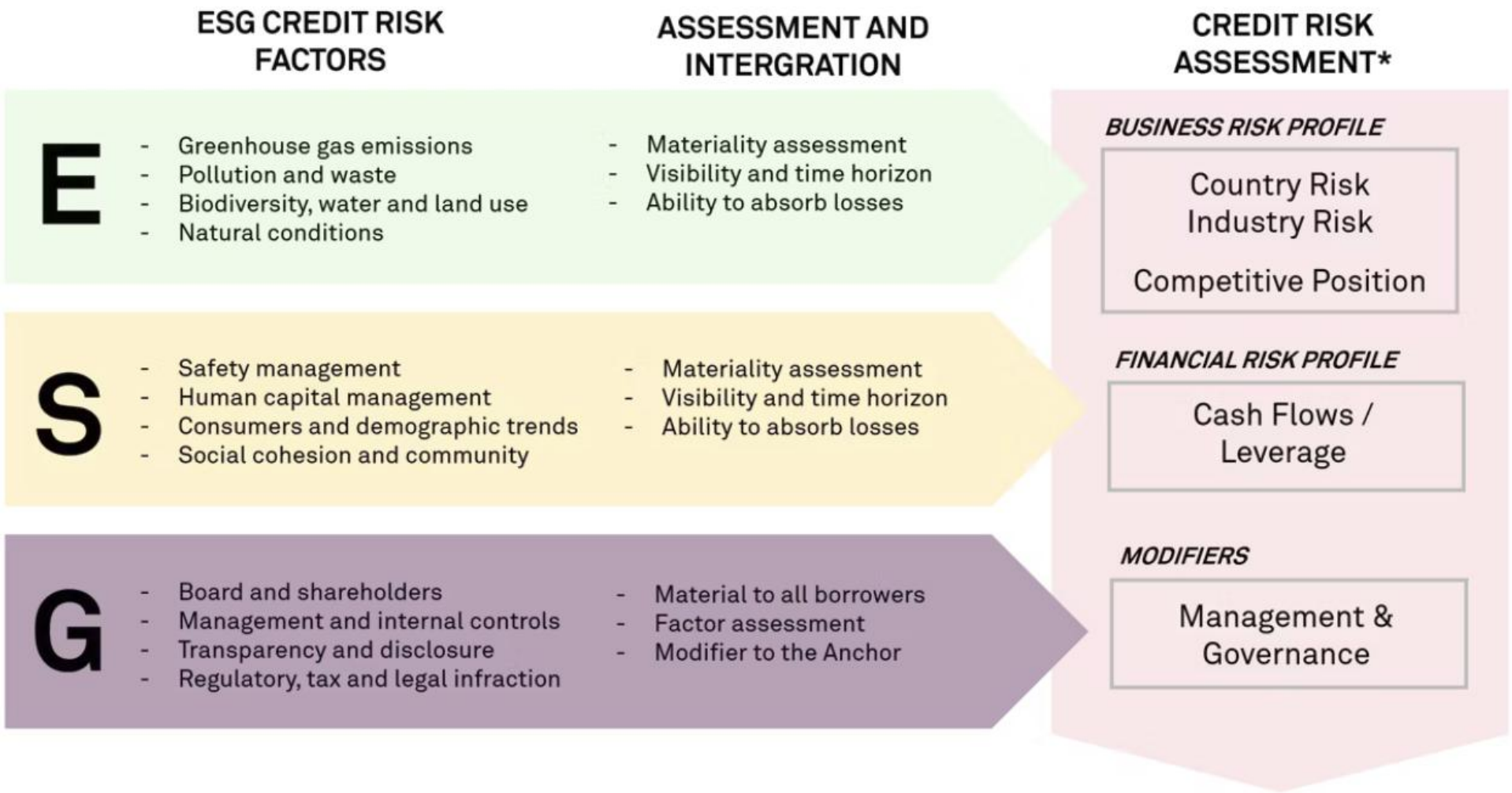
	Income Statement																	
	Revenue	**205,839**	**245,866**	**328,310**	**280,044**	**270,970**	**365,906**	**457,287**	**600,346**	**686,843**	**751,128**	**788,132**	**816,511**	**841,065**	**845,656**	**852,436**	**869,561**	**890,015**
	YoY		*19%*	*34%*	*-15%*	*-3%*	*35%*	*25%*	*31%*	*14%*	*9%*	*5%*	*4%*	*3%*	*1%*	*1%*	*2%*	*2%*
1	Smartphones	122,095	152,191	208,869	167,217	157,461	191,759	186,440	198,851	206,876	215,225	220,513	224,935	227,185	229,457	226,151	221,651	217,240
2	AIoT	62,088	67,410	84,980	79,795	80,108	104,104	123,200	154,342	186,029	210,818	232,516	257,010	269,606	280,771	283,603	283,609	282,336
3	Internet	19,842	23,755	28,212	28,322	30,107	34,115	37,440	40,664	45,335	47,659	51,262	55,111	59,484	62,322	65,544	69,198	69,708
4	Other related businesses	1,814	2,509	6,249	4,711	3,294	3,174	4,137	5,966	6,206	6,457	6,615	6,748	6,816	6,884	6,785	6,650	6,517
5	Smart EV and other new initiatives	0	0	0	0	0	32,754	106,070	200,523	242,397	270,970	277,226	272,706	277,975	266,222	270,354	288,453	314,214
	COGS	**177,285**	**209,114**	**270,048**	**232,467**	**213,494**	**289,346**	**355,481**	**455,342**	**523,882**	**575,448**	**605,405**	**625,525**	**643,740**	**645,411**	**649,036**	**665,792**	**682,865**
	Gross Profit	**28,554**	**36,752**	**58,262**	**47,577**	**57,476**	**76,560**	**101,806**	**145,004**	**162,961**	**175,681**	**182,727**	**190,986**	**197,325**	**200,244**	**203,401**	**203,769**	**207,150**
	YoY		*29%*	*59%*	*-18%*	*21%*	*33%*	*33%*	*42%*	*12%*	*8%*	*4%*	*5%*	*3%*	*1%*	*2%*	*0%*	*2%*
	% Margin Rate	*14%*	*15%*	*18%*	*17%*	*21%*	*21%*	*22%*	*24%*	*24%*	*23%*	*23%*	*23%*	*23%*	*24%*	*24%*	*23%*	*23%*
	Research and development expenses	7,493	9,256	13,167	16,028	19,098	24,051	33,214	46,500	60,450	72,540	79,794	79,794	79,794	71,815	64,633	61,402	58,332
	Selling and marketing expenses	10,378	14,539	20,981	21,323	19,227	25,390	33,132	41,415	49,698	57,153	65,846	72,430	79,673	83,657	87,840	92,232	96,843
	Administrative expenses	3,104	3,746	4,739	5,114	5,127	5,601	6,653	6,986	7,335	7,408	7,482	7,408	7,334	7,260	6,897	6,552	6,225
	Operating Income	**7,579**	**9,210**	**19,375**	**5,112**	**14,025**	**21,519**	**28,806**	**50,103**	**45,477**	**38,579**	**29,605**	**31,354**	**30,525**	**37,513**	**44,031**	**43,583**	**45,750**
	YoY		*22%*	*110%*	*-74%*	*174%*	*53%*	*34%*	*74%*	*-9%*	*-15%*	*-23%*	*6%*	*-3%*	*23%*	*17%*	*-1%*	*5%*
	% Margin Rate	*4%*	*4%*	*6%*	*2%*	*5%*	*6%*	*6%*	*8%*	*7%*	*5%*	*4%*	*4%*	*4%*	*4%*	*5%*	*5%*	*5%*
	Other Income	**4,181**	**14,825**	**6,654**	**-2,295**	**5,983**	**2,984**	**19,095**	**3,447**	**2,224**	**9,354**	**8,509**	**8,255**	**5,008**	**6,696**	**8,706**	**7,258**	**6,653**
	Fair value changes on financial instruments measured at fair value	3,813	13,173	8,132	-1,662	3,501	1,051	13,312	3,324	963	5,955	5,895	5,866	3,414	4,271	5,905	5,058	4,517
	Share of net profits of investments accounted for using the equity	-672	1,381	275	-400	46	277	326	-26	-26	216	192	91	55	127	167	113	91
	Other income	1,266	643	827	1,136	740	1,667	2,737	901	1,181	1,715	1,768	1,606	1,265	1,554	1,696	1,547	1,475
	Other gains (net)	-226	-372	-2,580	-1,369	1,697	-10	2,720	-751	106	1,469	653	692	275	743	938	540	570
	Operating Profit	**11,760**	**24,035**	**26,029**	**2,816**	**20,009**	**24,503**	**47,901**	**53,550**	**47,701**	**47,933**	**38,114**	**39,609**	**35,533**	**44,208**	**52,737**	**50,840**	**52,403**
	YoY		*104%*	*8%*	*-89%*	*610%*	*22%*	*95%*	*12%*	*-11%*	*0%*	*-20%*	*4%*	*-10%*	*24%*	*19%*	*-4%*	*3%*
	Net Finance Income	403	-2,401	-1,612	1,117	2,002	3,624	1,746	5,344	6,186	6,892	7,502	8,310	9,159	10,284	11,911	13,181	15,015
	Profit before income tax, IFRS	**12,162**	**21,633**	**24,418**	**3,934**	**22,011**	**28,127**	**49,647**	**58,894**	**53,887**	**54,825**	**45,615**	**47,919**	**44,692**	**54,492**	**64,648**	**64,022**	**67,419**
	Profit before income tax, non-IFRS	**14,364**	**23,962**	**26,453**	**6,401**	**25,355**	**29,021**	**51,869**	**61,695**	**56,963**	**58,055**	**48,869**	**51,155**	**47,892**	**57,581**	**67,636**	**66,949**	**70,295**
	Income tax expense	-2,060	-1,321	-5,134	-1,431	-4,537	-4,548	-8,080	-9,254	-8,545	-8,708	-7,330	-7,673	-7,184	-8,637	-10,145	-10,042	-10,544
	Effective Tax Rate	*17%*	*6%*	*21%*	*36%*	*21%*	*16%*	*16%*	***15%***	***15%***	***15%***	***15%***	***15%***	***15%***	***15%***	***15%***	***15%***	***15%***
	Net Income, IFRS	**10,103**	**20,313**	**19,284**	**2,503**	**17,474**	**23,578**	**41,566**	**49,639**	**45,342**	**46,117**	**38,285**	**40,246**	**37,508**	**45,855**	**54,502**	**53,980**	**56,875**
	To shareholders	10,044	20,356	19,340	2,456	17,472	23,658	41,643	49,716	45,419	46,194	38,362	40,323	37,585	45,932	54,579	54,056	56,951
	Non-controlling interests	-344	-43	-56	46	2	-80	-77	**-77**	**-77**	**-77**	**-77**	**-77**	**-77**	**-77**	**-77**	**-77**	**-77**
	EPS																	
	Ordinary shares, basic (mn)	23,746	23,987	24,927	24,828	24,885	24,825	25,657	25,913	26,043	26,173	26,304	26,435	26,568	26,700	26,834	26,968	27,103
	Diluted shares, diluted (mn)	24,509	24,668	25,509	25,297	25,325	25,501	26,695	26,962	27,097	27,233	27,369	27,506	27,643	27,781	27,920	28,060	28,200
	IFRS EPS, basic	**0.42x**	**0.85x**	**0.78x**	**0.10x**	**0.70x**	**0.95x**	**1.62x**	**1.92x**	**1.74x**	**1.76x**	**1.46x**	**1.53x**	**1.41x**	**1.72x**	**2.03x**	**2.00x**	**2.10x**
	IFRS EPS, diluted	**0.41x**	**0.83x**	**0.76x**	**0.10x**	**0.69x**	**0.93x**	**1.56x**	**1.84x**	**1.68x**	**1.70x**	**1.40x**	**1.47x**	**1.36x**	**1.65x**	**1.95x**	**1.93x**	**2.02x**

Source: Team analysis

Appendix

Figure 28: Equity ESG risks analysis path

Source: S&P Global



Appendix

Figure 29: Equity ESG Premia (in basis points)

Source: AIMA

Leverage Ratio	1	2	3	4	5	6	7	8	9
10%	161	131	115	102	96	89	70	48	30
20%	175	142	126	111	104	97	77	52	33
30%	189	154	136	121	113	105	83	57	36
40%	204	167	147	130	122	113	90	61	39
50%	221	180	159	141	132	122	97	66	42
60%	239	195	173	153	144	133	106	72	46
70%	260	213	188	167	157	145	116	79	50
80%	284	232	206	183	172	159	127	86	55
90%	310	254	225	200	188	174	139	95	60

ESG Score Decile

Figure 29: Debt ESG Premia (in basis points)

Source: AIMA

Leverage Ratio	1	2	3	4	5	6	7	8	9
10%	4	3	3	2	2	2	2	1	1
20%	13	10	9	8	7	7	5	4	2
30%	21	17	15	13	12	11	9	6	4
40%	28	23	20	17	16	15	12	8	5
50%	35	28	25	22	20	19	15	10	6
60%	41	33	29	26	24	22	17	12	7
70%	47	38	33	29	28	25	20	14	9
80%	53	43	38	33	31	29	23	16	10
90%	59	48	43	38	35	33	26	18	11

ESG Score Decile

- With Xiaomi exposure score of 17.04/ 40+ (60% ESG Score Decile, medium risk), we modify WACC from 6.95% to 7.75%, and Xiaomi target price is reduced by 15.02%, to HK$ 33.4 (DCF).
- We believe ESG factors are already priced into Xiaomi's stock price; hence, no external adjustments were made to our valuation. This is supported by our industry analysis and investor consultations, which indicate that while ESG is a growing priority, it currently has a limited impact on cost of capital within the China consumer electronics and EV sectors. Despite Xiaomi's active participation in green financing, such as its green bond issuances, we believe it is premature to apply a specific ESG premium to our DCF model. Nonetheless, Xiaomi maintains a robust standing on our proprietary ESG scorecard, reflecting its strong commitment to circular economy practices and supply chain transparency.

Appendix

Figure 30: Summarize of electronic devices key players ESG goals

Source: Company Reports

Dimension	Apple	Samsung	Xiaomi	Transsion
Carbon Neutrality Target	Full value chain (Scope 1, 2, 3) by 2030	DX division (mobile phones, etc.) by 2030; Full group by 2050	Own operations (Scope 1, 2) by 2040	Limited disclosure, following China's "Dual Carbon" goals (2060)
100% Renewable Energy	Achieved (for own operations); Promoting adoption across the supply chain	Full group by 2050	Own operations by 2035	No clear 100% target set yet
Material Recycling & Circularity	Leader: Over 20% of materials from recycled sources (100% recycled cobalt/aluminum)	Active: Focus on ocean plastic (fishing nets), recycled glass/aluminum	Early stage: Increased plastic-free packaging; recycled aluminum/plastic in some models	Basic level: Focus mainly on packaging plastic reduction and lightweight design
MSCI ESG Rating	A (Outstanding performance)	AA (Industry leading)	BBB (Industry average, steadily improving)	B / BB (At a relatively low level)
Supply Chain Bargaining Power	Extremely strong (Mandates suppliers to use renewable energy)	Strong (Operates a large, in-house supply chain)	Moderate (Requires collaboration with industry partners to drive progress)	Weak (Highly dependent on external supply chains, cost-oriented)

Appendix

Figure 31: ESG Score Card

Metrics	Weight	Score	Disclosure Level
Environment	30.00%	2.15	0%
Sustainable Products	100.00%	2.15	0%
Social	40.00%	4.51	42%
Social Supply Chain Management	41.13%	4.11	20%
Supplier Social Responsibility	-	6.54	-
Percentage of Non-Compliant Suppliers	-	-	-
Percentage of Audited Suppliers	-	5.39	-
Non-Compliant Suppliers	-	-	-
Supply Chain Modern Slavery Assessment	-	10	-
Modern Slavery Statement	-	10	-
Social Supply Chain Management	-	10	-
Disclosure Coefficient Only	-	10	-
Labor and Employment Practices	29.30%	5.17	57%
Workforce Diversity	-	5.17	-
Percentage of Women in IT/Engineering Roles	-	3.4	-
Percentage of Women in Management	-	3.3	-
Percentage of Women in Middle and Other Management	-	2.53	-
Equal Opportunity Policy	-	4.02	-
Gender Pay Gap Breakthrough	-	10	-
Disclosure Coefficient Only	-	0	-
Workforce Management	-	7.8	-
Employee Turnover Percentage	-	7.8	-
Voluntary Turnover Percentage	-	7.8	-
Involuntary Turnover Percentage	-	--	-
Product Quality Management	22.12%	3	0%
Product Quality and Safety	-	3	-
Percentage of Revenue from Products with Declared Substances	-	10	-
Restricted Substance List for Suppliers	-	10	-
Data Security and Customer Privacy	4.42%	10	-
Data Security	-	10	-
Product Data Security Policy	-	10	-
Community Rights and Relations	3.03%	10	-
Community Relations	-	10	-
Critical Materials Policy	-	10	-
Governance	30.00%	3.30	98%
Board Composition	35.00%	3.17	98%
Diversity	29.86%	2.22	100%
Age Diversity	-	3.25	100%
Gender Diversity	-	6.31	-
Independence	29.86%	2.03	-
Board Independence	-	1.96	100%
Board Leadership Independence	-	3.34	-
Director Positions	29.86%	0	100%
CEO Position	-	1.13	100%
Chair Position	-	0.5	-
Board Positions	-	0	-
Succession and Renewal	10.42%	3.63	100%
Board Chair Succession and Renewal	-	3.87	100%
Board Succession and Renewal	-	0.46	-
Shareholder Rights	24.94%	9.25	100%
Shareholder Policy	50.00%	2.35	100%
Voting Rights	-	3	100%
Takeover Defenses	-	0	-
Director Election Policy	-	5.94	-
Director Tenure	50.00%	5.1	100%
Director Tenure	-	2.5	-
Director Support Rate	-	8.42	-
Executive Compensation	24.94%	8.42	100%
Incentive Structure	40.00%	2.74	67%
CEO Plan Design	-	0	-
Pay-for-Performance	-	0	-
Executive Plan Design	-	0	-
Executive Pay Equity	-	--	-
Performance Pay	40.00%	5.61	100%
Variable Performance Pay	-	5.92	-
Fixed Pay Adjustment	-	5	-
Compensation Management	20.00%	5.41	100%
Board Oversight	-	7.5	-
Compensation Policy	-	0	-
Say on Pay	-	--	-
Audit	15.12%	5.91	91%
External Auditor	40.00%	2.29	63%
Auditor Tenure	-	2.29	-
Auditor Approval	-	8.57	-
Auditor Fees	-	2.25	-
Audit Committee	40.00%	8.59	100%
Audit Committee Meetings	-	8.59	-
Audit Committee Structure	-	10	-
Audit Results	20.00%	7.28	100%
Accounting Restatements	-	10	-
Auditor Opinion	-	10	-

Appendix

Figure 32: ESG Risk Table

PILLAR	KEY INITIATIVES
XIAOMI FOR A GREENER PLANET (Environmental)	- Achieve **Net-Zero emissions by 2040** across existing businesses; achieve 100% renewable energy use in self-operated facilities by 2035 - **Circular Economy:** Expansion of the "Trade-in" program and commitment to using recycled aluminum and plastics in smartphone and EV manufacturing - **Green Manufacturing:** Implementation of the "Zero-Waste Factory" model and energy-efficient AI-driven production lines in Xiaomi Smart Factory.
XIAOMI FOR A BETTER LIFE (Social)	- - Supply Chain Responsibility: 100% of core suppliers audited against RBA (Responsible Business Alliance) standards to ensure labor rights and safety - Digital Inclusion: Development of accessibility features in HyperOS for users with visual, auditory, or motor impairments (Xiaomi's "Technology for Good"). - Employee Empowerment: Focus on talent development through the "Xiaomi Campus" and ensuring diverse and inclusive hiring practices across global operations.
XIAOMI ON TRUSTED GOVERNANCE (Governance)	- **Data Privacy & Security:** Maintaining global industry-leading standards with **ISO 27001 and ISO 27701 certifications** for consumer data protection. - **Transparent Governance:** Board structure aligned with HKEX Corporate Governance Code, featuring a diverse Board of Directors and an independent ESG Committee. - **Ethics & Compliance:** Implementation of robust anti-corruption policies and comprehensive ESG risk monitoring throughout the entire product lifecycle (from R&D to EV production).

Appendix

Figure 33: UN SDGs Met by Xiaomi

Source: Company Reports, UN Sustainable Development Goals

Material Issues in 2024	UN SDGs	Governance	Strategy	Risk Management	Actions
Exploration and Accessibility of Technology		The Technology Committee of Xiaomi Corporation leads the overall development of the Group's technical systems of technology strategy, organizational structure, talent, cooperation, and culture. It aims to enhance R&D capabilities, promote technological innovation consensus, foster a culture of innovation across the organization, and drive continuous improvement in the Group's technological capabilities.	Through continuous R&D and technological innovation, we apply core technologies to cost-effective products and promote the widespread adoption of smart living solutions to enable more users to enjoy the convenience and changes brought by technology.	We assess risks such as delays in the technology development cycle, intellectual property disputes, and insufficient market acceptance to ensure that technological innovations are efficiently translated into market competitiveness.	We: ■ Increase input in cutting-edge technologies and promote the independent R&D of core technologies such as AI, IoT, and 5G. ■ Build a product ecosystem based on our "Human x Car x Home" ecosystem strategy and provide global users with a more intelligent and convenient ecosystem-wide service experience. ■ Construct a technology ecosystem and share innovative value through open collaboration and technology licensing.
Sustainable AI			By optimizing AI algorithms and improving computational efficiency, we reduce energy consumption and carbon emissions, promote the application of AI technology for practicality and good, and ensure that AI technology is secure and unbiased.	We identify issues in AI development, such as data privacy risks, algorithmic bias, and high energy consumption, and establish governance rules to mitigate the impact of technological risks on social responsibility and environmental goals.	We: ■ Form an AI governance team and regulate the development and application of AI technologies, ensuring that technological development adheres to ethical standards and regulatory mandates, free from data misuse and potential biases. ■ Continuously optimize AI algorithms and models to enhance energy efficiency during production operations and product usage, thus achieving carbon reduction targets. ■ Support the practical application of AI in environmental protection, accessible design, and social services, thus increasing the social value of AI technology.

Appendix

Figure 33: UN SDGs Met by Xiaomi

Source: Company Reports, UN Sustainable Development Goals

Material Issues in 2024	UN SDGs	Governance	Strategy	Risk Management	Actions
Product and Service Quality		The Quality Committee of Xiaomi Corporation oversees the quality management across the Group and sets quality policies and objectives to ensure that the products and services meet industry standards and user expectations.	We focus on enhancing user experience and build a quality management system that spans the whole process from design to production and after-sales services to ensure that our products and services meet user expectations and market standards.	We identify potential systemic flaws in quality management and the potential impact of supply chain segments on product quality and develop improvement plans to reduce reputational risks to the brand.	We: ■ Strengthen quality management throughout the product lifecycle to ensure high standards in product design, manufacturing, and delivery. ■ Make friends with users, establish a regular feedback mechanism, and promptly optimize product features and service models.
Data Security and Privacy Protection		The Information Security and Privacy Committee of Xiaomi Corporation develops and implements rules and policies for privacy protection and information security and guides and oversees management initiatives to comprehensively control security and privacy risks.	We focus on enhancing data privacy and security capabilities, establish a robust information security management system to ensure the privacy and security of users and stakeholders across the value chain, and promote the integration of information security practices throughout the entire business process.	We identify potential risks, such as data and privacy breaches and cyber vulnerabilities, and address them with data encryption and access control mechanisms, regular security hazard assessments, and simulated testing to ensure timely response to potential threats.	We: ■ Develop and deploy core privacy protection technologies such as data encryption and user authentication to secure information storage and transmission. ■ Establish a data privacy emergency response mechanism to quickly address potential security incidents and also promote the data management culture. ■ Provide users with transparent privacy management tools to enhance their control over data processing.
Climate Mitigation and Adaptation		The Sustainability Committee oversees the planning and implementation of environmental strategies and ensures the comprehensiveness and compliance of environmental management, including climate change response, energy and water efficiency, compliance and effectiveness of waste disposal processes, and the planning and execution of biodiversity conservation projects.	We advance GHG emission reduction initiatives and reduce carbon emissions in business operations by using clean energy and implementing refined energy management. We are also actively exploring high-efficiency and energy-saving products to support societal carbon neutrality.	We assess climate-related risks and develop mitigation measures to minimize the potential impact of climate-related risks on the Group's business and supply chain while seizing the opportunities presented by the era of carbon peaking and carbon neutrality.	We: ■ Increase the proportion of renewable energy and optimize carbon footprint management across the supply chain. ■ Implement energy optimization plans to improve efficiency while reducing carbon emissions. ■ Develop low-carbon and energy-efficient products to lead the way to a low-carbon future with foundational technology.
Circular Economy			We optimize the recycling and disposal efficiency of electronic waste and increase the use of recyclable materials in new products.	Assess potential compliance risks in the downstream of electronic waste disposal to ensure that our third-party partners have the necessary compliance and environmental handling qualifications. Conduct rigorous testing on products using new and recyclable materials to ensure consistent product quality.	We: ■ Incorporate modular and detachable features in product design. ■ Increase the use of recycled metals, recycled plastics, and bio-based materials in products. ■ Strictly review the qualifications of onboarding third-party partners handling electronic waste and improve the electronic waste disposal supply chain.

Appendix

Figure 33: UN SDGs Met by Xiaomi

Source: Company Reports, UN Sustainable Development Goals

Material Issues in 2024	UN SDGs	Governance	Strategy	Risk Management	Actions
Waste Management		The Sustainability Committee oversees the planning and implementation of environmental strategies and ensures the comprehensiveness and compliance of environmental management, including climate change response, energy and water efficiency, compliance and effectiveness of waste disposal processes, and the planning and execution of biodiversity conservation projects.	We establish a zero-waste-to-landfill management system and implement a comprehensive strategy that features reduction at the source, recycling, and efficient disposal to minimize landfill volume to the greatest extent possible.	We identify potential legal, compliance, and environmental risks in waste management and promote responsible waste management throughout the supply chain.	We: ■ Set requirements and processes for the treatment of pollutants such as water, air, noise, and waste to ensure 100% compliance with environmental management standards. ■ Implement a classified and centralized electronic waste collection and recycling plan.
Natural Resources			We enhance water resource management efficiency, implement water-saving and efficient land use policies, and protect the long-term sustainability of key natural resources.	We assess the use, discharge, and treatment of water resources in key factory workshops and processes, improve water efficiency, and avoid non-compliant wastewater disposal.	We: ■ Implement a water monitoring system to optimize water efficiency in the production process. ■ Reduce wastewater generation at the source with optimized processes and intelligent manufacturing technologies.
Biodiversity			We strengthen ecosystem conservation and species diversity restoration and facilitate a net positive impact on biodiversity from us and society through products and project collaborations.	We avoid operating in areas where biodiversity is most at risk, regularly assess our operations' impact on biodiversity, and develop mitigation plans.	We: ■ Implement regional biodiversity monitoring programs. ■ Encourage employee participation in tree planting and ecological restoration activities to raise awareness of biodiversity conservation.
Talent Development		■ The human resources team drives employee recruitment, fair promotion, performance evaluations, and career development programs and ensures that diversity and inclusion are fully embedded into all processes. ■ The Safety Management Committee takes measures to eliminate potential safety hazards and create a healthy and safe production and work environment. ■ The administrative team enhances employees' work-life satisfaction by designing a comprehensive employee benefit system.	We create a diverse, inclusive, and equitable work environment and reserve and develop high-potential individuals for our future growth through talent recruitment, skill enhancement, and fair resource distribution.	We assess our talent structure to avoid risks such as talent shortages and instability, and mitigate these risks with performance management, internal communication, and promotion plans.	We: ■ Introduce intelligent HR management tools to optimize recruitment efficiency and employee experience. ■ Conduct employee engagement surveys and continuously adjust support measures based on feedback.
Employee Care and Training			We offer health protection schemes, benefit policies, and a wide range of professional training and interest programs to enhance employee satisfaction and sense of belonging and drive sustainable corporate growth in the long term.	We evaluate the impact of employee well-being and career development on future business operations and control the impact with optimized benefits policies, mental health support, and systematic training.	We: ■ Launch comprehensive health insurance programs, including annual physical exams and online health consultation services. ■ Introduce career development training programs at all levels to strengthen leadership and professional skill development.

Appendix

Figure 33: UN SDGs Met by Xiaomi

Source: Company Reports, UN Sustainable Development Goals

Material Issues in 2024	UN SDGs	Governance	Strategy	Risk Management	Actions
Sustainable Supply Chain		The Purchasing Committee oversees supply chain governance and directly supervises ESG issues within the supply chain to ensure that supply chain management aligns with sustainable development goals and compliance mandates.	We: ■ Drive the green transformation of the supply chain, supporting suppliers enhance their sustainability capabilities. ■ Intensify CSR audits in the supply chain, requiring key suppliers to jointly support the RBA mission and vision with us. ■ Improve supply chain transparency and strengthen traceability of batteries and conflict minerals.	We establish a regular supplier review mechanism to assess ESG risks in the supply chain, including quality, environmental protection and carbon emissions, labor rights, and raw material sustainability, to reduce compliance issues and supply chain disruption risks, enhance supply chain stability and business continuity, and optimize overall efficiency.	We: ■ Set carbon emission targets for the supply chain and encourage key suppliers to implement green transition plans. ■ Establish regular communication and ESG performance evaluation mechanisms for suppliers across business segments, along with improvement support. ■ Conduct supply chain traceability and due diligence on conflict minerals and battery issues.
Social Welfare and Community Engagement		Through Xiaomi Foundation and Xiaomi Fundraising Platform for Charities, we oversee the planning and execution of philanthropic projects and regularly assess their social impact.	We leverage our technological advantages to meet societal needs, focusing on areas such as education support, technology accessibility, environmental protection, and rural revitalization. We also drive innovation and scalable development in philanthropic activities to comprehensively enhance social impact and community well-being.	We assess potential issues in public welfare activities and community collaborations, such as inequities in resource allocation and failure to meet social needs. In response, we develop a transparent resource allocation mechanism and strengthen stakeholder communication.	We: ■ Progress community education and digitalization initiatives to support educational development in rural, disadvantaged areas, and for vulnerable groups. ■ Strengthen collaboration with users, communities, governments, and non-governmental organizations to promote the diversified and long-term public welfare practices.
Business Ethics		The Ethics Committee of Xiaomi Corporation is fully responsible for professional ethics management. It continuously improves the ethical system, promotes internal business ethics audits and cultural integration, and regularly reports significant project progress to the Board of Directors.	By establishing a sound professional ethics policy system and promoting a compliance culture, we ensure that all employees and partners uphold ethical standards in daily operations and further enhance our reputation of integrity in the market.	We identify potential risks, such as commercial bribery, conflicts of interest, and violations of anti-trust legislation, and ensure effective monitoring and handling of risks through regular audits, whistleblower channels, and ethical risk assessments.	We: ■ Develop and promote business ethics policies concerning anti-bribery, anti-corruption, anti-trust, and conflict of interest. ■ Conduct ethics training for all employees to enhance their awareness and capabilities in compliance and business ethics. ■ Perform regular business ethics audits to ensure the effective implementation of ethical policies across departments and business processes.

Appendix

Figure 34: Xiaomi Risk, Mitigation Measures and Valuation Impact Summary Table

Risk No. and Type	Risk Description	Mitigation Measures	Valuation Impact
[M1] Consumer Electronics Cyclicality	Demand for smartphones and consumer devices is cyclical and highly sensitive to global macroeconomic conditions and discretionary spending.	Diversify product mix toward non-cyclical smart home and AIoT products, and build recurring service revenue streams (e.g., MIUI ecosystem).	A 5% decline in Smartphone revenue could decrease Xiaomi's share price by 5.3%.
[M2] Intensified Competitive Pressure	Xiaomi operates in a hyper-competitive market with aggressive innovation cycles and pricing dynamics from rivals like Apple, Samsung, and emerging brands (Figure 40).	Sustain high R&D investment, focus on product differentiation in emerging tech (e.g., EV, AR), and expand ecosystem loyalty programs.	A 5% decline in revenue and 2.5% increase in cost could decrease Xiaomi's share price by 14.2%.
[P1] Geopolitical Tensions (US-China/EU-China)	Trade restrictions, sanctions, and investment bans could limit Xiaomi's access to Western technologies, markets, or capital.	Strengthen presence in non-Western markets (e.g., ASEAN, LATAM), localize manufacturing where feasible, and invest in alternative chip and OS ecosystems.	A 5% decline in overseas revenue and 5% increase in overseas cost could decrease Xiaomi's share price by 8.5%.
[P2] Data Privacy Regulation	Xiaomi's global operations must comply with complex regional data laws (e.g., GDPR, India's Data Protection Act), with enforcement tightening.	Adopt privacy-by-design principles, enhance cross-border compliance governance, and maintain ISO/GDPR certifications with external audits.	A 2.5% increase in cost could decrease Xiaomi's share price by 4.6%.
[P3] Regulatory Scrutiny in Emerging Markets	Xiaomi's high exposure to markets like India, Indonesia, and Latin America increases vulnerability to abrupt policy changes and tariff shifts (Figure 41).	Engage in public-private dialogue, localize assembly, and implement proactive tax planning to strengthen regulatory goodwill.	A 2.5% decline in emerging markets revenue and 2.5% increase in cost could decrease Xiaomi's share price by 7.2%.
[F1] Management and Corporate Governance	Founder Jun Lei retains ~61% voting control via dual-class shares, raising potential concerns over shareholder rights and board independence. It commands a "Visionary Premium" by enabling agile, long-term pivots (like the EV strategy) shielded from short-term market pressure. However, this structure simultaneously exposes investors to significant "Key Man Risk".	Continue diversifying board composition, enhance shareholder communication, and evaluate long-term WVR sunset or limitation.	No direct valuation impact for the time being, but long-term key man risk may lead to potential volatility in share price.
[F2] Supply Chain Dependency	Xiaomi's heavy reliance on outsourced component suppliers exposes it to disruptions in semiconductor availability, logistics delays, and material price fluctuations.	Strengthen multi-sourcing strategy, develop long-term supplier contracts, and invest in in-house capabilities for core components.	A 5% cost increase could result in a 7.3% decline in share price.
[F3] EV Safety and Recall Risk	The safety, quality, and recall issues related to Xiaomi's EVs could significantly impact its stock price by reducing sales, increasing costs (e.g., recall expenses, legal fees), damaging brand reputation, and lowering investor confidence.	Implement rigorous product testing, proactive recall management, collaborate with experts, maintain transparency, invest in safety innovations, and ensure regulatory compliance.	A safety or recall issue in revenue could decrease Xiaomi's share price by 8-15%.

Appendix

Figure 34: Sensitivity analysis - Revenue/Costs

Source: Capital IQ, Team analysis

Revenue \ Cost	-5.0%	-2.5%	0.0%	2.5%	5.0%
5.0%	46.74	45.30	43.86	42.42	40.98
2.5%	44.97	43.53	42.09	40.65	39.20
0.0%	43.20	41.75	40.31	38.87	37.43
-2.5%	41.42	39.97	38.54	37.10	35.65
-5.0%	39.64	38.20	36.76	35.32	33.88

- While our primary valuation is mainly derived from a SOTP framework, **the following sensitivity analysis is conducted on our DCF model**. This is because the DCF captures revenue and cost assumptions at a granular, year-by-year level, making it better suited to isolate the valuation impact of discrete operational changes — whereas SOTP relies on segment-level multiples that are less responsive to near-term assumption shifts.

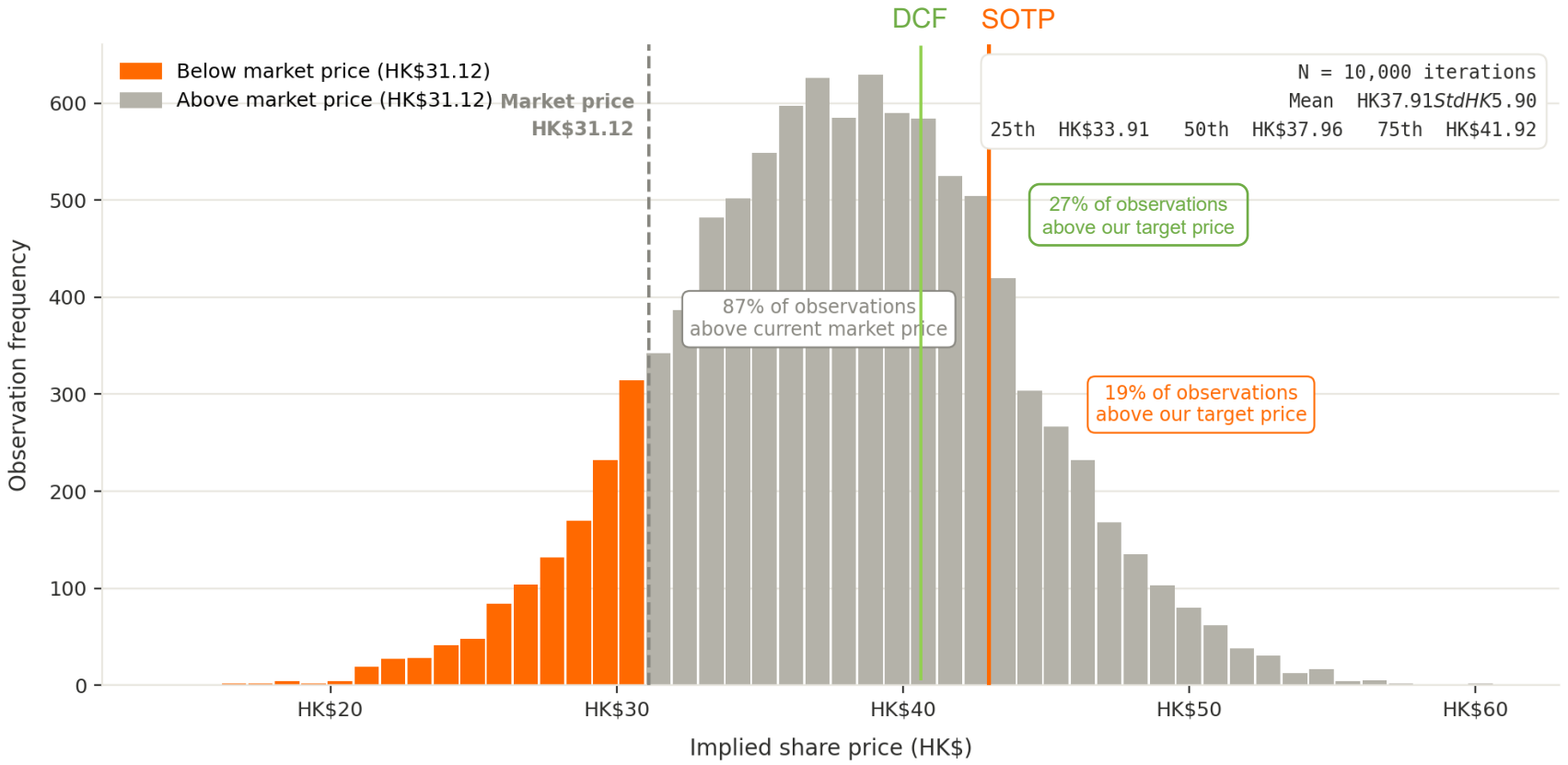
- All shocks are **assumed to originate in FY2026 and propagate through subsequent forecast years** via our model's linked revenue and cost structure, ensuring that second-order effects on margins and free cash flow are fully reflected in the implied valuation impact.

Appendix

Figure 35: Monte Carlo Analysis

A Monte Carlo simulation with 10,000 iterations was performed, simultaneously changing key variables from our DCF base case of a) margins, b) WACC, c) revenue growth, and d) EV deliveries.

- gross margin (Normal Distribution, μ = 20%, σ = 2%)
- WACC (Normal Distribution, μ = 6.92%, σ = 0.8%)
- Revenue growth rate (Triangular distributions: 5% / 18% / 30%;)
- EV deliveries (Triangular distributions: 350k / 500k / 650k units)



Min	14.32
Max	60.64
Mean	37.91
Std	5.90
25th percentile	33.91
50th percentile	37.96
75th percentile	41.92

Appendix

Figure 36: Regulations & Compliance Requirements Related to Xiaomi's Core Business

Smartphones & AIoT Hardware	
Domestic (China)	• **CCC (China Compulsory Certification):** Mandatory safety and quality certification for electronic products, chargers, and batteries. • **TENAA (Network Access License):** Requires approval from the Ministry of Industry and Information Technology (MIIT) for all devices connecting to public telecom networks. • **SRRC (State Radio Regulation of China):** Certification required for all devices with radio transmission capabilities (Wi-Fi, Bluetooth, 5G/4G). • **E-waste & Recycling Regulations:** Compliance with the Management Methods for the Restriction of the Use of Hazardous Substances in Electrical and Electronic Products (China RoHS).
International	• **EU - Radio Equipment Directive (RED) & CE Marking:** Ensures safety, electromagnetic compatibility, and efficient use of the radio spectrum in Europe. • **EU - Common Charger Directive:** Mandates USB-C ports for all smartphones and small electronics by the end of 2024. • **EU - Right to Repair Rules:** Requires manufacturers to provide spare parts and make hardware easier to repair, extending the device lifecycle. • **India - BIS (Bureau of Indian Standards):** Mandatory certification for electronic goods imported or sold in India. • **US - FCC (Federal Communications Commission):** Certification required for all radio frequency-emitting devices.
Internet Services & Data	
Domestic (China)	• **The "Data Trinity" (Data Security & Privacy):** • **PIPL (Personal Information Protection Law):** China's equivalent to GDPR; strictly regulates how Xiaomi collects user data via its devices and apps. • **DSL (Data Security Law):** Classifies data by importance and restricts cross-border data transfer. • **CSL (Cybersecurity Law):** Requires network operators to store certain data locally and undergo security assessments. • **Algorithm & Content Regulation:** Managed by the CAC (Cyberspace Administration of China). Regulates algorithmic recommendation services used in Xiaomi's app store and browser. • **Anti-Monopoly Law (SAMR):** Prevents abuse of market dominance, specifically targeting unfair app store practices and forced exclusivity ("pick one from two").

Appendix

Figure 32: Regulations & Compliance Requirements Related to Xiaomi's Core Business

Internet Services & Data	
International	• **EU - GDPR (General Data Protection Regulation):** The strictest global privacy law affecting how Xiaomi stores and processes European users' data. • **EU - Digital Markets Act (DMA) & Digital Services Act (DSA):** Regulates pre-installed apps, default browsers, and app store ecosystems, ensuring fair competition and content moderation. • **India - DPDP (Digital Personal Data Protection Act, 2023):** Regulates the processing of digital personal data within India, requiring clear user consent. (Historically, India also banned several Chinese apps under Section 69A of the IT Act).
Smart Electric Vehicles - Xiaomi Auto	
Domestic (China)	• **MIIT Vehicle Catalog Approval:** Xiaomi SU7 (and future models) must pass rigorous safety and technical reviews to be listed in MIIT's "Announcement on On-Road Motor Vehicle Manufacturers and Products" before mass production and sales. • **Autonomous Driving & Mapping Regulations:** Strict rules by the Ministry of Natural Resources regarding high-definition mapping data. Testing of L3/L4 autonomous driving (Xiaomi Pilot) requires specific local government licenses and road-testing permits. • **NEV (New Energy Vehicle) Safety Standards:** Mandatory national standards (GB standards) for battery safety, thermal runaway prevention, and crash safety. • **Automotive Data Security Regulations:** Overlaps with DSL/PIPL; limits the collection of exterior environmental data (via cameras/LiDAR) and prohibits sending critical geographic/vehicle data overseas.
International	• **UN ECE WP.29 (CSMS & SUMS):** Global standards for vehicle Cybersecurity Management Systems and Software Update Management Systems. Mandatory for selling connected cars in the EU and many other regions. • **EU - General Safety Regulation (GSR):** Mandates advanced driver assistance systems (ADAS) and strict crash test standards (Euro NCAP). • **EU - Anti-Subsidy Duties / Tariffs:** Currently, the EU has imposed additional tariffs on Chinese EVs. Although Xiaomi EV is not yet exporting to Europe, this is a major regulatory trade barrier for future expansion.

Appendix

Figure 32: Regulations & Compliance Requirements Related to Xiaomi's Core Business

Trade, Financial & Geopolitical Compliance	
International	• **India - FEMA (Foreign Exchange Management Act):** Xiaomi has faced severe regulatory scrutiny from India's Enforcement Directorate (ED) regarding alleged illegal remittances of royalty payments to foreign entities, leading to frozen assets. • **US Export Controls (BIS/Entity Lists):** While Xiaomi successfully sued the US Dept. of Defense in 2021 to be removed from the "Communist Chinese Military Company" list, it must constantly navigate US export controls (EAR) regarding the procurement of advanced semiconductors (e.g., Qualcomm/Nvidia chips for phones and EV AI). • **Global ESG Directives (e.g., EU CSRD):** The Corporate Sustainability Reporting Directive requires companies operating in the EU to report on environmental and social impacts, affecting Xiaomi's supply chain transparency (e.g., cobalt/lithium sourcing for batteries).